UPSC CSE Mains 2027 · GS Paper II

GOVERNANCE

Civil services · RTI · Corruption · Lokpal · E-governance · Civil society · CAG · Regulators

Handwritten-style notes

Built from the Sarrthi IAS GS-2 Governance handouts (Modules 1-5).
Bracket trees · diagrams · mnemonics · PYQ tags · current affairs
Right column and left binding margin are kept blank for your own use.

Personal study edition · for printing

INDEX

Module 1 · Civil Services, Transparency, Accountability, Citizen's Charter, RTI

0 Start here: how to use these notes 3
1 Civil services: UPSC and SPSC 4
2 Civil services: meaning and lateral entry 6
3 All India Services 8
4 Role of civil services in a democracy 10
5 Working and performance of civil services 12
6 Bureaucracy and development 14
7 Pay, 8th CPC and right to strike 16
8 Civil services reforms and Nolan principles 18
9 Challenges to reform; Karmayogi; Aarambh 20
10 Transparency and NDSAP 22
11 Accountability 24
12 Citizen's Charter and Sevottam 27
13 RTI Act 2005 and the 2019 amendment 30
14 CIC, RTI issues, impact and 2nd ARC 34

Module 2 · Corruption, Social Audit, CBI, CVC, Lokpal, Whistleblower, PCA

15 Problem of Corruption 36
16 Tackling Corruption and Social Audit 40
17 CBI and CVC 43
18 Lokpal in India 46
19 Whistleblower Protection and PCA 1988 49

Module 3 · Governance, E-Governance, Data Protection, Emerging Tech

20 Governance and Good Governance 51
21 People's participation and local self-government reforms 55
22 E-governance: stages, models, benefits, issues 57
23 Data protection, privacy and cybersecurity 61
24 Emerging tech: blockchain, AI, deepfakes, OTT, DPI 64

Module 4 · Civil Society, NGOs, SHGs, Pressure Groups, CAG

25 Civil society and NGOs 67
26 FCRA, State regulation of NGOs, donors 72
27 Self-Help Groups 75
28 Pressure groups and lobbying 78
29 Comptroller and Auditor General of India 84

Module 5 · Regulatory Bodies, FSSAI, CCI

30 Regulatory bodies: why, role, courts 88
31 Regulators: people, ministry, accountability 90
32 FSSAI 93
33 Competition Commission of India (CCI) 95

START HERE: GOVERNANCE (GS-2)

✎ *Four modules, 30 topics. Read once with a pen. Use the right column for your own current affairs and value additions. Before a test, cover the recall drill at the end of each chapter.*

Source and rule: only the Sarrthi IAS GS-2 Governance handouts (Modules 1–4). No class slides were supplied, so no teacher-ink forecast. **Mains PYQs only (2013–2026), no Prelims PYQ.** Priority: **High** = 2+ PYQs, **Medium** = 1 or partial, **Low** = none quoted.

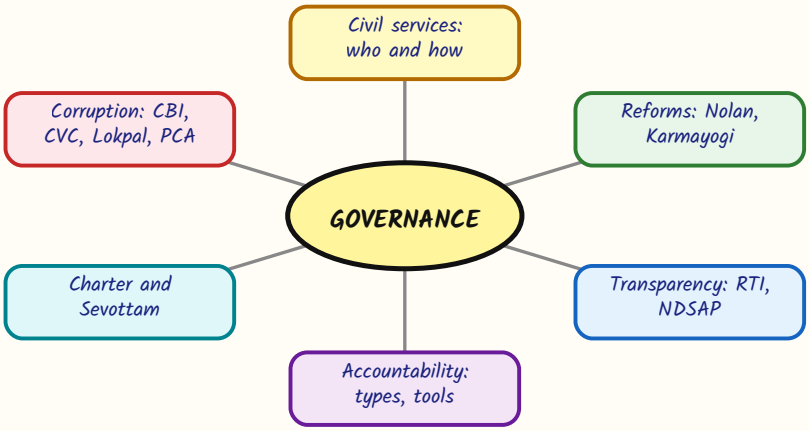
Box	Means
Pink	teacher's point / handout flag
Yellow	trap or rule for the exam hall
Green	ready conclusion
Blue dashed	definition
Navy	current affairs (verify dates)

PRIORITY MAP: what to read first

Priority	Topics (handout order)
HIGH	**8** Reforms + Nolan (2017, 2020) · **22** E-governance (8 PYQs) · **25** Civil society + NGOs (5) · **26** FCRA + donors (3) · **27** SHGs (6) · **28** Pressure groups (6) · **29** CAG (2018, 2016)
MEDIUM	**2** Lateral entry (2014) · **4** Six roles (2017) · **9** Karmayogi (2020) · **13–14** RTI + CIC (2020) · **17** CBI + CVC (2021*) · **18** Lokpal (2013)
LOW	**1** PSCs · **3** AIS · **5** Performance · **6** Bureaucracy · **7** Pay / 8th CPC · **10** Transparency · **20** Governance and good governance · **23** Data protection + cyber

Lokpal: Bill → Act → body. First Bill introduced **1968**; present Bill **passed 2013** = **Lokpal and Lokayuktas Act, 2013**; Lokpal **constituted 2019**. Mark with * a partial PYQ fit.

SIX THEMES TO TIE EVERY ANSWER TO



Answer skeleton: Intro (definition or a number) → Body (one approach: roles / problems / reforms / way forward) → Way forward (a named reform: Karmayogi, Sevottam, Lokpal…) → Conclusion ("transparency first, then accountability").

⚖ PUBLIC SERVICE COMMISSIONS: UPSC & SPSC ⚖

PYQ none quoted in the material · Handout MI pp. 3–4

✎ *The Constitution set up independent recruiters for the Centre (UPSC) and the States (SPSCs). They are meant to pick the best on merit, but the shield is thinner than it looks.*

Article (Part XIV)	Provision
315	PSCs for Union and States
316	appointment and term of members
317	removal and suspension
319	bar on later office
320	functions
321	extend functions
322	expenses
323	reports

LADDER – Say it as a ladder: ***315 set up → 316 appoint → 317 remove → 319 bar → 320 functions → 321 extend → 322 expenses → 323 report*** (order kept: it is the Constitution's order). (own mnemonic)

HISTORY

1919
GoI Act: for the ***first time*** a Federal PSC; provincial PSCs ***not mandatory*** (provinces could set up their own by law)

1924
Lee Commission recommends; FPSC set-up had been ***delayed***

1926
FPSC finally set up on Lee Commission advice; Sir ***Ross Barker*** first Chairman

1929
Madras: first province to set up a Provincial PSC

1935
GoI Act: three types: Federal, Provincial, Joint → carried into ***Art 315***

INDEPENDENCE SAFEGUARDS

Shield

- → service conditions ***cannot be cut*** after appointment
- → salaries = ***charged expenditure*** on Consolidated Fund
- → removal only as the Constitution says
- → post-retirement bar on certain government jobs
- → ***Convention:*** seniormost member becomes Chairman → ***violated in 2015***

PROBLEMS

UPSC

→ ***Deviation from PSC recommendations without adequate reasons: 57 times (1950-84)*** vs ***82 times (1984-88)***

→ ***One-size-fits-all:*** a common recruitment system may not suit the different needs of various services

→ ***Art 320(3):*** its provisions are abused, and three categories of officials (technical, managerial, political) influence it

→ no educational qualification fixed for members

→ ***Unequal status:*** regarded as one of the four important constitutional institutions (with EC, CAG, SC), yet UPSC lacks equal status: ***no separate oath***; removal considered ***relatively easier***

→ conflict with the ***CVC***

→ ***Exam:*** concerns over structure and duration of exams

→ ***Negative recruitment policy:*** focus on eliminating unsuitable candidates rather than finding the most appropriate; ***archaic or obsolete*** philosophy of recruitment

SPSCs

→ some are ***centres of corruption***

→ poor quality of members

→ ***blind imitation of UPSC*** model without considering state-specific requirements

→ ***compromised independence:*** may function like subsidiaries of UPSC

→ ***no formal linkages*** between UPSC and SPSCs

UNDONE·A — UPSC's issues: **U**nequal status · **N**o qualification · **D**eviation from advice · **O**ne-size-fits-all · **N**egative recruitment · **E**xam structure · **A**buse of 320(3) (own mnemonic)

REFORM

2nd ARC: shorten the exam

→ ***Model I:*** Prelims + Mains together over 2-3 days; Mains marked only above Prelims cut-off; then Interview

→ ***Model II:*** shortlist 2-3 × vacancies on Prelims rank; Mains within 2 months, so Mains and Interview start almost together

1st ARC on PSCs

→ one SPSC member from outside the state

→ members hold a degree

→ UPSC + SPSC chairmen consulted on SPSC members

→ UPSC Chairman consulted when appointing ***UPSC*** members and their successor

→ ***2/3 of UPSC members*** drawn from SPSC chairpersons

→ separate qualifications for ***official*** and ***non-official*** members

Interview weaknesses

→ too short

→ desultory chat

→ artificial atmosphere

→ element of luck

→ tendency to reproduce oneself

→ subjectivity and bias.

Role of UPSC today

→ evolve into a ***Central Personnel Agency***

→ negative → ***positive recruitment***

→ invest more in the ***psycho-social profile*** of candidates

→ involve ***outside experts***; become the principal ***R&D body*** in civil-service management
→ drop one-size-fits-all

In the news · Saarthi IAS CA, Jul 2026 (verify) ***Public Examinations (Prevention of Unfair Means) Amendment Act, 2026:*** amends the 2024 Act; higher penalties; probe in 2 months; trial in 3 months of chargesheet; Court of Session in every State/UT; appeals to a 2-judge HC bench. ***Link:*** recruitment integrity (2nd ARC).

Recall drill: cover and answer

Part and Articles for civil services	Part XIV, Arts 308-323	First PSC and chairman	FPSC 1926, Sir Ross Barker (Lee Commission 1924)
First provincial PSC	Madras 1929	UPSC advice set aside	57 (1950-84), 82 (1984-88)
Convention broken in 2015	seniormost member as Chairman	Two 2nd ARC exam models	I: together; II: shortlist 2-3× vacancies

CIVIL SERVICES: MEANING & LATERAL ENTRY

PYQ Mains 2014 (cadre-based civil services and slow change) · Handout MI pp. 5-7

✎ *"Civil servants" are a narrower group inside "public servants". The closed, cadre-based, generalist system built for the British now needs specialists, so lateral entry is knocking.*

Origin: the East India Company coined "civil services" around ***1765*** to distinguish combatant from non-combatant personnel; those in ***commercial or non-combatant*** roles were civil servants. ***State = largest employer; ~3% of GDP*** goes on civil servants.

Civil servants EXCLUDE
→ political executive
→ judiciary
→ defence forces
→ PSU employees
→ but these ***do come within*** the wider idea of ***public servants***

Rule: all civil servants are public servants; ***not all public servants are civil servants.***

Category	Services
All India	IAS, IPS, IFoS
Central	IRS, ICAS, engineering, health, railway, para-defence (IDES, IDAS, IOFS), Secretariat
State	recruited by state
Municipal	local bodies

Groups: the ***3rd Pay Commission suggested*** replacing the names Class 1, 2, 3, 4 with ***Group A, B, C and D.***

ACSM — **A**ll India · **C**entral · **S**tate · **M**unicipal (top to local) (own mnemonic)

A CLOSED "ARISTOCRATIC" SYSTEM PYQ 2014

Features
→ sharp divide between grades
→ recruitment in a narrow age band
→ tests general ability only
→ may mirror class preference
→ cadre-based services

Consequences
→ conservative, ***status quoist***, non-responsive
→ ***rule fetishism***; placement by rank not competence

→ elitist mindset; obstacles to change

CORNERS – A closed system **CORNERS** the officer: **C**onservative · **O**bstacles to change · **R**ule fetishism · **N**on-responsive · **E**litist · **R**ank not competence · **S**tatus quoist (own mnemonic)

Why social change is slow

→ ***education:*** society still influenced by traditional religious and social complexes
→ conservative attitudes, esp. towards women
→ limited social and spatial mobility
→ failure of the political system
→ ***cadre-based services + aristocratic personnel system***
→ high poverty

GENERALIST vs SPECIALIST

Generalist	*Specialist*
holistic policy view, inter-department coordination: balances competing demands across sectors (2nd ARC: preserve broad-spectrum orientation while developing domain expertise)	***techno-economic complexity***: AI, digital finance, climate technology, energy, specialised trade need technical knowledge (NITI Aayog 3-Year Action Agenda 2017-20: economy's complexity made policymaking a specialised activity → recommended lateral entry of specialists)
grassroots experience: field postings give direct knowledge of local conditions and implementation; career combines field and policy roles at different levels of govt	***policy inertia, lack of domain depth***: frequent moves across unrelated sectors block deep expertise (2nd ARC: assign officers to specific domains over a career to match skills with senior policy posts)
permanence and institutional memory: continuity despite political change (2nd ARC linked better personnel management with professional, accountable administration)	***evidence-based policymaking***: sector research, technical skills and professional experience (Civil Services Exam Review Committee 2001: move from purely generalist approach; develop core competencies after initial ***8-10 years***)
political acumen, stakeholder mediation: experience with political executives, legislatures, departments	***institutional specialisation***: India itself has recognised the need to combine general administration with domain expertise

Urgent need for specialisation in broad sectors (financial, infrastructural, social, regulatory) after officers complete ***10-12 years*** of service. Modern administration needs ***both*** broad coordination and domain knowledge; lateral entry tries to bridge the gap.

LATERAL ENTRY (since 1st ARC)

Lateral entry = induction of ***private-sector specialists*** into government departments; recommended since the ***First ARC***.

Why

→ ***Type I error***: wrong person recruited
→ ***Type II error***: right person rejected
→ career path of civil servants is largely automatic
→ ***reduce conservatism*** in civil services
→ IAS (esp.) designed for the pre-reform, dominant State
→ some specialised Union departments need knowledge IAS officers may not gain in state cadre postings

Issues

→ may lack district and field experience
→ may not see govt service as a long-term career
→ difficulty adapting to the government work ecosystem
→ risk: corporates place their own representatives; ruling party places its favourites
→ ***top-heavy*** administration: overstaffed at top, understaffed in field (fix: remove incompetent or unproductive staff)
→ must also ***upgrade skills of permanent civil servants***

2018	2021	Aug 2024	Controversy	20 Aug 2024
10 Joint Secretary posts advertised; age **below 40; 3 years, extendable to 5**	applications for **31** posts: Joint Secretary, Director, Deputy Director	UPSC advertised **45** posts: 10 Joint Secretaries + 35 Directors/Deputy Secretaries	criticised for no SC/ST/OBC reservation: single designated posts treated **outside the reservation roster**	DoPT asked UPSC to cancel; govt stressed **equity and social justice**; UPSC cancelled the drive

Recall drill: cover and answer

Who coined "civil services", when	East India Company, c. 1765	Excluded from civil servants	political executive, judiciary, defence, PSUs
3rd Pay Commission change	Class 1-4 → Group A-D	Type I / Type II error	wrong person hired / right person rejected
Aug 2024 lateral entry	45 posts; advert cancelled 20 Aug		

ALL INDIA SERVICES

PYQ none quoted in the material · Handout MI pp. 7-9

✎ *Officers recruited and trained by the Union but serving States. Patel saved them as the "Steel Frame" of unity; states now say they get responsibility without authority.*

Meaning: AIS originated under British rule. Officers are **recruited and trained by the Union** but must serve under **both the Centre and the States**.

1909	1924	1947	Today
nine AIS	four	two	three: **IAS, IPS, IFoS**

Provincialisation = abolishing an AIS; **states then become responsible** for recruiting personnel for that part of administration. **25 cadres**, incl. 2 joint: **AGMUT** (Arunachal, Goa, Mizoram, Union Territories) and **Assam-Meghalaya**.

CONSTITUENT ASSEMBLY DEBATE

Against

→ Nehru Committee Report 1928 not keen

→ regional interests seeking more devolution opposed AIS: could extend **Centre's influence**

→ British policy cut their number

→ **Nehru** initially not in favour of continuing them

For: Sardar Patel

→ retained with **constitutional status (Art 312)** largely due to his insistence; "**Father of AIS**"

→ states lacked adequate capacity to recruit such personnel

→ AIS = **Steel Frame** of unity

→ Note: "Steel Frame" was used by British PM **David Lloyd George** for the **Imperial Civil Service** (ICS)

R R R R – Service Articles: **309 Recruit · 310 Retain (pleasure) · 311 Remove (safeguards) · 312 Raise AIS**; then **16** equal opportunity, **323A** tribunals. (own mnemonic)

SHOULD AIS CONTINUE?

For (rationale)	Against (states' view)
best talent joins; promotes ***national unity***; wholesome influence on the ***federal system***	***changing circumstances:*** unity and integrity not threatened as at Independence; national unity must rest on a ***stronger foundation than an administrative structure***
Union stays in touch with ***ground realities***; states gain a ***wider national outlook***; Centre can act through AIS in ***emergencies***	***authority-responsibility mismatch:*** states have limited control over AIS officers, weakening ministerial responsibility; ***demoralised state civil services*** (often second-in-command)
fewer political considerations in recruitment and in appointments to key posts; integrated infrastructure development	***2:1 outsider-to-insider ratio*** seen as extending central influence; ***sons of the soil*** demand for local representation
Centre-State, inter-state and day-to-day central-state bureaucracy coordination (21st-century law-and-order)	***Federal concern:*** AIS is a joint Union-State responsibility, yet it falls under ***Entry 70, Union List***; officers spend most careers in one cadre state, weakening the "wider outlook" claim

States concede AIS has delivered: recruiting and allocating talent ***proportionately among states***, promoting national unity, a broad national outlook, but raise the concerns on the right.

Body	View
Rajamannar	disband AIS
Sarkaria	disbanding AIS is a ***retrograde step***; strengthen AIS while ***reducing excessive generalism***; ***regular Centre-State consultation***; Health, Education

DISMISSAL AND DISCIPLINE

Doctrine of Pleasure: public job ≠ private contract. Responsive to people, responsible to government; termination subject to constitutional safeguards.

2nd ARC on Art 311

→ rising procedural protections made it hard to dismiss even those civil servants who ***deserved removal***
→ recommends ***repeal of Art 311***
→ one comprehensive ***Civil Services Law***
→ define clearly the ***reasonable opportunities and safeguards*** against arbitrary dismissal

Service rules

→ no political party, funds or elections; may vote, not disclose
→ limits on interaction with the media
→ annual declaration of assets and liabilities; report gifts
→ restrictions on political involvement of immediate family; no adverse criticism of govt

T.S.R. Subramanian (2013)

→ minimum tenure in key posts
→ ***Civil Services Boards*** for postings/transfers
→ avoid verbal orders
→ comprehensive Civil Services Law.

Recall drill: cover and answer

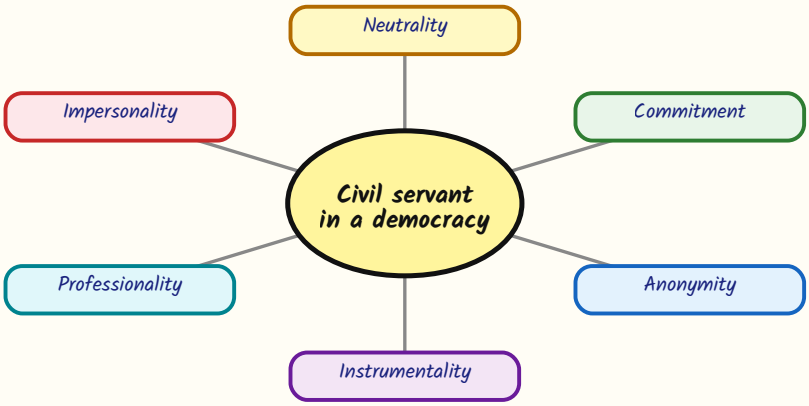
AIS count: 1909, 1924, 1947	9, 4, 2	Father of AIS; article	Sardar Patel; Art 312
AGMUT expands as	Arunachal, Goa, Mizoram, Union Territories	Sarkaria on AIS	strengthen; Advisory Council; new AIS
T.S.R. Subramanian 2013	minimum tenure, Civil Services Boards		

⚖ SIX ROLES OF CIVIL SERVANTS IN A DEMOCRACY ⚖

PYQ Mains 2017 (neutrality and effectiveness) · Handout MI pp. 9-12

✎ *A civil servant must be neutral, committed, anonymous, an instrument of the people, professional and impersonal. Each role has its own pressure point.*

I PANIC — Six roles, no sequence (handout order N-C-A-I-P-I): **I**mpersonality · **P**rofessionality · **A**nonymity · **N**eutrality · **I**nstrumentality · **C**ommitment. A good officer never says "I PANIC". (own mnemonic)



1 · NEUTRALITY PYQ 2017

Three layers

→ ***Class:*** civil servants mostly come from the middle class, whose mindset often becomes the ***dominant mindset of the bureaucracy***; ***elite capture*** of state institutions (example: National Rifle Association, USA) makes neutrality hard

→ ***Cultural:*** neutrality on the basis of language, caste, religion, region and other social identities

→ ***Political:*** neutral towards ***all*** political parties, expressed through ***3 confidences*** ↓

Confidence of	***Meaning***
People	whichever party the people elect, civil services serve the elected government with ***diligence, dedication and commitment***
Ministers	irrespective of the ideology of the minister's party, civil servants perform duties with commitment
Civil servants	decisions on ***postings, careers and promotions*** based on ***objective merit and rationality***, not political affiliation

Policy vs political neutrality: ministers may lack specialised knowledge of policy and governance, so civil servants ***advise*** them on the right course. Involvement in policy = ***purely intellectual, never emotional***

Problems

→ a thinking person can never be completely neutral

→ the ***4Cs*** of the political environment (criminalisation, casteism, communalism, corruption) make neutrality difficult

→ parties may demand ***loyalty*** instead of encouraging neutrality

→ no complete agreement on fundamentals such as the country's vision and direction (extreme right, extreme left, secular parties)

→ rise of ***multi-party democracy*** exposes officers to pressure from different parties at Centre and state.

Bhaskar Ghose's 3 types	Behaviour
Neither Wilt nor Tilt	stand firm, refuse orders that deviate from established policy or law; may face transfers but do not compromise neutrality and honesty
Incorrigibly Corrupt	find political godfathers early in their careers and align with political parties
Weather Report Readers	shift loyalty with changing political circumstances; adjust positions to suit convenience

2-6 · THE OTHER FIVE

Commitment

→ ***commitment towards:*** impartial implementation of the rule of law; established code of ethics

→ settled policies; probity; transparency; duty

→ welfare of the ***Daridra*** (poorest of the poor)

Anonymity

→ works behind the scenes; ***minister = public face***

→ credit for good goes to the minister; in a major failure the minister must also accept responsibility: anonymity goes ***hand in hand with ministerial responsibility***

→ it is the ***duty of ministers to protect civil servants***

→ changing with social accountability mechanisms: social audits, RTI, Citizens' Charters, time-bound public service delivery laws

Instrumentality

→ instrument of the people, but a full bureaucracy can become an ***independent power structure*** with elitist values

→ ***Max Weber:*** once an institution, bureaucracy is among the hardest structures to dismantle

Professionality

→ a professional keeps improving knowledge and skills, stays updated, undertakes training; civil service is a profession

→ hindrances: generalists in specialist services; only ***1 in 5*** can expect formal training · weak appraisal (no quantifiable targets) · weak incentives and disincentives: "***hire, but no fire***"

Impersonality

→ don't personalise the post (DC, SP): impersonality = not personalising the position; the job is to discharge its duties faithfully

→ impersonal attitude to superiors, colleagues and juniors; over-personal ties dull objectivity (example: overlooking a friend's corruption)

CIVIL SERVICES ACTIVISM

Activism = a civil servant takes the role of a ***crusader*** to address problems inside and outside government.

Forms

→ going to the media; calculated leaks; going to courts

→ ***whistleblowing*** = publicly exposing wrongdoing

→ ***grassroots activism*** = initiatives that make people's interactions with district administration easier

→ ***post-retirement***: NGOs, civil society organisations, YouTube channels and similar platforms

Lakhina Experiment (Dr. Lakhina, IAS, Ahmednagar, 1980s): officials needed older files but finding them in heaps was hard; he ***colour-coded files by year***, making retrieval easy. Example of ***grassroots activism***.

Issues

→ may violate civil service rules and set a ***bad precedent***

→ may ***personalise institutional issues*** (e.g. targeting the CM personally over corruption)

→ exposes civil services to manipulation by parties and media
→ can erode credibility of public and democratic institutions

Verdict: activism as such ***cannot be encouraged***, but it is a sign of our times. Civil service and electoral reforms, discussed for decades, must be implemented more effectively to ensure an appropriate political class and civil services.

Recall drill: cover and answer

Six roles	neutrality, commitment, anonymity, instrumentality, professionality, impersonality	Three confidences	people, ministers, civil servants
Ghose's 3 types	Wilt-Tilt (firm), Incorrigibly Corrupt, Weather Report Readers	Training coverage	only 1 in 5 gets formal training
Lakhina Experiment	colour-coded files by year, Ahmednagar 1980s		

WORKING & PERFORMANCE OF CIVIL SERVICES

PYQ none quoted in the material (2014 cadre PYQ printed here, answer in Ch 2) · Handout MI pp. 12–13

✎ *Civil servants formulate, implement, evaluate and adjudicate. Regulation is the best-done job; delivery and facilitation are weakest, and political meddling explains much of it.*

FIEA — Four functions: **F**ormulate · **I**mplement · **E**valuate · **A**djudicate (and keep ***continuity*** when politics changes). (own mnemonic)

Functions

→ ***Formulate:*** principal channel between grassroots and top decision-makers; technical considerations; ***policy advice incl. value judgments***; draft legislation
→ ***Implement*** (a principal responsibility): making rules, financial management, HR management, regular monitoring and supervision
→ ***Evaluate:*** feedback goes to political leadership to improve, adjust or modify policy, but a conflict of interest arises (officers evaluate programmes they implemented) → rising importance of ***social audits***
→ ***Adjudicate:*** quasi-judicial powers (e.g. District Collectors decide certain administrative disputes through revenue courts)
→ ***Continuity:*** administration continues through changes in political leadership or absence of the political executive

Function	***Performance***
Regulatory	relatively satisfactory in preserving constitutional order, democracy, secularism, national unity, and law and order against separatism, terrorism, subversion
Impartial rule of law	hit by class bias, corruption, political interference
Developmental	mixed: economic development, effective public services, implementing elected governments' policies
Facilitation (post-1991)	after 1991 reforms shifted from direct doer towards ***facilitating*** private sector, civil society, NGOs, local bodies; performance considered ***particularly weak***

WHY PERFORMANCE SUFFERS

Causes

→ ***political interference*** (cannot keep neutrality); ***dual control***: balance of control over AIS weakened, states exercising considerable influence

→ ***reluctance to use constitutional protection***: high personal and financial costs

→ ***arbitrary transfers, short tenures***: average DC tenure about ***1 year***; T.S.R. Subramanian stressed tenure security in key posts

→ ***corruption***, esp. in ***street-level bureaucracy*** (lower-level officials citizens meet directly)

→ ***poor capacity building***: training has not kept pace with a changing environment

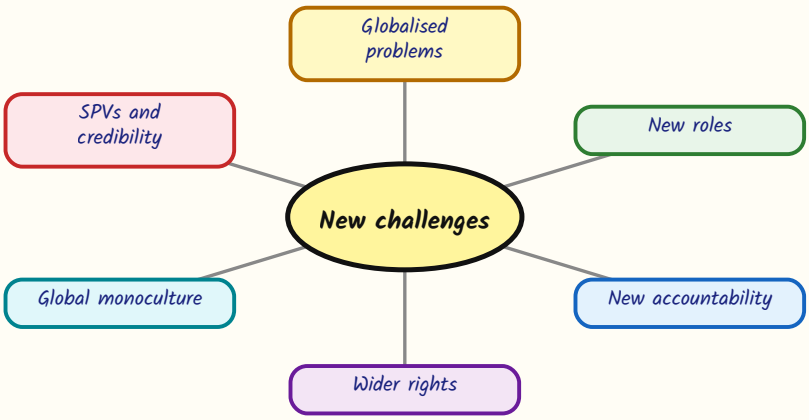
→ ***wage compression***: pay not raised in proportion to changing responsibilities

→ ***poor evaluation***: inadequate data weakens objective assessment

→ ***lack of people's participation*** in administration

WILD SCARE — **W**age compression · **I**nterference · **L**ack of participation · **D**ual control · **S**treet-level corruption · **C**apacity · **A**rbitrary transfers · **R**eluctance to use protection · **E**valuation poor (own mnemonic)

21st-CENTURY CHALLENGES



Challenge	Meaning (as in handout)
Globalisation of domestic problems	domestic problems with international roots (COVID-19, money laundering, terrorism, drug trafficking) need ***multilateral frameworks***; officers need ***negotiation and diplomatic skills***
Changing roles	***Doer:*** remaining direct functions more effective and cost-efficient. ***Regulator:*** law and order needs new skills
Changing accountability	beyond local institutions to ***global standards*** (Transparency International, HDI, SDGs, Ease of Doing Business); Citizens' Charters and social audits let citizens hold officers accountable directly
Continuous reforms; professionalism	continuous, not episodic; ***unlearn old habits, relearn new***; reforms regularly; greater professionalism
Expanding rights	respond to new rights-based demands: environmental, consumer, disability, LGBT, privacy
Global monoculture	Western consumer culture challenges traditional Indian culture; manage tensions of cultural change
Tailor-made institutions	specialised bodies and ***SPVs*** outside ministerial hierarchies (Solar Energy Corporation, National Skill Development Corporation)
Crisis of State credibility	more visible after ***LPG reforms*** and India joining institutions like ***WTO***; credibility pressed by forces ***above and below*** the State

Reforms must be ***continuous, not episodic***; professionalism is the aim. ***PYQ printed here: 2014 cadre-based services*** → Ch 2.

In the news · Saarthi IAS CA, Aug 2026 (verify) ***Cabinet Secretary:*** ACC approved a one-year extension. ***Link:*** stable tenure at the top vs arbitrary transfers lower down (T.S.R. Subramanian).

Recall drill: cover and answer

Four functions	formulate, implement, evaluate, adjudicate	Evaluation problem	conflict of interest → social audit
Weakest performance area	facilitation (post-1991)	Average DC tenure	about one year
3Ms of monoculture	MTV, Macintosh, McDonald's		

BUREAUCRACY & DEVELOPMENT

PYQ none quoted in the material · Handout MI pp. 13–15

✎ *Weber said bureaucracy is like fire: a fine servant, a terrible master. Democracy both needs it and fears it, and Indian bureaucracy has its own habits and paradoxes.*

> ***Max Weber:*** *"Democracy has to promote what reason demands but what democratic sentiments hate." A* ***love-hate*** *relationship: bureaucracy is like* ***fire****, invaluable servant, destructive master.*

Promotes democracy

→ institutionalises rule of law

→ helps conduct ***free and fair elections***

→ fulfils the six role expectations

→ ***balanced policymaking***: stops policy turning one-sided or giving undue benefit to some sections

→ delivers socio-economic justice through policies

Threatens it

→ ***instrument → institution*** with own values and privileges; may resist citizen-centric reforms that challenge its authority

→ ***oligarchic concentration of power***

→ ***secrecy***: citizens cannot know what happens inside; like an "***uninformed parliament***" with little public scrutiny

→ suppresses roles of NGOs, pressure groups, local bodies

→ ***no representative bureaucracy*** (classes, castes, religions, occupations): fewer perspectives on policy, weaker grassroots-based implementation

→ corruption and lack of neutrality weaken governance

→ ***state oppression:*** agencies used for political ends against rivals (ED, CBI)

→ ***power struggle*** between political and permanent executive at the top → ***politico-administrative no-man's land*** (responsibilities of policymakers and implementers unclear)

SCORPIOS — Bureaucracy as master stings: **S**ecrecy · **C**orruption · **O**ligarchy · **R**epresentation absent · **P**olitico-admin no-man's land · **I**nstrument→institution · **O**ppression · **S**uppresses NGOs (own mnemonic)

Political-bureaucratic conflict	Parties
Mundhra scandal 1957	allegation that LIC invested in **loss-making** firms of Haridas Mundhra; led to resignation of the Finance Minister and the Finance Secretary
Mid-1960s	tussle between Home Minister Gulzarilal Nanda and Home Secretary L.P. Singh
1973	Railway Minister Hanumanthaiah vs Railway Board Chairman B.C. Ganguli
1987	disagreements between PM Rajiv Gandhi and Foreign Secretary A.P. Venkateswaran over foreign policy towards Sri Lanka

WEBER vs DEVELOPMENT ADMINISTRATION

Weber: bureaucracy is not simply the civil service; it is a **form of organisation of work** in which many people work together, so it can exist in **private organisations** too. Its problems became more pronounced in the public sector, so "civil service" and "bureaucracy" came to be used interchangeably.

Weber's bureaucracy	Development administration
division of labour and specialisation	**change orientation:** bring positive change in people's conditions
clear hierarchy giving leadership at levels	**result orientation:** change shows in quantified, visible results
rule orientation: rules ensure impartiality, neutrality, objectivity	**commitment to change:** implement time-bound programmes
role specificity: defined responsibilities, so individuals can be held accountable	**client orientation:** what suits the client, not the government; plus **communication and participation** inside and with citizens

C R C C – Development admin = **C**hange · **R**esults · **C**ommitment (time-bound) · **C**lients. (own mnemonic)

Conflicts

→ **goal displacement** (excess rule orientation shifts focus from the real objective)
→ **low adaptability** (traditional bureaucracy built to maintain status quo; modern ones must lead change)
→ **historical mismatch** (bureaucracy predates development administration, which emerged largely after WW II, so adapting to a welfare role is hard)
→ **political dimension** (not merely techno-bureaucratic; society must be prepared for development)
→ **excessive formalism**, esp. unsuitable for rural development.

INDIAN BUREAUCRACY

Structural

→ **British pattern** inherited
→ **long hierarchies:** lower levels get disconnected from higher levels
→ **concentration and centralisation of power:** little authority devolved to street-level bureaucracy
→ cadre-based civil services
→ **unstable tenure:** frequent transfers hamper functioning (Collectors "packing and unpacking")
→ standard departmental structure for most purposes

Behavioural

→ **colonial mindset:** master rather than public servant
→ **non-responsive; Hakim culture:** distance from the local population
→ **Babu culture:** file and rule fetishism; **creative inertia** = look of activity without real results on the ground
→ corruption; **red tape** (slow-moving); **secrecy**
→ result: less suited to development administration

Paradoxes

→ ***advanced technology amid socio-economic backwardness***

→ ***govt spends more on itself:*** Rajiv Gandhi said only ***16 paise*** of each rupee spent on development reaches the people; much goes to salaries, procurement, accommodation, office costs

→ ***archaic and complex values*** and rules constrain development administration

→ ***authority-responsibility mismatch:*** lower levels carry big responsibility with little authority, so decisions feel risky

→ ***unstable tenure:*** short tenures stop officers improving programmes with experience

→ ***poor inter-agency coordination:*** departmental thinking blocks integrated development

→ ***centralised, non-participatory:*** public participation often only formal

→ ***profound learning disorders:*** agencies should learn from mistakes, yet do not (e.g. repeated dengue outbreaks in Delhi)

→ ***generalists given more importance;*** specialists need rehabilitating in the system

→ ***wage compression:*** pay should rise with responsibility, as pay is a key determinant of motivation

Recall drill: cover and answer

Weber's metaphor	bureaucracy is like fire: servant or master	Mundhra scandal	1957, LIC; FM and Finance Secretary resigned
Development admin traits	change, results, commitment, clients	Hakim vs Babu	colonial master mindset vs file/ rule fetishism
Rajiv Gandhi figure	16 paise of a rupee reaches people		

PAY, 8th CPC & RIGHT TO STRIKE

PYQ none quoted in the material · Handout MI pp. 16–17

✎ *Civil servants earn less than the private sector but get security, perks and status. The 8th Pay Commission is about a multiplier, and strikes in essential services are a public-interest line.*

Salaries are often lower than the private sector, but with ***job security, fringe benefits, higher social status*** and opportunities for ***public service*** (salary should not be the only motivation). A balance can be struck with ***performance-linked incentives***.

8th CENTRAL PAY COMMISSION

FORMULA — ***Revised Basic Pay = Existing Basic Pay × Fitment Factor*** · reference date ***1 Jan 2026*** · higher factor → higher allowances and pension liability.

Issues

→ ***minimum-wage calculation:*** earlier CPCs used a ***3-consumption-unit*** family model; groups want ***dependent parents*** included, raising the question of how far pay should cover rising healthcare, eldercare, family support costs

→ ***Dearness Allowance:*** employees want DA ***merged with basic pay*** before the new structure; usually DA is ***absorbed into revised pay and then reset***, so part of the apparent rise is ***inflation compensation already given***, not a big real-income gain

→ ***fiscal impact:*** higher pay and pensions raise committed expenditure, make ***fiscal consolidation*** harder, shrink space for capex, infrastructure, development

→ ***states:*** CPC applies to Central staff but states face pressure to follow; heavier salary and pension burden; may cut health, education, local development spending

Way forward

→ ***regular pay revision:*** smaller, more predictable revisions, not big decadal shocks

→ ***performance orientation*** without weakening administrative neutrality

→ ***workforce rationalisation:*** better deployment, fewer unnecessary posts

→ ***digital governance*** to raise productivity

→ ***fiscal balance:*** link revisions to inflation, revenue growth, overall fiscal capacity

Why fair pay matters

→ attract and retain competent civil servants

→ protect against inflation

→ maintain morale and integrity

→ reasonable social security. But revisions must stay consistent with ***fiscal sustainability and administrative efficiency***: fair pay with an efficient, accountable, fiscally sustainable administration.

RIGHT TO STRIKE

Trigger: Essential Defence Services Bill, 2021 (the handout calls it a Bill; it became law later: Ordinance June 2021, Act Aug 2021, general knowledge, verify). It was meant to ***prohibit strikes*** in specified essential defence services, incl. ordnance factories (***41 factories, nearly 84,000 workers***), to keep defence supply uninterrupted given India's security challenges and a possible ***two-front conflict***. This raised the question: should civil servants have a right to strike?

In favour	Against
right of citizens: strike as collective protest	***public interest:*** strikes by civil servants may harm it; threat of a strike is like a ***loaded gun pointed at citizens***
protection against exploitation: denial leaves them without effective remedy against extreme service conditions	***model citizens:*** extreme protest may clash with public responsibilities
last resort when other mechanisms fail	***government responsibility:*** govt should treat employees fairly, as its wider aim includes preventing exploitation in public and private employment

Balanced position (handout): no strikes that seriously disrupt essential public services; distinguish essential from non-essential services.

Legal position

→ strike-related misconduct can be a ***disciplinary offence*** under service rules and the ***Essential Services Maintenance Act (ESMA)***

→ ***1st ARC (1966):*** opposed a right to strike; recommended making unlawful strikes a ***penal offence***, not merely a disciplinary one

→ ***Supreme Court:*** government employees have no fundamental, statutory or equitable right to strike

→ balanced solution: distinguish ***essential vs non-essential*** services with different restrictions

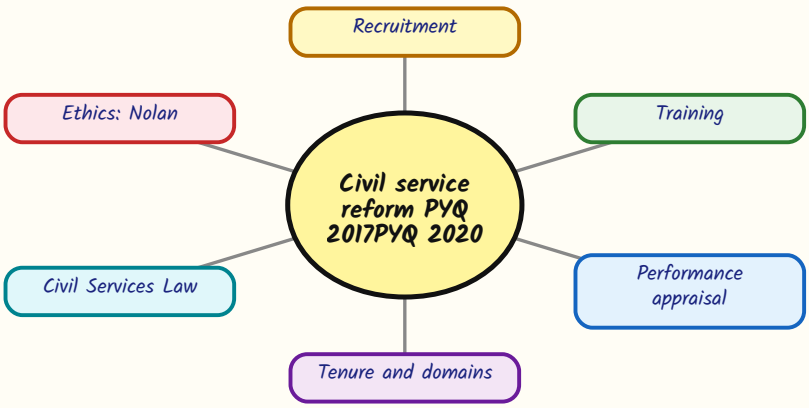
Recall drill: cover and answer

8th CPC formula	Existing basic pay × fitment factor	8th CPC reference date	1 January 2026
Essential Defence Services Bill	2021; 41 factories, ~84,000 workers	1st ARC on strikes	oppose; make unlawful strikes penal
SC on strikes	no fundamental, statutory or equitable right		

CIVIL SERVICES REFORMS & NOLAN PRINCIPLES

PYQ Mains 2017 (neutrality and effectiveness) · 2020 (institutions and economic performance) · Handout MI pp. 17–18

✎ *Reform has four fronts: recruit better, train everyone, appraise on results, and write a Civil Services Law. Nolan's seven principles are the ethical yardstick.*



Recruitment

→ ***mainstream lateral entry***; less dependence on cadre services

→ ***Satish Chandra Committee:*** separate exams for technical services

→ ***NIPAs (2nd ARC proposal):*** specialised public administration institutes; graduates of other universities may compete after a ***1-year bridge course*** in management or public administration

→ ***psycho-social profile:*** recruit by identifying candidates' psycho-social traits; an ***SSB-type interview*** may be considered

→ ***probation rules:*** use probation to identify and remove unsuitable recruits

Training

→ ***training for all***, not largely confined to Group A and B

→ ***mid-career training*** regularly, as 21st-century challenges change fast

→ ***modify content:*** often unsuited to on-ground experience; mid-career courses similar for officers in different fields; training treated as a ***paid holiday***

→ ***link training to career:*** completion and grades should affect advancement
→ ***soft skills:*** communication, interpersonal and others

Appraisal

→ ***Performance Appraisal Reports:*** periodic evaluation by superiors; numerical grades (commonly ***0–10***) linked to ***actual achievement of assigned targets***
→ ***360-degree (multi-source feedback):*** from superiors, colleagues, juniors and clients; used to assess AIS officers for ***empanelment for central deputation***

Tenure, law, specialists

→ ***stability of tenure:*** adequate security of tenure
→ ***domainisation:*** senior officers, esp. IAS, build expertise in fields like security, infrastructure, agriculture
→ ***performance-linked incentives*** can foster competition and raise efficiency
→ ***remove deadwood:*** incompetent, lazy, lethargic civil servants retired prematurely under applicable rules
→ ***comprehensive Civil Services Law*** covering all aspects of functioning; 2nd ARC prepared a ***draft bill***
→ ***transparency in personnel management:*** transfers, postings, disciplinary action; stronger action to root out corruption
→ ***rehabilitate specialists:*** they often work under generalists, with salaries and positions inferior to IAS; this demoralises them

NOLAN PRINCIPLES (1995)

Principle	Meaning
Selflessness	act solely in the public interest; avoid personal gain from official positions
Integrity	maintain moral uprightness; avoid conflicts between personal and professional obligations
Objectivity	decisions on merit and evidence, free from bias, favouritism or external influence
Accountability	answerable for decisions and actions to the public and oversight bodies
Openness	government operations transparent; information accessible unless legally restricted
Honesty	truthful in declarations, statements and dealings with citizens and colleagues
Leadership	exemplify ethical behaviour; promote these principles through personal conduct

HALO iOS — Nolan's seven: **H**onesty · **A**ccountability · **L**eadership · **O**penness · **I**ntegrity · **O**bjectivity · **S**elflessness. Handout order S-I-O-A-O-H-L. (own mnemonic)

PYQs printed: 2017 (250 w) CS designed for neutrality and effectiveness, now lacking; drastic reforms? · 2020 (150 w) institutional quality drives economic performance; suggest CS reforms to strengthen democracy.

In the news · Saarthi IAS CA, Aug and Jul 2026 (verify) ***Conflict of interest:*** National Horticulture Board bars public functionaries from commercial horticulture subsidies; ***SEBI*** rules (Sinha Committee): life-cycle disclosure, ***2-year cooling-off***, recusal, Office of Ethics and Compliance. Quote: Caesar's wife, trusteeship.

Recall drill: cover and answer

Nolan principles	selflessness, integrity, objectivity, accountability, openness, honesty, leadership	NIPA idea (2nd ARC)	after higher secondary; 3–4 years; 1-year bridge course
360-degree concern	victimisation of honest officers	Appraisal scale	0–10 grades tied to targets
Satish Chandra Committee	separate exams for technical services		

REFORM CHALLENGES · MISSION KARMAYOGI · AARAMBH

PYQ Mains 2020 (institutions and economic performance) · Handout MI pp. 19-20

✎ *Reforms stall for human reasons. Mission Karmayogi tries to move the civil service from rules to roles with online, role-specific training.*

Why reforms stall

→ ***political support and will:*** priorities change and reforms get deprioritised; inconsistent support can stall or reverse them

→ ***management capacity:*** institutions may lack project management, coordination, accountability mechanisms; ***fragmented, piecemeal*** efforts without an overall strategy

→ ***civil servants themselves:*** resist (job security, uncertainty, old habits); lack of incentives; inadequate rewards for reformers breed apathy or resistance

→ ***safety nets:*** restructuring and downsizing create insecurity; reforms should give ***compensation, retraining, career counselling***

→ ***alignment with environment:*** reforms must fit political and institutional conditions; long-established norms resist change

→ ***communication:*** clear communication among political leaders, civil servants, citizens; weak channels breed misunderstanding

CRAMPS — **C**ommunication · **R**esistance · **A**lignment with context · **M**anagement capacity · **P**olitical will · **S**afety nets (own mnemonic)

Way forward

→ consistent political support with ***broad cross-party consensus***

→ build capacity via targeted training, ***dedicated reform units***, clear accountability frameworks

→ involve civil servants in design and delivery, with incentives incl. career advancement

→ safety nets (retraining, compensation, institutional support)

→ tailor reforms to states and regions

→ institutionalise regular consultation, transparent decisions, feedback. Aim: a more responsive, efficient, accountable bureaucracy.

SCI-TEC — Reform way forward: **S**upport (political, cross-party) · **C**apacity (training, reform units) · **I**nvolve civil servants · **T**ailor to states · **E**ngage (consult, feedback) · **C**ushion (safety nets). (own mnemonic)

MISSION KARMAYOGI (NPCSCB), 2020 PYQ 2020

Core shift: rules-based → roles-based HR

→ (launched by GoI in ***2020*** as the National Programme for Civil Services Capacity Building; aim: dynamic, agile, citizen-centric bureaucracy). Aims: future-ready workforce

→ shift from rule-bound generalist administration to ***competency-driven, specialist governance***

→ align with ***Viksit Bharat 2047***

→ performance-based appraisal over tenure-based promotion.

Component	What it does
iGOT Karmayogi	Integrated Government Online Training: digital learning ecosystem for officials at ***all levels***; continuous and blended learning; ***AI-driven personalisation***
Competency frameworks	***competency dictionaries*** defining behavioural, functional, domain competencies; replace one-size-fits-all

Performance management	robust, transparent, ***outcome-based*** system; move beyond Annual Confidential Reports to ***real-time feedback and tracking***
SPV: Karmayogi Bharat	***not-for-profit company*** to oversee content, manage partnerships, support implementation; enables tie-ups with public, private, global institutions for content, research, evaluation
Capacity Building Commission	oversees capacity-building ***standards***; gives ***strategic direction***, monitors implementation, ensures ***quality assurance***

I C P S – Karmayogi: **i**GOT · **C**ompetency · **P**erformance · **S**PV (+ the Commission). (own mnemonic)

Implementation problems

→ ***lateral entrants:*** bridge the culture gap with career civil servants; unified competency and performance frameworks for both

→ ***mindset:*** compliance-oriented → problem-solving, citizen-centric; beat bureaucratic inertia; ownership and motivation for digital learning

→ ***Centre-State:*** state needs are diverse; collaborate for uniform standards without hurting federal diversity; states and local bodies need capacity

→ ***resources:*** digital infrastructure in remote areas; funds for content, training partnerships, scaling up

Significance

→ raises ***efficiency, transparency, accountability*** of civil services

→ ***responsive governance***: modern tools and competencies

→ aligns civil services with India's changing aspirations and a dynamic democracy

→ shift from ***rule-based, control-focused*** to ***role-based, citizen-first*** delivery

C C C – ***Aarambh*** (Common Foundation Course): capacity-building initiative nurturing a ***shared understanding of governance*** among civil services probationers; stresses three foundational values for new entrants: **C**ommitment · **C**haracter · **C**onduct.

In the news · Saarthi IAS CA, Jul 2026 (verify) ***DAKSH Leadership Programme*** (3rd batch): senior PSE executives; run by the Capacity Building Commission and SCOPE with ISB.

Recall drill: cover and answer

Mission Karmayogi shift	rules-based → roles-based	iGOT stands for	Integrated Government Online Training
SPV	Karmayogi Bharat, not-for-profit	Aarambh stresses	Commitment, Character, Conduct
Karmayogi aligns with	Viksit Bharat 2047		

TRANSPARENCY & NDSAP

PYQ none quoted in the material · Handout MI pp. 21–23

✎ *Transparency means the rules, reasons and records of power are open to the people. It comes first; accountability and integrity follow. NDSAP opens government data.*

OECD: an environment where policy objectives, legal and institutional frameworks, decisions, their rationale and relevant information reach the public in a ***comprehensible, accessible, timely*** way.

UNESCAP: decisions and their enforcement follow rules and regulations; information is ***freely available and directly accessible*** to those affected by decisions.

In governance: people have the ***right to know*** what government is doing and government has an ***obligation*** to tell; criteria, processes and systems of decision-making are openly known to all (***Tandon, 2002***). ***Public scrutiny:*** actions must withstand scrutiny, with information in an understandable form.

TOP — Three metaphors: **T**ool of good governance · **O**pen decision-making (secrecy vs privacy) · **P**ublic value (counters corruption). (own mnemonic)

ACE TIPS — Objectives: **A**ccountability · **C**ombat corruption · **E**ntitlements · **T**rust · **I**nformed citizens · **P**articipation · **S**ervice delivery (own mnemonic)

Objectives in detail

- → transparency makes govt ***accountable***
- → raises chances of ***detecting corruption*** and deters it (TI Global Corruption Report 2003 stressed information)
- → lets citizens ***access entitlements***
- → improves ***service delivery***
- → ***informed citizens*** understand decisions and reasons
- → ***participation*** in democracy needs access to information
- → lack of information breeds ***disempowerment, mistrust, frustration***.

Transparency is the precursor of accountability, integrity and probity. Ethical governance needs not only ***rule of law*** but fairness, equality and justice. Mechanisms: RTI, e-governance, Citizens' Charters. Key measures: ***RTI 2005, NDSAP 2012, Charters, e-governance, CPGRAMS***.

SOCIAL ACCOUNTABILITY TOOLS

Social accountability stresses ***civic engagement***: citizens help monitor govt performance. Tools: ***social audits*** (e.g. MGNREGA), ***public expenditure tracking***, ***Citizen Report Cards***, ***public hearings***. They raise service quality and deter corruption by making governance participatory.

Tool / practice	*Impact*
Social audits, ***MGNREGA, Rajasthan model***	villagers audited public works and found ***ghost beneficiaries and wage leakages***
Citizen Report Cards, Bengaluru	survey-based feedback on services like electricity and water improved delivery
Public Expenditure Tracking, ***Uganda***	greater transparency in fund flows reduced diversion of education grants
EDUCO, El Salvador	community participation in school management improved teacher accountability and student outcomes

E-governance

→ digital platforms ***streamline processes, reduce discretion, speed up grievance redressal***

→ but ***digital divide, privacy concerns, cybersecurity threats, low digital literacy*** can undermine transparency

Challenges of transparency

→ ***administrative burden:*** non-serious applications pressure already understaffed bureaucracies

→ ***misuse:*** anti-social elements may use information to create disharmony or threaten national security

→ ***questionable authenticity*** of disclosed information

→ ***wrong interpretation*** can hurt an organisation

→ ***privacy and confidentiality*** conflict

Committee / report	Recommendation
2nd ARC, 14th Report	mandatory proactive disclosure; integrate e-governance with service delivery; public data portals
Law Commission 179th and 255th	redefine RTI exemptions; clearer guidelines on public-interest disclosure
NCRWC (Constitution review commission)	replace the Official Secrets Act with more appropriate national-security legislation
CIC (2013)	held that political parties come within the ambit of RTI; non-compliance has persisted

NDSAP 2012

NDSAP: promotes sharing of and access to ***government-owned data*** for national planning and development. ***Objective:*** proactive, periodically updated access to shareable data within applicable laws.

NDSAP MACHINERY

OGD Platform gives access to datasets of ministries and agencies → *DST is the nodal department: coordination, formulation, implementation, monitoring* → *Principles: openness, flexibility, transparency, data quality, wider access* → *Negative list = data that cannot be shared; consider RTI Sec 8 and 9, IT Act 2000, Right to Privacy*

Transparency vs privacy: RTI may clash with the Official Secrets Act, Conduct Rules, privacy. ***Sec 8(2):*** disclose when public interest outweighs protected interest. Aadhaar and DBT need strong data protection. Digital and language barriers may exclude ***marginalised communities***

Recall drill: cover and answer

NDSAP year, nodal dept	2012; DST	Platform	Open Government Data (OGD)
Negative list based on	RTI Sec 8-9, IT Act 2000, privacy	Transparency is precursor of	accountability, integrity, probity
Rajasthan social audit	MGNREGA; ghost beneficiaries		

ACCOUNTABILITY

PYQ Mains 2018* (effectiveness of government and people's participation) · Handout MI pp. 24-28

✎ *Accountability = answering for your actions and facing a penalty if you fail. It runs up, down and sideways, and every answer should ask: for what, to whom, through what?*

Responsibility = obligation to carry out assigned tasks at any level of the hierarchy; simply, ***answerability*** for one's actions or behaviour. Public service accountability = how an agency or official fulfils duties ***and*** how they must account for it. Govt servants must work in the ***public interest*** and answer for what they do or fail to do

Bureaucratic accountability has two aspects: Answerability = giving an account of actions taken or not taken; ***Enforceability*** = penalties or corrective measures for illegal, inadequate or improper performance.

EAR – Components: **E**nforcement (sanctions for failure) · **A**nswerability (ability to justify an action) · **R**esponsiveness (responding to demands of the organisation and its clients). (own mnemonic)

CHAI – Dimensions: **C**ontrolling political power (prevent abuse via sanctions, transparency, duty to justify) · **H**uman (ethics, public values, trust in govt) · **A**rgumentative (citizens may seek explanations; authorities must justify conduct) · **I**nformational (citizens may receive information; institutions must give details). (own mnemonic)

Values and objectives

→ ***integrity:*** values match actions; do not trade personal integrity for short-term gain
→ ***impartiality and non-partisanship:*** neutral in implementing policy; resist political pressure
→ ***objectivity:*** decisions on evidence; remove bias
→ ***empathy and compassion:*** sensitivity to weaker and vulnerable sections
→ ***objectives:*** control abuse of power and discretion · continuous learning and improvement · ***institutional introspection*** (review internally, accept external scrutiny)

TYPES OF ACCOUNTABILITY

Type	Meaning
Managerial	within the administrative hierarchy, between superiors and subordinates
Political	civil servants answer to political executives, who answer to Parliament or legislature
Judicial	for unconstitutional or illegal actions
Institutional / Horizontal	enforced through external institutions such as CAG, CBI, CVC
Professional	through professional codes of ethics enforced by bodies such as the Bar Council or ICAI
Social	citizens directly hold civil servants accountable through RTI, Citizens' Charters, social audits and institutions such as Lokpal

Accountability requires administration to

→ make laws work as intended with minimum waste and delay
→ use discretion lawfully and sensibly
→ recommend new policies and changes in programmes when needed
→ raise citizen confidence in administrative institutions. ***To whom?*** internal hierarchy
→ legislature
→ judiciary
→ citizens and civil society
→ media.

Intra-organisational

→ hierarchy gives a superior-subordinate link

→ subordinates answer to superiors; senior officers to ministers, who answer to the legislature

→ also called ***organisational*** accountability

Inter / extra-organisational

→ operates ***outside*** the department

→ officials can face legal action for lapses or unlawful conduct

→ executive is constitutionally accountable to the legislature

→ citizens and media can question injustice, inaction, improper conduct

THREE DIRECTIONS

Horizontal: institutions within the State with power to seek explanations and impose penalties on other state actors (CAG, Election Commission, CVC, CIC, ombudsman) → *Vertical: citizens and civil society: elections, lobbying, participation in budgeting and policymaking, Citizen Report Cards, social audits* → *Diagonal: citizens directly engage with horizontal-accountability institutions, e.g. PIL*

Other classifications

→ ***Financial/fiscal:*** one of the oldest; scrutiny of financial records so spending is authorised and lawful; legislature exercises its power over the ***public purse***; may reveal corruption, kickbacks, misuse of welfare funds

→ ***Process: how*** agencies do their tasks; detects procedural irregularities (improper tenders, contracts, construction procedures)

→ ***Programme: results and effectiveness***; looks beyond efficiency to effective implementation

→ ***Legal:*** actions must comply with laws and judicial processes; court action and ***judicial review***

→ ***Professional:*** doctors, engineers etc. follow professional codes while protecting the larger public interest

→ ***Political:*** concerns legitimacy of programmes; administrators must recognise the authority of elected representatives to set priorities, allocate resources, ensure compliance with lawful decisions

→ ***Social:*** citizens and civil society hold public institutions accountable, directly or indirectly (civic engagement)

→ ***Moral:*** core of public administration; goes beyond obeying laws and rules; a moral official strives for moral government

→ ***World Bank: micro***-accountability = govt responsiveness to citizens receiving services; ***macro*** = financial accountability and accountability for overall economic performance

Need for transparency and accountability

→ ***expanding govt role*** (growing, overlapping departments)

→ ***delegated legislation*** (more executive power)

→ ***politics-bureaucracy nexus*** (bureaucrats may become committed to a ruling party's agenda, not settled policy)

→ ***corruption*** (black money, opportunistic politics, scams)

→ ***limited popular participation*** (illiteracy, poverty, unemployment; benefits may not reach the needy; transparency lets citizens question misuse of money and power)

MECHANISMS

Institutions

→ **CVC:** set up **Feb 1964** on **Santhanam Committee** advice; statutory status by **CVC Act 2003**; independent vigilance body; monitors vigilance in the Central govt

→ **Lokpal and Lokayuktas Act 2013:** Lokpal at the Centre, Lokayuktas in states, to examine corruption allegations against specified public servants; Lokpal selection committee = PM, Speaker of Lok Sabha, LoP in Lok Sabha, CJI or nominated SC judge, eminent jurist

→ **Whistle Blowers Protection Act 2014:** mechanism for complaints on corruption, wilful misuse of power or discretion; inquiry; **anonymous complaints not entertained**

→ **CAG:** guardian of the public purse; independent of the executive; reports laid before Parliament, examined by committees incl. **PAC**

→ **social audit** (examination of programmes with participation of citizens, esp. beneficiaries), **RTI Act 2005, Citizens' Charters**

Modern

→ **performance audits and outcome budgeting:** from input-output accountability to measuring real governance impact

→ **Social Audit 2.0:** digital dashboards for real-time public participation in auditing programmes

→ **ethics committees:** institutionalise ethical accountability in legislatures and ministries beyond financial audit

→ **data-driven vigilance cells:** predictive analytics to spot anomalous transactions in public procurement

→ **e-governance platforms: CPGRAMS, PRAGATI** improve accountability via digital grievance tracking and monitoring

Issues

→ **unclear relationships:** accountable for what, to whom, through which mechanism?

→ **size of govt:** distance between citizens and officials; World Bank: expanding state functions make broad political accountability harder

→ **administrative secrecy** behind complex rules

→ **excess focus on inputs** (spending) over outputs and outcomes

→ **top-down enforcement** through political leaders, institutions, superiors rather than directly by citizens

→ **bureaucratic power:** need to control, supervise it, create institutional constraints

→ **new-age: algorithmic/AI bias** in welfare and policing (opaque algorithms); **PPPs** may diffuse blame between agencies and contractors

Solutions

→ **decentralisation** (World Bank): stronger local govt improves responsiveness for infrastructure and services

→ **resilient mechanisms** for complex settings with competing interests and limited resources

→ **compliance** with rules, laws, professional codes

→ **bottom-up** accountability: social audits and participation complement top-down

→ **adapt to digitalisation**

→ **value-driven responsibility:** beyond procedural oversight to a culture based on public values

→ **ethical capacity building:** ethical literacy, adaptive governance, citizen-centric evaluation

→ **institutionalise ethical governance:** internalise accountability beyond fear of sanctions

→ **technology with human oversight** to prevent algorithmic opacity

Handout flag: the CVC and Lokpal selection committees are different. CVC: **PM, Home Minister, LoP**. Lokpal: **PM, Speaker, LoP, CJI/nominee, jurist**.

Recall drill: cover and answer

Two parts of accountability	answerability + enforceability	Horizontal / vertical / diagonal	state bodies / citizens / citizens → bodies (PIL)
Micro vs macro	service users vs financial and economic performance	CVC set up	Feb 1964, Santhanam; statutory 2003
Three questions	for what, to whom, through what		

CITIZEN'S CHARTER & SEVOTTAM

PYQ Mains 2024 (15 m) · 2018 (15 m) · 2013 (10 m) · Handout MI pp. 28-31

✎ *A Charter is the office's promise to citizens: what service, how fast, whom to complain to. It creates no new right. Sevottam is the quality system that tries to make the promise real.*

Launched 1991 by John Major (UK). Declaration of commitment on ***qualitative and temporal entitlements***; ***creates no new rights***, seeks to enforce existing ones; includes grievance redress.

Purposes

→ clarifies what to expect from govt; makes govt more ***responsive***; creates a ***service orientation*** instead of a master mindset

→ ***people's participation:*** a good charter is built on consultation with client groups and citizens: a key element of democracy

→ ***strengthens accountability:*** without timelines and standards it is hard to hold anyone accountable; with quality standards and a quantifiable timeline, performance can be measured and performers told from non-performers

→ ***pro-active approach*** to good governance (a govt-side initiative)

→ ***image and credibility:*** if commitments are met, citizens are satisfied and trust is restored

→ ***empowerment and democracy:*** people participate and can hold govt accountable for services

→ ***development instrument*** if charters cover every entitlement-based scheme with timelines civil servants must follow

Elements (India)

→ ***vision and mission statement*** (deliver services on time and with quality)

→ ***details of business transacted*** (all services listed so citizens get clarity)

→ ***details of clients served***

→ ***services given to each client group***, with timeline procedure

→ ***grievance redressal machinery and how to access it*** if service is not delivered as promised

→ ***expectations from clients:*** produce documents, pay fees on time

→ ***compensation***, if any, when service is not delivered as promised; regular ***internal and external monitoring, evaluation, review*** mandated

By 2011-end: **131** central and **729** state charters · site ***goicharters.nic.in***.

PROBLEMS PYQ 2024 PYQ 2018 PYQ 2013

Why charters fail

→ ***bureaucratic mindset***

→ ***limited consultation:*** should consult stakeholders, client groups and street-level staff; else it degenerates into a ***manager's or secretary's charter***

→ ***no penal provisions:*** if commitments go unmet there should be penalties; without them staff are not pushed and departments get overburdened

→ citizens are ***hardly aware*** of it

→ standards ***too lax or too strict*** become unrealistic and erode confidence; timelines should be stepwise for each service (too long or impossible-short both erode trust)

→ some charters too detailed, some too brief: ***long enough to inform, short enough to be read***

→ ***names and addresses of grievance redressal officers missing*** in many charters (found by external agencies or NGOs)

→ ***no incentives*** at individual or organisational level (UK ***Charter Mark*** fosters inter-department competition; DARPG hired an outside professional agency for this)

→ ***delays:*** senior officials took existing brochures and manuals to be charters; DARPG then directed departments to draft separate charter commitments

→ ***needs of senior citizens, disabled, others ignored*** (charters treat all alike; sub-categories needed for quicker service)

→ ***poor review and updating*** (should draw on complaints and suggestions at the grievance desk)

→ ***inadequate devolution*** to street-level staff: check workload and workforce, give powers and resources to deliver without countersignature from above

→ ***technical jargon***, not in ***vernacular*** languages

→ ***same format*** used for all services of a ministry, hurting timelines and quality

WHO CARE – ARC-II fixes: **W**idest possible consultation · **H**old officers accountable for results (penal provisions) · **O**ne size does not fit all (separate charter per unit and per service) · **C**ommit only to what you can deliver (fix timelines after assessing resources and workload) · **A**ppropriate redressal mechanism · **R**eform internal structures and processes to match charter commitments (obsolete rules, power distribution) · **E**valuate periodically with end-user feedback (own mnemonic)

Suggestions

→ DARPG ***hand-holding*** for first charters (officials posted in each department; start ad hoc, learn, update)

→ more spending on awareness; fund credible NGOs

→ persistent effort for attitudinal change

→ user groups and staff mandatory in drafting

→ built-in monitoring and review, preferably by an ***outside agency***

→ prioritise services, not all at once

→ incentives at organisation and individual level (UK Charter Mark)

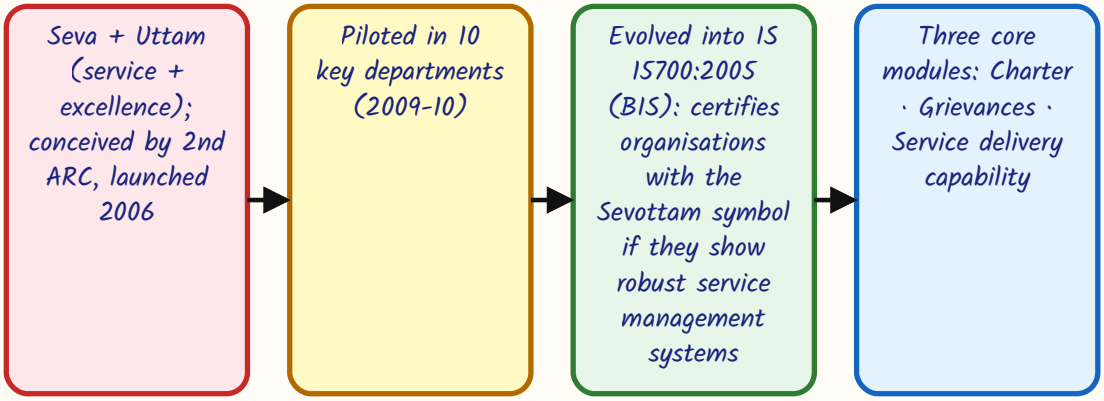
→ showcase and replicate best practices

→ simple language, not too detailed

→ ***5-year master plan with budget***.

SEVOTTAM = SEVA + UTTAM

SEVOTTAM IN FOUR STEPS



Core module	Focus
Citizen Charter implementation	mechanism to implement charters; ***public feedback shapes service delivery norms and expectations***
Public grievance redressal	responsive, ***empathetic*** system that builds public trust ***regardless of the outcome***
Service delivery capability	build internal capacity (processes, resources, workforce) for consistent, efficient delivery

D S D P M E I — Seven steps in order: **D**efine services · **S**et standards · **D**evelop capability · **P**erform · **M**onitor · **E**valuate impact · **I**mprove. Remember: Do Something Daily; People Must Expect Improvement. (own mnemonic)

Step	Meaning (handout)
Define services, identify clients	state range of services; map diverse needs of citizen groups
Set standards and norms	measurable benchmarks on quality, accessibility, timeliness
Develop organisational capability	strengthen HR, infrastructure, technology to empower frontline staff
Perform to achieve standards	institutionalise adherence at every operational level
Monitor performance	real-time tracking to catch gaps early
Evaluate impact	independent evaluation of effectiveness and citizen satisfaction; feeds policy refinement
Continuous improvement	feedback-driven innovation and upgrading of delivery

Significance

→ ***structured quality management***: self-assessment and performance improvement (e.g. 2025 DARPG national workshop, Bhopal, on quality benchmarking)

→ ***citizen-centric*** culture (expectations, grievances, feedback built into workflows)

→ ***sustainable reform*** through continuous improvement

→ ***credible self-assessment***: ministries use its tools to align internal accountability with citizen satisfaction.

Challenges

→ officials see it as ***procedural compliance***, not reform (low sensitisation, capacity-building)

→ ***fragmented, inconsistent*** rollout across ministries

→ ***weak digital integration*** (no real-time feedback, timeline tracking, dynamic self-assessment).

Way: mandatory ***training*** and embed in strategy, not just certification

Recall drill: cover and answer

Charter origin	1991, John Major, UK	Does a Charter create rights?	No; enforces existing ones
Charters by 2011	131 central, 729 state	Sevottam launch; standard	2006; IS 15700:2005
Three Sevottam modules	Charter, grievances, service delivery capability		

RTI ACT 2005 & THE 2019 AMENDMENT

PYQ Mains 2020 (RTI amendments and autonomy of Information Commission) · Handout MI pp. 31–35

✎ *RTI turns a citizen's question into a legal duty on any public authority. Few exemptions, a public-interest override and penalties: the 2019 amendment moved tenure and pay of Commissioners to the Centre.*

1766
Sweden: first RTI law

1966
USA second

Ombudsman: the institution behind Lokpal and Lokayukta began in ***Sweden***, first ombudsman ***1809***. India: Lokpal Bill ***passed 2013*** (became an Act); Lokpal body constituted 2019.

Constitutional locus

→ ***not categorically codified***

→ Preamble ideals (liberty, justice, democracy) amply support it

→ ***SC read it into Art 19(1)(a), Art 21, Art 39(b), 39(c)***. Cases: ***Rajnarain 1975, S.P. Gupta 1982***. "***Data is the new oil***": Art 39 (equitable distribution of resources: material resources of the community distributed to serve the common good

→ or, perhaps, both".

Why demand grew

→ ***growing democratisation:*** far more democracies than 3–4 decades ago; many ex-colonies adopted democracy in the 20th century

→ ***advocacy:*** international (World Bank, IMF, ***Transparency International***, a Berlin-based NGO with the annual Corruption Index) and domestic (***NCPRI 1996*** led by ***Aruna Roy***, PUCL, ADR)

→ ***MKSS*** brought transparency to grassroots panchayats; famous event at ***Janawad*** village, Rajasthan; slogan "***Humara Paisa, Humara Hisab***"

MONOPOLY — ***Monopoly + Discretion − Transparency = Corruption.*** Adding transparency through RTI checks corruption.

Benefit of RTI	***How (handout)***
Corrects power asymmetry	huge gap between govt power and citizen power leaves citizens helpless; RTI is the key tool to know the status of developments
Realises other rights	a citizen must know the benefits to claim them (e.g. entitlements under the Food Security Act)
Citizen participation	awareness of govt work lets citizens comment, give feedback, suggest improvements
Corrects trust deficit	perception that all civil servants are corrupt; RTI gives status of development work within ***30 days***
Better, faster decisions	departments must keep records properly or face monetary or departmental action; easier retrieval, timely decisions
Shields civil servants	from unwarranted pressure of seniors or ministers to act illegally: orders must be documented and answerable with proof

1997
first time: Centre sets up working group under ***H.D. Shourie***; states went ahead: ***Tamil Nadu*** first state (1997)

2002
Freedom of Information Bill, 2002 (Shourie group draft) ***enacted but never notified or implemented***; critics: feeble

2005
RTI Act 2005: bill prepared not by bureaucrats but by the ***National Advisory Council***

PAID — A sound regime: **P**enalties for denial (Rs 250 a day up to Rs 25,000, plus option of departmental disciplinary action) · **A**ccess wide (minimal fees, free for BPL, easily perceivable information) · **I**ndependent appeal (CIC, SIC) · **D**isclosure maximum, exemption minimal (own mnemonic)

Philosophy (Preamble of RTI Act): RTI supports transparency, checks corruption, enforces accountability, empowers citizens and promotes democracy, ***balancing*** this with genuine concerns of govt ***confidentiality***, without seriously compromising govt ***efficiency***.

MAIN FEATURES

Right and scope

→ ***all citizens*** have the right

→ ***information*** defined very broadly: any material in any form: records, documents, memos, e-mail, opinions, advice, press releases, circulars, orders, logbooks, contracts, reports, papers, samples, models, electronic data, and info on any ***private body*** held by a public authority under any other law

→ ***right*** covers info held by or under control of a public authority, incl. right to ***inspect*** work, documents, records; take certified samples

→ ***public authority:*** body or institution of self-government set up by/under the Constitution, by Parliament or state-legislature law, or by govt notification/order

Contested body	***Handout position***
President / Governors	long-pending question: are they part of the definition of public authority?
State federations (BCCI)	substantially financed by govt; they resisted; ***Law Commission*** recommended BCCI be a public authority, ***CIC affirmed 2018***
PPP projects	***DoPT circular 2013:*** info to be public even though many PPPs are substantially financed by private firms; Delhi HC stayed the order
Judiciary	***Subhash Agrawal (2009)*** asked about the 1997 judges' resolution to declare assets; ***SC in 2019:*** judiciary by and large covered

Political parties	***CIC 2013:*** recognised parties meet the substantial-financing test (IT exemptions, free airtime on state media, land at subsidised prices); not stayed or nullified by courts, yet parties still do not comply, citing sub judice

Problematic SC observations (handout)

→ info held by RBI about scheduled commercial banks is open to disclosure, yet in ***2019*** the court said RBI need not disclose banks' ***risk-evaluation and inspection reports*** (despite bank scams)

→ extensive RTI use has created "***fear psychosis and paralysis***" in govt

→ civil servants' personal status (name, address, physical and mental status), professional records, assets and liabilities are beyond RTI

→ names of recruitment interviewers need not be disclosed. ***Objections to covering parties:*** free associations of people

→ do not use tax money directly

→ lack infrastructure for RTI

→ parties would use it against each other. ***Electoral bonds*** money is not subject to disclosure

→ money above that through proper channels goes to the EC and is public.

PROCEDURE: THE NUMBERS

16·120·100·5·10·20 — Publish ***16*** types of information within ***120*** days of the Act (update yearly) · designate PIOs in all units within ***100*** days · transfer a misdirected request within ***5*** days · third-party notice ***10*** days · exempt info released after ***20*** years. Reply ***30 days***. Penalty ***Rs 250/day, up to Rs 25,000***. Also: keep records catalogued, indexed, computerised; give as much info ***suo motu*** as possible to cut RTI requests.

PATH OF A REQUEST

Apply: any citizen, no reason; fee waived for BPL and when time is missed → *PIO replies in 30 days; transfers a wrong request in 5* → *Refusal or delay → complaint to CIC/SIC* → *Penalty and disciplinary action*

EXEMPTIONS (Sec 8) AND OVERRIDE

Exempt

→ info prejudicial to ***sovereignty and integrity***, security, strategic, scientific, economic interests of the State, relations with a foreign state, or inciting an offence

→ expressly forbidden by a court or tribunal; contempt of court

→ breach of ***privilege*** of Parliament and state legislatures

→ ***commercial confidence, trade secrets, IP*** that would harm a third party's competitive position, unless a competent authority finds larger public interest

→ info held in a ***fiduciary*** relationship (same larger-public-interest test)

→ info received in confidence from a ***foreign government***

→ would endanger ***physical safety*** or reveal a confidential source for law enforcement or security

→ would ***impede investigation, apprehension or prosecution***

→ ***Cabinet papers*** incl. deliberations of CoM, Secretaries, officers; but decisions of the CoM, reasons and material become public after the matter is complete (exempt matters stay exempt)

→ ***personal information*** with no link to public activity or interest, or an unwarranted invasion of privacy, unless larger public interest justifies it

Public-interest override

→ despite the Official Secrets Act 1923 and the Sec 8(1) exemptions, access may be allowed if the ***disclosure outweighs the harm*** to protected interests. ***Only absolute exemption: copyright*** held by a person other than the State. ***Parliament test:*** what cannot be denied to Parliament cannot be denied to citizens

→ investigating agencies were not listed, but ***CBI and NIA*** were added by ***executive order***. ***Third-party info:*** notice and hearing first (***10 days***)

→ ***no court*** can entertain a suit about an order under the Act except by appeal under the Act

→ ***wholly retrospective*** (covers info held before the Act too). Exempt info is released after ***20 years***, ***except*** Cabinet decisions, legislature-privilege matters, and info affecting sovereignty and integrity, security, strategic, scientific, economic interests, foreign relations or inciting an offence.

RIGHTS AND THE 2019 AMENDMENT PYQ 2020

Rights of citizens

→ right to information
→ choose the ***medium*** of request
→ choose the ***language*** (English, Hindi or local language of the application)
→ help in writing the request
→ ***no reason*** or personal details beyond contact details
→ told ***immediately*** if the request is transferred to another authority
→ help in accessing records if disabled
→ all fees waived for ***BPL***
→ all fees waived if the authority misses the time limit
→ reasons for rejection, appeal period, appellate authority details
→ ***complaint to CIC/SIC*** if: cannot submit to PIO/APIO, refused access, no response in time, unreasonable fee, incomplete, misleading or false info, or any matter on accessing records.

2019 change	Effect
Tenure and appointment	Central Govt decides tenure of CIC and ICs; ***five-year term removed***
Salary and service	Govt empowered to fix salaries, allowances, service terms; ***delinked from CEC and ECs***
Autonomy concern	excess central control seen as weakening Commissions' independence
Status	CIC is ***statutory, not constitutional***

Negative

→ ***executive overreach*** (control of tenure and salary reduces independence)
→ ***public distrust*** (citizens may hesitate to file RTIs, fearing bias)
→ ***federal dilution*** (SICs lose autonomy under central oversight).

Positive

→ ***administrative flexibility*** (adjust tenure, salary)
→ ***fiscal discipline*** (cost-effective pay, free of EC benchmarks)
→ ***policy alignment*** (central oversight may streamline RTI nationwide).
Reflect: balances efficiency with independence but risks overreach

In the news · Saarthi IAS CA, Aug 2026 (verify) ***NSE and RTI:*** SC stayed a Delhi HC order that held NSE a public authority. ***Hook:*** "substantially financed" is undefined (BCCI, parties, DIAL).

Recall drill: cover and answer

First RTI law	Sweden 1766; USA 1966	Constitutional articles	19(1)(a), 21, 39(b), 39(c)
Who drafted the RTI Bill 2005	National Advisory Council	Absolute exemption	copyright of a non-State person
2019 Amendment effect	Centre fixes tenure and pay; CIC statutory		

CIC · RTI ISSUES · IMPACT · 2nd ARC

PYQ Mains 2020 (RTI amendment and independence of Commission) · Handout MI pp. 36-38

✎ *The CIC is the RTI's appeal body. Its biggest problems are pendency, weak penalties and awareness. The 2nd ARC gave a fix for each.*

CENTRAL INFORMATION COMMISSION

1+10 · 3/65 · 5 — **1 CIC + up to 10 ICs** · term **3 years or age 65**, earlier one · no reappointment · IC elevated to CIC: total **max 5 years**.

Appointment

→ appointed by the **President** on the recommendation of a committee: **PM (Chair), Leader of Opposition (Lok Sabha), a Union Cabinet Minister nominated by the PM**

→ eminent persons with knowledge or experience in law, science, social service, journalism, mass media, public administration, etc.

→ during tenure: no office of profit, no link with a political party, no business

Tenure and pay (RTI Rules 2019)

→ Centre decides tenure by notification

→ **currently 3 years or age 65, whichever is earlier**

→ Centre prescribes pay and service conditions by rules, **delinked from CEC/EC parity** · **CIC Rs 2,50,000, IC Rs 2,25,000** a month

→ allowances and conditions are set by the Centre, **not embedded in the parent RTI Act**. After 2019: tenure and service conditions are no longer codified in the Act but set by **executive rules**

→ CIC remains **statutory, not constitutional**, limiting safeguards.

Removal

→ the President removes CIC or an IC on **proved misbehaviour or incapacity** after a **Supreme Court inquiry** (on the President's reference); this SC safeguard is retained

→ without SC inquiry the President may remove if: declared **insolvent** · in **paid employment** during tenure · **physically or mentally unfit**

BICEP — Without SC inquiry: **B**ankrupt · **I**nfirm · **C**onvicted (moral turpitude) · **E**mployed (paid) · **P**rejudicial financial interest. (own mnemonic)

ISSUES AND CHALLENGES

Gaps

→ ***means vs end:*** RTI Act is a means to information; there is a gap between the right to information and actual access

→ ***bureaucratic mindset:*** RTI is an accountability tool, so bureaucracy resists it

→ ***no specific budget:*** no separate funds (2nd ARC: ***1% of flagship scheme funds*** to upgrade RTI infrastructure)

→ ***absence of political will:*** bill well drafted and globally appreciated, but hesitancy in bureaucracy and later politicians weakened will to empower it (many exposed scams hurt the govt of the day)

→ ***limited awareness*** (APWC study: only ***12% of women, 26% of men, 13% rural, 33% urban*** aware)

→ ***vague terms and phrases*** in the law hamper implementation

→ ***ICs dominated by retired bureaucrats***: impartiality affected

Enforcement

→ ***penal provisions rarely applied:*** Satark Nagrik Sangathan found no penalty in ***95%*** of cases where one was due; retired bureaucrats allegedly have a soft corner for the govt machinery

→ ***no organic CIC-SIC relationship:*** a national collaboration platform is needed

→ ***PIO duty added without incentive:*** no separate person hired, an officer with other principal duties gets extra burden, so low motivation

→ ***juniors appointed PIOs*** to interpret the law: officers of sufficient seniority needed

→ ***poor record keeping*** causes delay (suggested: specialised record-keeping agency to advise and train)

→ ***abuse of Schedule II:*** many bodies listed against the spirit of the law

→ ***IC orders not implemented:*** ICs have no contempt powers

Pendency

→ an estimated ***40-60 lakh*** RTI requests are filed a year; delay defeats the spirit of the law because RTIs serve contemporary needs

→ ***2.55 lakh*** cases pending in 26 ICs; ***vacancies*** in IC posts add delay; average disposal about ***1 year 11 months***; ***COVID*** worsened it

→ ***annual reports*** (to be laid before the legislature): ***21 of 29*** ICs did not submit for 2019-20; SICs of ***AP and Telangana*** have not published since 2017 and ***Odisha*** since 2015-16

→ ***waning interest***: media, activists, civil society must keep generating awareness but interest is fading

Impact

→ besides transparency it became a ***grievance-redressal tool***

→ exposed corruption, wasteful expenditure, scams, junkets, false narratives, recruitment results and marks

→ rural sections gained access, ***largely through NGO help***

→ became a ***national movement*** aiding Right to Food, Right to Education movements

→ more successful for ***personally relevant*** information; ***falls short*** where controversial info of large public interest is involved.

2nd ARC RECOMMENDATIONS

Secrecy

→ ***repeal the Official Secrets Act***

→ replace oath of secrecy with ***oath of transparency***

→ ***periodically review Second Schedule*** to stop list inflation; drop bodies not needed

→ ***classification norms*** are laid down by MHA and ***not public***; ***Public Records Act 1993*** mandates a ***5-year review*** of top secret, secret, confidential files for declassification or downgrade, but procedure and norms are also not public, so govt discretion must be checked

Classification	Damage
Top Secret	exceptionally grave
Secret	serious
Confidential	simple
Restricted	official use only

Structure and access

→ ***selection of ICs:*** selection committee to include the ***CJI instead of the Union Cabinet Minister***; at least ***half*** of IC members from non-civil-service background

→ ***access: 4 regional CIC offices***; organisations with more than 1 PIO to name a ***nodal PIO***; payment by ***stamps or postal orders***; suo motu disclosure in ***print, free*** for reference

→ ***records and funds: independent public records office*** (Centre and states) as technical repository; one-time ***1% of all flagship programme funds for 5 years*** for RTI infrastructure and manuals

→ ***training*** for civil servants, not just PIOs; ***awareness campaigns*** through credible NGOs; CIC and SIC to issue ready reckoners

→ ***National Coordination Committee*** chaired by the CIC for an organic CIC-SIC link

→ ***"substantially financed"*** = receiving ***50% of operating costs for 3 years*** or at least ***Rs 1 crore*** of govt funding; bring such bodies under RTI

Recall drill: cover and answer

CIC strength	1 CIC + up to 10 ICs	Term and age	3 years or 65
CIC / IC pay	Rs 2.5 lakh / Rs 2.25 lakh	Penalty gap	not imposed in 95% of due cases
2nd ARC definition	substantially financed = 50% operating cost 3 yrs or Rs 1 crore		

THE PROBLEM OF CORRUPTION

PYQ Mains 2016 · 2019 · 2014 · Handout M2 · Corruption

✎ *Corruption is misuse of public power for private gain. Learn the types, why it happens, what it costs and how it is measured, each with an example.*

As old as civilisation: Kautilya's Arthashastra lists many ways a civil servant can be corrupt and specific measures to contain it; almost no human activity is untouched; it has contributed to the ***decline of empires and to reforms in religion. TI definition: private abuse of public office***

Defining issues

→ ***Is a gift a bribe?*** consider the donor's ***intent***, the recipient's ***expectation***, ***timing***, ***value***, the country's ***legal framework***, and ***social acceptability***

→ ***Culture varies: old school ties*** (UK: used to leverage favours, culturally accepted) · ***Guanxi*** (China: a favour done must be returned)

→ ***Public bodies only, or private sector too?*** Many say both, but casting the net too wide ***dilutes focus*** and makes corruption unmanageable; counter-view: if government is incorruptible, private-sector corruption will fall naturally

TYPES

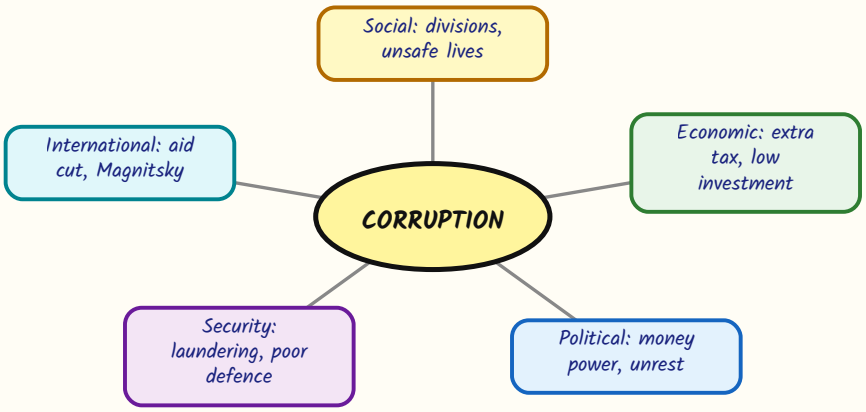
Pair	Meaning
Black	every section of society unanimously feels the behaviour is corrupt and must not be tolerated
White	society recognises it as corrupt but ***tolerates*** it (common: speed money)
Grey	wide differences between sections of the population on whether the behaviour is corrupt
Grass eating	public servant who does not seek bribes but ***does not refuse*** one if offered
Meat eating	public servant who ***actively seeks*** opportunities to benefit through corrupt means
Coercive (extortive)	faced widely by the common man: must bribe an official just to get his ***due***; the official ***extorts***
Collusive (transactive)	official and bribe-giver ***collude*** for gain at the cost of public interest; both gain illegally
Retail (petty)	small corruption at street-level bureaucracy that the common man meets regularly (e.g. speed money)
Policy (grand)	***crony capitalism***: business houses practise ***state capture***, influencing government to frame policies that illegally benefit them; at the highest levels

Corruption in the wider sense

→ goes beyond giving and taking bribes; it includes any behaviour that harms public interest: ***lethargy*** in assigned duties
→ ***dereliction or negligence*** of duty
→ repeated ***carelessness***
→ ***non-punctuality***
→ ***subjective interpretation*** of public interest
→ favouritism and nepotism
→ communalism, casteism, ***lynching***, regional bias.

IMPLICATIONS PYQ 2016 PYQ 2019

FIVE FALLOUTS



SPIES – Corruption ***SPIES*** on the nation: ***S***ocial · ***P***olitical and legal · ***I***nternational · ***E***conomic · ***S***ecurity.

Implication	Detail (handout)
Social	divides society ***vertically*** (rich or well-connected get their due, the poor do not) and ***horizontally*** (favouring one caste or class, neglecting others) · ***endangers lives:*** building collapses, fires from substandard material, false certificates

Economic	**aid reduced:** in African countries aid went to dictators, warlords, corrupt officials, so donors changed stance, even for poor countries · **lower investment:** investors wary; **Paulo Mauro:** differential between less and more corrupt countries can be as high as **12%** · lowers govt efficiency · **distorts fair competition** (collusion, crony capitalism) · **brain drain and capital flight** · **environmental damage** via collusion with officials
Political and legal	**raises officials' power:** in a fair system discretion is limited; in a corrupt one officials use it for gain · more **money power** · citizens' despair raises appeal of **extremist politicians** (xenophobia, radical solutions, populism) · **mass unrest** (India Against Corruption)
Security	security forces' corruption aids **money laundering, drug and human trafficking, arms smuggling**; **defence procurement** corruption hurts contract quality
International	**Magnitsky Act 2012:** Magnitsky, a Russian lawyer prosecuted for exposing corruption · **German car insurance (1990s):** high-end cars stolen and smuggled to Central Europe with corrupt officials' help

Revisionism: a school of thought with **not many takers**: some corruption in civil services is not bad. Hypothesis: civil servants are largely lethargic, less motivated, prone to red tape and poorly paid, so efficiency is low; corruption **increases** bureaucratic efficiency in public work.

WHY IT HAPPENS

APPLE – Corruption is the rotten **APPLE**; five kinds of factors rot it: **A**dministrative · **P**sycho-social · **P**olitical · **L**egal · **E**conomic.

HORNETS – Psycho-social stings: **H**istory · **O**pportunity theory · **R**eligious context · **N**o popular sanction · **E**vils · **T**HYMOS · **S**quirrel Nuts Syndrome.

Psycho-social factor	Meaning (handout)
Basis	behaviour = attitudes/predispositions inside the person + the environment around
THYMOS (Greek: respect, recognition)	high corruption correlates with low self-worth; people turn to materialism to raise it
Societal attitude	society sees govt as highly corrupt; persistent labelling and shaming
Squirrel Nuts Syndrome	bureaucrats near retirement turn more corrupt to keep the benefits they enjoyed
Opportunity theory	most civil servants do not seek opportunities, only a few do; but when opportunities come they commit corruption; so **reduce opportunities**
Religious context	European studies: areas with more **Protestants** less corrupt, since Protestantism was born as a reaction to corruption in the Catholic Church
History	long history of corruption (lower bureaucracy corrupt since ancient times, as in Kautilya) makes society tolerant
Popular sanction	no popular sanction against corruption; honest people are victimised
Social evils	excess spending on marriages, dowry provoke officials to corruption

Economic

→ **poor salary at upper levels** is blamed, but raising pay alone may not dent corruption much

→ **consumerism** feeds low self-esteem and so corruption

→ **licence-permit-quota raj → clearance raj:** so many clearances and NOCs before starting a venture; red tape gives incentive to be corrupt

→ **willingness and ability:** big MNCs have the clout to bribe their way to favourable policy

→ **business houses do not cooperate:** if all refused to pay bribes corruption would fall sharply, but they try to outbid and outdo each other for government favours

Legal

→ **excessive legal protection** for public servants against prosecution for corruption

→ ***Art 311:*** reasonable opportunity before action, so it is very hard to dismiss corrupt servants; a source of excessive protection

→ ***PCA 1988, Sec 19:*** sanction of the appointing authority before prosecution

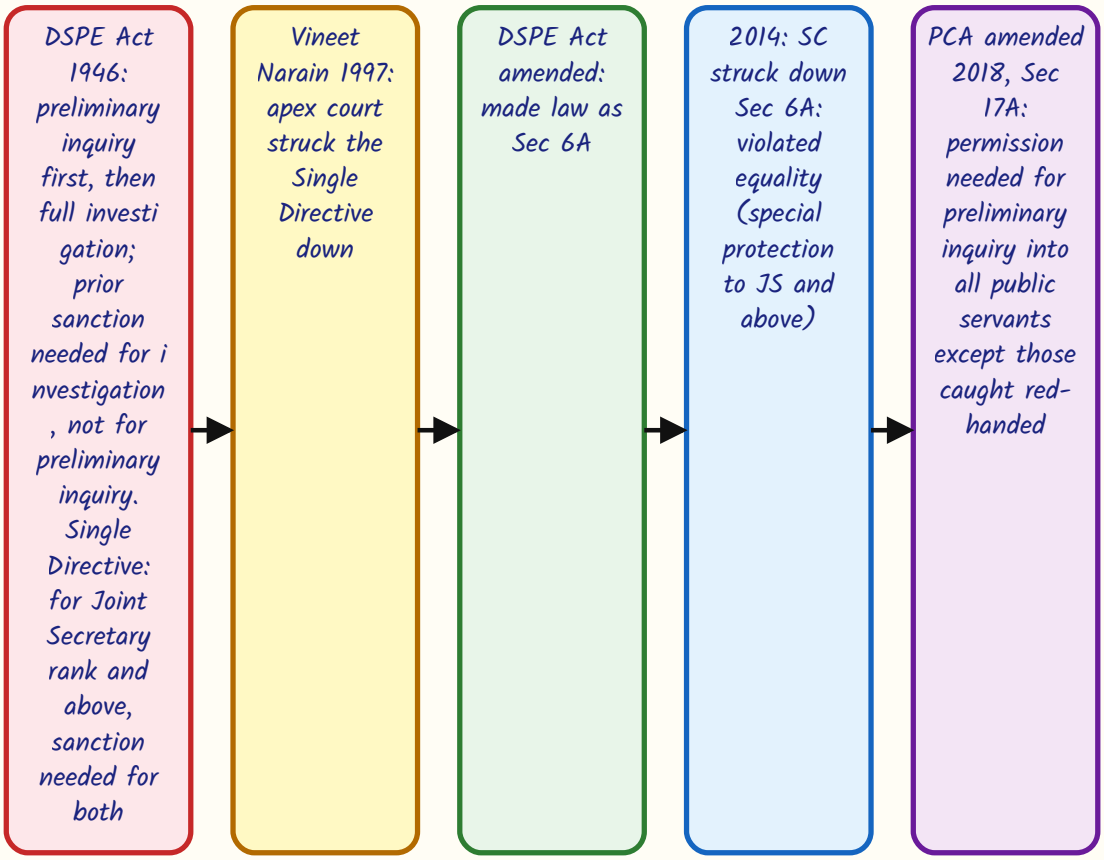
→ ***CrPC Sec 197*** (as in the handout): permission of the appointing authority to prosecute for any offence ***other than corruption*** linked to official duty. Sec 19 and Sec 197 were meant to protect honest servants from spurious allegations but are ***misused to protect the corrupt***

→ ***delay*** in prosecution (inadequate judicial process)

→ ***no effective whistleblower law*** to protect honest officials

→ ***inadequate autonomy*** of CBI and CVC, which have become politicised

THE SANCTION CHAIN



Administrative + Political

→ ***administrative:*** procedural complexity breeds ***middlemen*** who carry the corrupt money · ***red tape*** · ***bureaucratic resistance to reform*** · ***politicised*** management through transfers and plum postings · general culture of ***secrecy***

→ ***political: no political will*** (repeated attempts to pass the Lokpal Bill, delay in appointing Lokpal) · ***lack of voter maturity*** (ousted parties re-elected; ***TINA***: There Is No Alternative) · ***money power*** in elections · weak disclosure norms on functioning and funding of parties

MEASURING CORRUPTION

Official statistics: usable, but if prosecution and investigation are ineffective, they give an incomplete picture. ***Perceptual and attitudinal surveys:*** especially by international NGOs.

CPI — ***CPI*** by Transparency International · annual since ***1995*** · ***0 = most corrupt, 100 = least corrupt.*** 2020 CPI (released 2021): New Zealand and Denmark least corrupt; Somalia, South Sudan last; South Asia: Bhutan 24th; USA 25th, Botswana 35th, China 78th, Pakistan 124th (as printed).

CPI critique	→ based on questionnaires to ***country experts and business leaders***, not the common man → scores rest on ***perception***, not objective assessment → sources change year to year → number of countries surveyed varies, so ***comparing ranks over years is inappropriate.***
Other tools	→ ***Experiential surveys:*** TI's ***Global Corruption Barometer*** (actual experience; not annual, regional; in Asia, ***Japan*** least corrupt and ***India most corrupt among 17*** countries) → ***Tracking surveys:*** World Bank ***PETS*** (tracks funds and flows at different levels when donor funds are spent) → ***content analysis*** of media (crude but interesting).

Recall drill: cover and answer

TI definition	private abuse of public office	Grass vs meat eating	accepts if offered vs actively seeks
Sanction chain	Single Directive → Narain → 6A → struck 2014 → 17A (2018)	CPI scale; since	0 corrupt to 100 clean; 1995
Mauro estimate	investment lower by up to 12%		

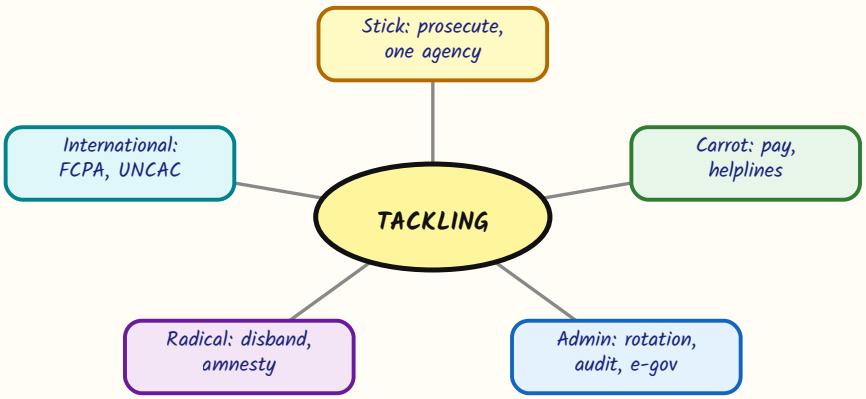
TACKLING CORRUPTION & SOCIAL AUDIT

PYQ Mains 2021 · 2016* · Handout M2 · Strategies

✎ *Corruption is a "wicked problem": it can be controlled, not removed. Use sticks, carrots, administrative fixes, radical ideas and citizen audit together.*

Wicked problem: despite multiple laws (PCA, Lokpal, CVC Act) corruption persists; a proliferation of laws often signals ***systemic inefficiency***. Corruption can only be ***controlled, not eliminated***.

TOOLKIT



SCAR-I – **S**tick (prosecution, stings, asset declaration) · **C**arrot (pay rise with enforcement, helplines) · **A**dministrative and technical (rotation, audit, procurement) · **R**adical (disband, gender balance, amnesty) · **I**nternational (FCPA, UK Bribery Act, OECD, UNCAC, FATF).

Stick	→ ***Legal system and prosecution:*** higher conviction rates deter (e.g. Botswana); in India delayed trials and lenient punishment cut deterrence

→ ***Stings and entrapment:*** admissibility of sting evidence is ambiguous; ***natural stings*** (citizen recordings) should be admissible

→ ***Tighten anti-corruption laws:*** 2018 amendments ***diluted the PCA***; political will lacking to plug loopholes in whistleblower law, CVC Act, Lokpal Act

→ ***Declaration of assets:*** monitor disproportionate lifestyle indicators and run rigorous audits

→ ***Effective agencies:*** India's fragmented set (CVC, CBI, Lokpal, ED) lacks focus; Singapore (***CPIB***) and Hong Kong (***ICAC***) succeed with a ***single dedicated agency***

→ ***Public shaming and blacklisting:*** naming corrupt officials (South Africa), blacklisting firms from public contracts: soft deterrents

→ ***Penalties on financial security:*** forfeiting pensions and future benefits creates fear of long-term loss

Carrot

→ ***substantial pay increase***, if paired with strict enforcement, can improve integrity at entry level

→ ***citizen-centric helplines:*** ***Delhi's anti-corruption hotline*** lets citizens report bribe demands without fear; replication needs effective ***whistleblower and witness protection*** laws

Admin/tech

→ ***job rotation:*** frequent transfers in sensitive posts break entrenched networks (Kautilya supports)

→ ***auditing:*** CAG's limited coverage (***25% of auditable units*** a year) hampers oversight; more manpower, IT tools, random audits

→ ***procurement:*** internal bid norms and a comprehensive ***Public Procurement Law***; procurement is ***30% of GDP*** and corruption-prone; ***2012 bill lapsed***, revival urgent

→ ***digitisation:*** online delivery cuts physical interface, curbing petty corruption

→ ***CCTV*** in high-risk zones (police stations, borders, vulnerable departments), high-risk first

Radical

→ ***Departmental disbanding (Georgia):*** non-reformable departments (Traffic Police, 2004) disbanded; fresh recruitment under stricter norms

→ ***Gender balance (Peru):*** more women in bureaucracy showed less corruption; could be piloted in India

→ ***Monetising bribes (Romania):*** allowing official payments to avoid petty bribes (as in its conscription policy); controversial on equity grounds

→ ***General amnesty:*** to disclose black money (with ***50% surrender***); debated; stricter enforcement essential after it

International

→ US ***FCPA 1977*** and ***UK Bribery Act 2010*** penalise MNCs' offshore corrupt practices

→ ***OECD Anti-Bribery Convention 1997*** and ***UNCAC 2003*** promote global norms

→ ***FATF 1989*** fights money laundering

→ ***Interpol IGEC*** sets corruption standards for police

→ ***WTO's inaction*** on corruption as a non-tariff barrier is a missed chance

→ push for ***global financial transparency*** against banking havens. ***Critique:*** Western countries ignored corruption until the 1990s; post-globalisation it became a ***geopolitical tool***; ***cultural imperialism*** concerns. ***Alternatives: spiritual education*** (ethics and meditation in curricula for internal integrity); must be insulated from politicisation).

SOCIAL AUDIT PYQ 2021

Definition: details of how a scheme is implemented and its resources, ***financial and non-financial***, are shared with beneficiaries on a public platform (***Jan Sunwai, public hearing, Gram Sabha***). ***Unless public agencies must fully reveal scheme details, social audit is a lost cause: key = sound access to information.***

Features

→ ***multi-perspective:*** helps beneficiaries ***and*** local leaders and civil servants, who can present their side when loopholes are found

→ ***regular:*** periodic, so issues are re-evaluated continuously

→ ***comparative:*** compares over ***time and across villages*** to show weaknesses and good practice

→ ***strengthens demand side:*** builds pressure on local bureaucracy to implement honestly; directly targets demand-side weaknesses, indirectly supply-side ones

Significance

→ more ***people's participation***

→ benefits reach the ***targeted persons***

→ ***social capital:*** community-building; people come together to bring change

→ identifies ***human-resource and training needs*** of civil servants

→ highlights development concerns

→ promotes transparency, checks corruption

→ helps frame better programmes later

Issues

→ not part of ***mainstream policy discourse***

→ ***statutory*** in very few programmes (***NREGA*** is one)

→ lack of ***trained social auditors***

→ ***opposition from vested interests***

→ ***symptom-cause relationship:*** fixing only surface symptoms (awareness drives for plague without tackling poor sanitation, congested housing) gives minimal impact

MOST – Social audit hurdles: **M**ainstream policy discourse ignores it · **O**pposition from vested interests · **S**tatutory in very few programmes (NREGA) · **T**rained auditors lacking.

Strengthening

→ ***Legal and institutional: model national social audit law*** inspired by ***Meghalaya's 2017 Act*** for all public service schemes (community ownership, accountability)

→ ***Stakeholders:*** grassroots campaigns for Gram Sabha members; partner NGOs and media to amplify findings; ***recognition*** for active Gram Sabha participants

→ ***Standardise and digitise:*** online portals with real-time audit reports, scheme spending, PRI records; ***proactive disclosure*** of project data

→ ***Best practices: Chhattisgarh:*** link audits with grievance redressal; wall writing for community transparency

Success story	Detail
AP MGNREGA (SSAAT)	autonomous ***Society for Social Audit, Accountability and Transparency***; trained village-level resource persons
Jharkhand SAU (MGNREGA, PDS, pensions)	independent audits exposed ***ghost beneficiaries, wage delays, PDS ration diversion***; built local capacity, empowered Gram Sabhas
Rajasthan MKSS	jan sunwais in the 1990s revealed massive leakages; movement led to ***RTI Act 2005***
Bengaluru Citizen Report Cards	a civil society organisation pioneered CRCs; ***bribery fell, satisfaction rose***; endorsed in a 2003 study; globally recognised
Municipal benchmarking	local bodies compared service delivery costs (e.g. ***cost per km of road***); public disclosure built citizen pressure on inefficient bodies, cutting urban corruption

In the news · Saarthi IAS CA, Jul/Aug 2026 (verify) **Low Gram Sabha participation (NIRDPR study):** barriers: livelihood and time (55.5%), exclusion of migrants, women, youth, elderly; trust fatigue. **Impact:** elite capture; social audits become a formality; Niyamgiri 2013 (12 Gram Sabhas rejected mining). **Way:** Action Taken Reports; off-peak meetings; Kudumbashree; ARC-II statutory powers.

Recall drill: cover and answer

Sustained approach	control, not eliminate: wicked problem	Single-agency models	Singapore CPIB, Hong Kong ICAC
Meghalaya	2017 Act: model for a national social audit law	Karnataka best practice	rotate audit teams after 3 cycles
Key to social audit	access to information		

CBI & CVC

PYQ Mains 2021* · Handout M2 · Institutions

✎ *CBI investigates, CVC watches. Vineet Narain (1997) put the CVC over the CBI and gave the Director a fixed tenure.*

Legal framework

→ **BNS Sec 203** (IPC 169): civil servants illegally acquiring property is an offence · **BNS Sec 316** (IPC 409): criminal breach of trust by a public servant

→ **DSPE Act 1946** sets up CBI for anti-corruption investigation · **PCA 1988**: general anti-corruption law · **Benami Properties Act 1988** · **PMLA 2003**: nodal law on money laundering · **CVC Act** · **RTI 2005** (transparency, accountability) · **Lokpal Act 2013** · **Whistleblower Act 2014**

→ **Institutions:** CBI, CVC, state anti-corruption bureaus and vigilance wings, **CAG**, Lokayuktas, Lokpal, **ED** (principally PMLA and FEMA), Banking Sector Ombudsman, Consumer Courts, the 3-tier judiciary

CBI

HOW CBI GREW

Special Police Establishment, 1941 → *DSPE Act 1946: statutory backing* → *Popular name CBI, 1963*

CBI division	Handles
Anti-Corruption	corruption cases
Special Crimes	serious, sensational, organised crimes
Economic Offences	cheating, Ponzi schemes, counterfeit currency
Banking and Security Frauds	economic offences in banking and securities markets

Issues

→ **politicisation:** a former SC judge called CBI a "**caged parrot**"; every ruling party at the Centre has used such bodies against political opponents, so it is not impartial or autonomous

→ **staff shortage:** about **one-third** of posts vacant

→ **conviction rate 67%** is high vs **30-40%** for other agencies, but **low in high-profile cases**

→ **sanction for prosecution:** long delays in disposal (partly staff shortage); delay in sanction means delay in prosecution

→ **no suo motu jurisdiction:** CBI handles only cases transferred to it

VINEET NARAIN 1997

SCATTER – **S**ingle Directive struck down · **C**VC superintends CBI on PCA cases · **A**ppointment of Director by a committee · **T**enure minimum 2 years · **T**ransfer by the same committee · **E**xecutive (DoPT) sets only the policy framework · **R**eproach remains: still called a "caged parrot". (own mnemonic)

Directions in detail

→ ***CVC supervises CBI:*** CVC deals largely with anti-corruption cases and civil-service discipline violations; the CVC Act gives it general superintendence over CBI in ***PCA*** cases

→ ***minimum guaranteed tenure*** for the Director and other key CBI posts; under the DSPE Act, ***2 years*** for the Director

→ ***Director's appointment*** not left to the govt's sole discretion: committee of the ***PM, Leader of Opposition in Lok Sabha (or leader of the largest opposition party if there is no recognised LoP) and the CJI***; the ***transfer*** of the Director also needs the same committee

→ ***Single Directive struck down***

→ ***DoPT:*** CBI is under its broad direction and control, but only for the ***overall policy framework***, not day-to-day work or investigations

CVC

CVC TIMELINE

1962 Santhanam Committee → 1964 executive body → 2003 CVC Act: statutory

1+2 · 4 · 65 – ***1 Commissioner + up to 2 Vigilance Commissioners*** · term ***4 years*** · age ***65*** · no reappointment.

Selection

→ chosen from two categories: persons who are or were in ***All India or Central Services***, and officers of ***CPSUs***; selecting from both ensures at least one from each

→ committee: ***PM, Home Minister, Leader of Opposition (or leader of the largest opposition party)***; the govt effectively has the final say through its two representatives

→ ***P.J. Thomas case 2011:*** SC held that the govt's majority made the LoP's membership pointless, so selection must rest on ***consensus, not majority*** (the ruling applied to this appointment, not all committee appointments)

Terms

→ ***term:*** 4 years, retirement age 65; no reappointment to the same post, but a Vigilance Commissioner can be elevated to CVC if total stay stays within ***4 years***

→ ***pay and conditions:*** CVC = UPSC Chairperson; VCs = UPSC members; cannot be altered to their disadvantage; paid from the ***Consolidated Fund of India***

→ ***barred*** from appointment as UT administrator, diplomatic assignments or any post made under the President's warrant and seal; no office of profit under Centre or states

→ ***removal:*** proven misbehaviour or incapacity through a ***reference to the Supreme Court***; other grounds: insolvency, moral turpitude, private employment, infirmity of body and mind, prejudicial financial interests

Functions

→ ***superintend and give directions to CBI*** in PCA 1988 corruption cases (as directed in Vineet Narain)

→ ***inquire or cause inquiry*** on a Central Government reference, or on complaints against ***Group A officials, AIS officers and equivalent CPSU officials*** (Sec 8(2) CVC Act 2003)

→ ***review*** progress of DSPE investigations under PCA and of pending applications for ***sanction of prosecution***

→ ***advice*** to Central Govt and organisations on referred matters; ***civil-court powers*** in inquiries

→ ***mandatory consultation*** before the Centre makes rules on vigilance or disciplinary matters of Union services and AIS members

→ CVC is ***chair*** (Vigilance Commissioners members) of the committee recommending the ***Director of Enforcement*** (and ED officers at Deputy Director level and above, after consulting the Director) and of the committee recommending ***CBI officers of SP rank and above except the Director***, incl. extension or curtailment of their tenure

→ annual report to the ***President***, who places it before Parliament

Issues

→ ***overwhelming dependence on CBI*** for investigation, and CBI is politicised and government-controlled

→ ***no independent prosecution power***; sanction needs government permission, often delayed

→ cases of ***non-cooperative attitude*** of government

→ ***poor engagement*** with civil society, citizens, NGOs in the same field.

Suggestions (handout, with examples)

→ give CVC ***independent investigative and prosecution powers*** like Lokpal (2nd ARC Ethics report: functional autonomy for vigilance agencies, less reliance on politicised CBI)

→ ***statutory 3-6 month timelines*** for prosecution sanction (Vineet Narain fixed timelines, but TI India 2023: over ***70%*** pending beyond 6 months)

→ make CVC advice a ***binding oversight*** over vigilance in ministries and PSUs (Sarkaria)

→ more ***manpower and technology***: dedicated vigilance cadre, digital monitoring (CVC annual report 2023: under ***50%*** of sanctioned staff, over ***1500*** organisations)

→ ***civil society participation***, public grievance dashboard (2nd ARC; South Korea's ***ACRC***)

→ ***binding recommendations*** via amending CVC Act (Punchhi Commission)

→ ***transparent selection***: add judiciary members or eminent anti-corruption experts (P.J. Thomas 2011).

Flag: CVC Selection Committee (PM, HM, LoP) differs from Lokpal (PM, Speaker, LoP, CJI, jurist).

Recall drill: cover and answer

CBI timeline	1941 SPE → 1946 Act → 1963 named CBI	CVC statutory	2003
Director committee	PM, LoP, CJI	CVC term; age	4 years; 65
Thomas case 2011	selection by consensus		

LOKPAL IN INDIA

PYQ Mains 2013 · Handout M2 · Lokpal

✎ *The Lokpal is the ombudsman for central corruption cases. The Act is detailed, but the body has been slow and thinly used.*

1809	1967	1968	1971	2013	2019
Sweden ombudsman	UK Parliamentary Commissioner	India's first Lokpal Bill introduced	Maharashtra Lokayukta	Bill passed = Lokpal and Lokayuktas Act	Lokpal constituted: Justice P.C. Ghose

Lokpal = ombudsman or watchdog of administration; first came into existence in ***Sweden, 1809***. ***UK:*** designated Parliamentary Commissioner, set up ***1967***; ***State Lokayuktas*** for similar cases in states. India: first Bill introduced ***1968***; present Bill passed ***2013*** (became the Act); Lokpal constituted ***2019***, Justice ***P.C. Ghose*** Chairperson of the nine-member body. ***Maharashtra*** first state to appoint a Lokayukta (***1971***).

State experience

- → ***flooded with complaints:*** an apex body's efficiency depends on lower departments handling petty complaints well
- → ***poor effectiveness:*** powers inadequate to investigate and prosecute properly
- → ***inter-state differences*** in qualifications, tenure, functions, powers, suo motu powers; no separate investigation agency
- → ***survival at the state government's sweet will:*** created and abolished by states; ***Odisha abolished it by ordinance in 1992; Haryana, 1999***
- → ***paper tigers:*** mostly recommendatory
- → ***corruption within Lokayuktas*** (allegations of extortion)
- → ***misused to intimidate political opponents***

LOKPAL ACT 2013 PYQ 2013

9 · 25 · 45 · 5/70 — 9 members · **25** years' experience · min age **45** · term ***5 years or 70***.

Composition

- → ***nine-member*** body including the Chairperson
- → ***Chairperson:*** is or has been a ***CJI or SC judge***, or an ***eminent person with 25 years' experience*** in vigilance, anti-corruption, law, finance, administration, management
- → ***8 members:*** half ***judicial*** (SC judge or High Court Chief Justice), half ***non-judicial*** (eminent person with 25 years' experience in the same fields)
- → ***50% affirmative action:*** opportunity for SC, ST, OBC, minorities, women

Conditions

- → not an ***MP, MLA or MLC***; not a member of any ***local body***
- → minimum age ***45***
- → not ***removed or dismissed*** from government service
- → no other ***office of profit***, no business activity or profession
- → no affiliation with any ***political party***

APPOINTMENT

Selection committee may appoint a 7-member search committee to shortlist (also with 50% affirmative action) but may go beyond its names → Selection committee: PM (Chair), Speaker, LoP in Lok Sabha, CJI or SC judge nominated by him, eminent jurist chosen by those four → Appointed under the name and seal of the President on its recommendation → Tenure 5 years or age 70; no reappointment, except a member elevated to Chairperson within a total of 5 years

Gap: the Act does not say who replaces the Leader of Opposition if there is no recognised LoP in Lok Sabha.

COPES – Selection committee: **C**JI or nominated SC judge · **O**pposition leader (Lok Sabha) · **P**M (Chair) · **E**minent jurist (chosen by the four) · **S**peaker of Lok Sabha.

Pay: Chairperson = CJI. ***Disabilities after retirement:*** like CVC, plus ***cannot contest any election in India for 5 years.*** ***Wings:*** Inquiry wing (Director of Inquiry), Prosecution wing (Director of Prosecution), Secretary of Lokpal, appointed from a panel recommended by the Government of India.

PRIME MINISTER: IN OR OUT?

2nd ARC opposed covering the PM

→ it would ***cripple administration*** while an investigation runs
→ ***foreign powers*** may exploit it to malign the PM
→ the PM is already covered by the ***PCA 1988***.

Arguments for covering the PM

→ CBI works under ***DoPT, i.e. the PM's direct control***, which would hamper investigation
→ the PM should ***lead by example***; some states' Lokayuktas already cover the ***CM***
→ ***Art 361*** exempts only the ***President and Governors***; no legal or constitutional exemption for the PM.

PAISE – ***Act covers the PM only partially:*** the Lokpal shall not investigate a PM decision on "the Lokpal cannot count the PM's ***PAISE***": **P**ublic order · **A**tomic energy · **I**nternal security · **S**pace · **E**xternal security and international relations. Even otherwise, the ***full bench*** must approve, by a ***two-thirds majority***, the start of an inquiry or investigation against the PM.

JURISDICTION AND POWERS

Covers

→ ***PM*** (partially), Union Ministers, MPs, ***Group A–D*** officials, and functionaries of boards, corporations, societies, trusts funded by govt (receiving above ***Rs 10 lakh*** a year)
→ ***any individual*** may complain for offences under the ***PCA 1988***

FLOW OF A COMPLAINT

Complaint → Lokpal may order a preliminary inquiry by its Inquiry Wing, CVC or agencies like CBI; first seeks the public servant's explanation to find a prima facie case; Group C and D complaints go to the CVC; inquiry ends in 60 days

→ After the inquiry report and a hearing of the public servant, Lokpal can: order full investigation, start departmental proceedings, close the case, or proceed against the complainant if allegations are false

→ Investigating agencies report to Lokpal and the court; a Lokpal Bench (min 3 members) decides on sanction to prosecute, departmental action, or closure

→ Lokpal replaces the appointing/dismissing authority in granting prosecution sanction under CrPC 218 and PCA 19

Powers

→ search, seizure, asset ***attachment***, ***Civil Procedure Code*** powers for inquiries, ***superintendence over CBI*** for cases Lokpal refers. ***Removal:*** on grounds of misbehaviour, through a ***reference to the Supreme Court***, but only if signed by at least ***100 MPs***

→ annual report to the President, tabled in Parliament, with a ***memorandum explaining why recommendations were rejected***

→ ***7-year limitation period*** for filing complaints.

ISSUES AND WAY FORWARD

Issues

→ jurisdiction ***too wide***

→ ***very convoluted*** appointment process

→ PM only ***partially*** covered

→ ***7-year*** limitation period is a limit

→ wide scope can lead to ***intimidation of NGOs***

→ ***delays*** in appointments

→ ***Functioning since 2019:*** allegations of ***emasculating*** the body through legislation · ***prosecution and investigation wings not set up*** by 2020 · yet by ***Sept 2019*** it had disposed of ***1,000 of 1,065*** complaints

2nd ARC

→ give ***constitutional status*** (now only statutory) to both the Union and State bodies, for independence and respect

→ ***Rashtriya Lok Ayukta*** (Union level): Union Ministers, MPs, ***State Chief Ministers***

→ ***State Lokayukta:*** State Ministers and state legislatures

→ ***CVC*** should handle civil servants

→ ***Local Bodies Ombudsman*** for political and administrative officials of local bodies

Not a panacea

→ corruption is a ***hydra-headed monster***, needing a ***multi-pronged strategy***

→ the bureaucracy is huge, so Lokpal cannot handle all complaints

→ how well govt bodies deal with ***petty complaints*** should be examined, since Lokpal gets them too

→ ***inadequate judicial process***

→ developed nations have an ombudsman, empowered citizens and willingness to complain; India lacks these.

Recall drill: cover and answer

First Bill introduced; Bill passed (Act); Lokpal constituted	1968; 2013; 2019	Members; term	9; 5 years or 70
Prelim inquiry	60 days	Removal reference	SC, signed by 100 MPs
Limit on complaints	7 years		

WHISTLEBLOWERS & PCA 1988

PYQ Mains 2015 · 2022 · Handout M2 · Laws

✎ *The 2014 Act protects people who report corruption but bars anonymous complaints. The PCA 2018 amendment makes giving a bribe an offence too.*

WHISTLE BLOWERS PROTECTION ACT 2014

PIDPI Act 2014 (Public Interest Disclosure and Protection of Individuals making Disclosure): ***anyone*** can be a whistleblower about any public body or agency. Disclosure goes to the ***competent authority***. ***Frivolous complaints: 2 years' jail.*** A ***2015 amendment bill*** (introduced, later lapsed) proposed that the ***Official Secrets Act 1923 should override*** the Whistleblowers Act

Complaint about	*Goes to*
Union ministers	***Prime Minister***
State ministers	***Chief Minister***
Legislators	***Presiding Officer***
Civil servants	***CVC***

Challenges

→ ***lack of anonymity:*** the Act ***mandates disclosing the whistleblower's identity***, exposing them to retaliation; the murder of ***Satyendra Dubey***, who reported corruption in the ***NHAI***, shows the danger and discourages whistleblowers

→ ***weak organisational implementation:*** no clear guidelines or awareness, so employees hesitate to use official channels

→ ***inadequate legal safeguards:*** limited protection against victimisation, career setbacks, harassment, even physical harm

→ ***rising complaints show latent potential:*** in ***2018***, NSE-listed companies got over ***3,500*** complaints

SAFE – Law Commission + 2nd ARC: **S**trong law protecting genuine whistleblowers in ***public and private*** sectors (extend to corporate whistleblowers exposing fraud or serious harm to public interest) · **A**nonymity and confidentiality · **F**ear removed: legal protection against victimisation, administrative safeguards against harassment and bodily harm · **E**ncouragement: ***SEBI's tipping mechanism*** pays up to ***Rs 1 crore*** for actionable information on insider trading and assures cooperation and confidentiality. (own mnemonic)

PREVENTION OF CORRUPTION ACT 1988 PYQ 2015 PYQ 2022

"Public servant"

→ anyone in the ***pay or service of govt***; ***PSU*** employees; ***local body*** functionaries; ***judges***

→ office bearers of ***govt-funded cooperatives***; members of the ***Public Service Commission***

→ employees of ***central and state universities***; ***deemed universities*** via an ***Apex Court decision of 2020***

→ anyone holding an office that requires a ***public duty***, which includes ***MPs and MLAs***

PCA AMENDMENT 2018

BRIBE — **B**ribe-giving an offence · **R**eport within 7 days (coercive) · **I**ncludes retired servants (17A) · **B**usiness activities covered · **E**xpedited trial: 2 years, up to 4 · jail term raised ***from 3 to 7 years***. (own mnemonic)

Change	Detail
Giving a bribe	categorically an ***offence***; in ***coercive corruption***, a person who complains within ***7 days*** of the offence is ***not considered guilty***
Sec 17A	extended to ***retired*** civil servants: sanction of the appropriate authority is needed to act against them too
Sec 13(1)(d)	originally a public servant could be prosecuted for a decision that benefits a commercial organisation and violates public interest; this was ***diluted***
Jail; trial	jail time ***increased from 3 years to 7 years*** (handout wording); trial to finish in ***2 years, up to a maximum of 4***
Commercial activity; property	provisions for ***prosecution of commercial activities*** and for ***attachment or confiscation*** of property

PYQs PRINTED IN THE HANDOUT (MODULE 2 END)

Year	Question (gist)
2024 · 15m	Citizens' Charter: landmark but short of potential; hindering factors and remedies (Ch 12)
2024 · 15m	Public Examination (Prevention of Unfair Means) Act 2024: aims and objects; are University/State Board exams covered?
2022 · 10m	DBT scheme: progressive step but with limitations
2022 · 10m	Whistleblower at risk of danger and victimisation: policy measures to strengthen protection
2021 · 15m	States withholding consent to CBI is not absolute: federal character
2021 · 10m	Independent, empowered social audit in every sphere of public service, incl. judiciary
2020 · 10m	RTI amendments: impact on autonomy of Information Commission (Ch 13)
2019 · 10m	"Non-performance of duty by a public servant is a form of corruption": agree? (150 words)
2018 · 15m	Citizens' Charter: limitations and measures
2016 · 12.5m	Effectiveness of government and people's participation are inter-dependent (India)
2016 · 12.5m	India low in TI integrity index: legal, political, economic, social, cultural causes of decline in public morality
2015 · 12.5m	If the Whistleblowers Act amendment bill is passed, there may be no one left to protect: evaluate
2015 · 12.5m	Satyam scandal (2009): changes in corporate governance for transparency and accountability
2014 · 10m	Poverty leads to corruption, yet the affluent corrupt too: basic causes, with examples
2013 · 10m	Charters formulated but no improvement in satisfaction: analyse (10m); "A national Lokpal, however strong, cannot resolve immorality in public affairs": discuss (10m)

Recall drill: cover and answer

Anonymous complaints	not entertained	Frivolous complaint	2 years jail
Satyendra Dubey	NHAI whistleblower, murdered	PCA 2018 jail; trial	jail raised from 3 to 7 years; trial 2 years (max 4)
Coercive bribe report	within 7 days		

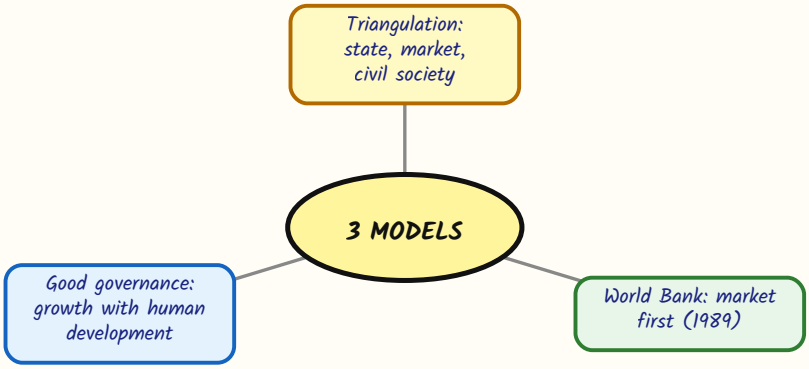
⚖ GOVERNANCE & GOOD GOVERNANCE ⚖

PYQ none quoted in the handout (2016 PYQ on effectiveness and participation sits with Ch 11) · Handout GEG pp. 3–6

✎ *Governance = delivery of goods and services by state, market and civil society together. Good governance adds a purpose: fair, accountable, inclusive, sustainable. Know the three models and the frameworks (UNDP, DARPG, 4Es, WGI, GGI).*

Governance = comprehensive delivery of goods and services. It has an ***inverse relationship with research***: the more research on it, the more ambiguous it gets; so our understanding of governance and good governance has become ***more confused instead of more refined***. Researchers agree on ***three basic meanings/models***.

THREE MODELS OF GOVERNANCE



Triangulation (network / third-party governance)

→ governance as a process is ***untied from the apron strings of government*** and placed in the middle of ***society***: market and civil society also contribute, not only the State

→ ***State = 1st party, market = 2nd, civil society = 3rd***

→ not in isolation but in combinations: State + market, market + civil society, or all three; e.g. ***State makes policy, market implements, credible NGO evaluates, feedback improves policy***

World Bank model

→ based on ***market ascendancy***; first elaborated in a World Bank paper on ***Sub-Saharan Africa, 1989***

→ premise: market plays the dominant role, government a facilitatory or peripheral one, civil society is marginalised; market is the key entity around which world societies should be organised

→ good governance = exercise of political power to manage a country's resources efficiently

→ features: accountability to market (predictable policy, lower deficit) · empowerment by e-gov and m-gov, not rights

Critique: such a perspective would substitute ***politics with management***: "a democracy without politics and citizenship without rights" = a kind of ***soft authoritarianism***.

STATE vs MARKET

Market problems

→ ***consumers vs citizens:*** market responds to those able to pay (user-pays principle); government always responds to ***citizens***

→ market avoids loss-making ventures; government sees them as part of ***socio-economic justice*** (train to a remote area, bank branches in remote areas)

→ ***market failure:*** 2008 financial crisis caused by unregulated markets, esp. financial institutions

→ ***crony capitalism:*** business houses bribe their way into favourable policy and distort the level playing field

→ ***environment:*** profit-oriented, degrades if not regulated

→ ***not all State activity can be outsourced:*** external affairs, defence management, law and order

Strong market needs strong state

→ manage public order
→ manage social conflict
→ level playing field
→ sanctity of contract

Decentring the State and replacing it with the market: the real issue is replacing the "bourgeoisie-feudal-bureaucratic" state with a ***genuine democratic state***.

GOOD GOVERNANCE MODEL

Good governance model = an environment that enables all to live ***fulfilling, healthy, innovative and productive lives***, i.e. democratic growth with human development.

SMART – Teacher's: **S**imple · **M**oral · **A**ccountable · **R**esponsive · **T**ransparent government.

Features

→ social justice
→ rule of law with equitable access to justice
→ SMART government
→ space for community organisations
→ empowered local bodies
→ sustainable development
→ socially responsible market economy
→ popular participation.

3S-CLMP-R – Features of good governance: **3 S** = Social justice · SMART government · Sustainable development; **CLMP** = Community space · Local bodies · Market (socially responsible) · Participation; **R** = Rule of law. (own mnemonic)

UNDP characteristic (8)	Meaning	Indian example
Participation	citizens take part in decision-making and monitoring	MyGov, Gram Sabha, social audits

Consensus orientation	different interests reconciled for collective welfare	Inter-State Council, NITI Aayog Governing Council
Rule of law	fair, impartial enforcement of laws	IBC 2016; Fugitive Economic Offenders Act 2018
Transparency	open decision-making, access to information	RTI Act 2005; Sec 4 proactive disclosure
Responsiveness	institutions respond to public needs within reasonable time	PRAGATI, CPGRAMS
Accountability	decision-makers answer for their actions	CAG audits, Lokpal, social audits
Effectiveness and efficiency	optimal use of resources and time	DBT, ONDC
Equity and inclusiveness	opportunities and benefits reach marginalised groups	Nari Shakti Vandan Adhiniyam 2023; Aspirational Districts

PCR TARE — UNDP eight: **P**articipation · **C**onsensus · **R**ule of law · **T**ransparency · **A**ccountability · **R**esponsiveness · **E**ffectiveness-efficiency · **E**quity-inclusiveness. (own mnemonic)

DARPG (Dept of Administrative Reforms and Public Grievances) categorises Indian governance into ***five working dimensions***: a basis for understanding governance performance.

DARPG dimension (5)	***Focus and example***
Political	public participation, conduct of political actors, citizen trust; devolution under 73rd and 74th Amendments
Legal and Judicial	rule of law, access to justice, human rights; fast-track courts, e-Courts Mission Mode Project
Administrative	efficient, transparent service delivery; RTI Act 2005, e-governance
Economic	macroeconomic stability, regulation, ease of doing business; IBC 2016
Social and Environmental	welfare of vulnerable groups, sustainability; POSHAN, Ecologically Sensitive Zones

PLAES — DARPG five: **P**olitical · **L**egal-judicial · **A**dministrative · **E**conomic · **S**ocial-environmental. (own mnemonic)

4Es (teacher's)

→ ***Ethics*** (honesty, integrity)
→ ***Efficiency*** (results, least waste)
→ ***Equity*** (fair opportunities)
→ ***Ethos*** (public-service values, citizen-centric).

CONSTITUTIONAL VISION

No phrase "good governance", but the base is there

→ ***Preamble:*** justice, liberty, equality, fraternity as guiding values of governance
→ ***DPSP:*** Arts 38, 39, 41, 47 promote social welfare, reduction of inequalities, better living standards
→ ***FRs:*** Arts 14, 19, 21 protect equality, freedom of expression, life and personal liberty
→ ***Art 50:*** separation of judiciary from executive strengthens judicial independence
→ ***Parts IX and IXA:*** constitutional status to Panchayats and Municipalities: democratic decentralisation

Judicial contributions: ***Vineet Narain v UoI 1997*** (strengthened institutional accountability and independence of investigative agencies) · ***Anjali Bhardwaj v UoI 2019*** (timely appointments to Information Commissions, to protect effective functioning of the RTI framework).

INDICES OF GOVERNANCE

Index	By	Handout position
WGI	World Bank	six governance dimensions across countries; India relatively better in Government Effectiveness than Voice and Accountability
CPI	Transparency International	perceived public-sector corruption; ***96th of 180*** (2024), score 38
GGI	DARPG	State and UT performance across 10 sectors, 58 indicators; GGI 2020-21 (Group A) led by Gujarat, Maharashtra, Goa
SDG India Index	NITI Aayog	State/UT performance on SDGs; 2023-24: Kerala and Uttarakhand joint top

WGI six

→ Voice and Accountability
→ Political Stability and Absence of Violence
→ Government Effectiveness
→ Regulatory Quality
→ Rule of Law
→ Control of Corruption. ***GGI:*** launched by DARPG on ***25 Dec 2019***. Objective: assess governance across States and UTs and promote competitive improvement; ***10 sectors***, measurable indicators

VP GRRC — World Bank WGI six, handout order: **V**oice and accountability · **P**olitical stability · **G**overnment effectiveness · **R**egulatory quality · **R**ule of law · **C**ontrol of corruption. (own mnemonic)

Check: the CPI rank "96th" was split across a line break in the handout (reads "9 … 6th"). I read it as 96th; please confirm.

Recall drill: cover and answer

Three models	triangulation, World Bank, good governance	Triangulation parties	state 1st, market 2nd, civil society 3rd
World Bank model paper	Sub-Saharan Africa, 1989	SMART	Simple, Moral, Accountable, Responsive, Transparent
GGI launch	25 Dec 2019 by DARPG; 10 sectors		

PEOPLE'S PARTICIPATION & LOCAL SELF-GOVERNMENT

PYQ none quoted in the handout · Handout GEG pp. 7-9

✎ *Participation goes beyond voting: people shape and watch the work. It needs social capital, equality and strong local bodies, and it is blocked by caste, class, gender and powerlessness.*

Participation goes beyond voting. A person feels liberated when his issues truly get addressed by the authorities responsible: he then truly participates (e.g. ***Mohalla committees***), and people's participation becomes the mainstream paradigm of governance, "almost a re-birth of society". The right to participate should be a ***fundamental right***, especially in aspects of governance affecting citizens' daily lives.

Benefits

→ more information; check fit with ground reality; less policy failure
→ social acceptance and ownership; sustainable projects
→ ***two-way learning***: government learns from people, people learn technical aspects from government; with time government's responsibility for the project falls and people's involvement rises
→ capacity building; vigilance, less pilferage and corruption
→ community feeling, social capital; volunteer resources

Pre-requisites

→ a basic, rudimentary level of ***social capital*** before participation can even start
→ equality of wealth and power widens the social base of participation
→ institutional environment: local self-government
→ procedural reforms to involve people

Barriers

→ ***caste:*** upper castes dominate
→ ***class:*** landed control
→ ***gender:*** male-dominated Gram Sabhas
→ ***powerlessness:*** people must be prepared to participate, not just asked
→ ***low capacity:*** basic education, awareness of rights and legal framework
→ ***political:*** lack of decentralisation

CCG LPC — Barriers: **C**aste · **C**lass · **G**ender · **L**ack of motivation · **P**olitical constraints · **C**apacity gap. (own mnemonic)

URBAN LOCAL BODIES

74th Amendment ULBs: critical to democratic decentralisation, but constrained by inadequate devolution of ***3Fs: functions, finances, functionaries. Capacity deficit:*** administrative, technological and human-resource.

Reforms

→ ***Empower State Finance Commissions:*** constitutional mandate for timely reports, transparent devolution formula, monitoring (2nd ARC, 13th FC)
→ ***Functional autonomy:*** Model Municipal Law for urban planning, water supply, sanitation, public health
→ e-municipality; GIS revenue mapping (BBMP Bengaluru)
→ ***fiscal powers:*** municipal bonds, user fees, property-tax reform (geo-spatial mapping in Pune, Hyderabad raised tax base by 40%)
→ institutionalise ***Ward Committees and Area Sabhas*** as mandated under 74th Amendment for participatory planning
→ integrated urban data platforms

Best practice	Detail
Ahmedabad Municipal Corporation	pioneered India's first municipal bonds, ***1998***: model for infrastructure financing
Pune Smart Governance	GIS-enabled property tax: ***35%*** increase in revenue
Delhi Mohalla Sabhas	pilot ward participatory budgeting; needs scale and legal backing

GRAM SABHAS

73rd Amendment: Gram Sabhas are the foundation of grassroots democracy but under-used: poor attendance (***often below 15%*** in many states, MoPR survey 2023), ***bureaucratic dominance***, resolutions seen as ***recommendatory, not binding*** (no statutory enforcement); PRIs lack training in participatory planning, budgeting and social auditing.

Way forward

→ ***statutory backing*** to Gram Sabha resolutions, esp. in planning and social audits of schemes like MGNREGA
→ ***e-GramSwaraj*** to track attendance, decisions and follow-up
→ reserved discussion slots for women, SC/ST, SHG members in every meeting (Kerala People's Plan Campaign)
→ mandate Gram Sabha-led social audits: downward accountability
→ ***Panchayat Resource Centres*** to train PRI functionaries on participatory tools

Practice / report	Detail
Jharkhand Social Audit Unit	institutionalised Gram Sabha-led MGNREGA audits; exposed over **Rs 18 crore** irregularities
Kerala People's Plan Campaign	Gram Sabhas formulated local development plans (rural development index recognition)
Chhattisgarh Jan-Choupal	Gram Sabha-level grievance redressal and planning forums; better local responsiveness
13th Finance Commission	performance-linked grants for PRIs, linking funds to Gram Sabha functionality
Bhuria Committee 1995	recommended Gram Sabha's pivotal role in tribal self-governance
MoPR 2024	flagged irregular Gram Sabha functioning in **60%** of surveyed villages

MINIMUM GOVERNMENT, MAXIMUM GOVERNANCE

Not essentially less bureaucracy but a better bureaucracy.

→ Components: do away with crippling regulations
→ reduce bureaucrats' discretionary powers
→ goals over rules
→ effective facilitation of business and civil society organisations
→ effective accountability mechanism. **Steps:** self-certification in place of gazetted-officer certification
→ drive to identify obsolete rules
→ labour-law amendments to reduce inspector raj, benchmarking best practices for industrial clearances
→ single window (ends inter-departmental wrangling)
→ introduction of e-governance.

Link · Saarthi IAS CA (verify) Low Gram Sabha participation (NIRDPR study) is covered in Chapter 16: barriers, elite capture and ARC-II suggestions.

Recall drill: cover and answer

Beyond voting example	Mohalla committees	3Fs of ULBs	functions, finances, functionaries
Municipal revenue	below 1% of GDP (RBI 2024)	First municipal bond	Ahmedabad, 1998
Gram Sabha attendance	below 15% in many states (MoPR 2023)		

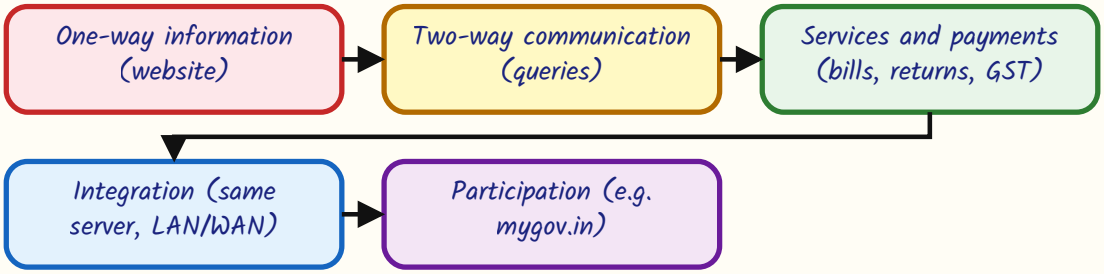
E-GOVERNANCE

PYQ Mains 2025 · 2024 · 2023 · 2021 · 2020* · 2019 · 2018 · 2013 · Handout GEG pp. 9-14

✎ *E-government digitises the government's own work. E-governance uses ICT to deliver services through state, market and civil society together. Learn stages, four models, ten benefits, and the issues (divide, trust, no re-engineering).*

E-Government	E-Governance
a more efficient form of government made possible by increasing, extensive use of ICT to manage **its own internal processes**	based on the **triangulation model** (state-market-civil society): comprehensive delivery of public goods and services exploiting the **synergies** between the three, with ICT as the platform

FIVE STAGES (in order)



Stages in detail

→ **1 Simple information dissemination:** website reaches people about programmes; ***one-way*** data transfer; most basic form

→ **2 Two-way communication: *demand-driven*** data transfer; extra pages of information; a user unable to find information can ***put a query*** on the site

→ **3 Services and financial transactions:** things people did physically (services, transactions with governmental and non-governmental entities) become digital: bill payment, filing returns, GST or income tax payment

→ **4 Integration:** same server or database connects every employee vertically and horizontally in a department; extended to other departments, ministries and national-state-local governments by ***LAN and WAN***

→ **5 Popular participation:** sites designed for flow from people to government too: opinions on proposed legislation or policy (mygov.in)

FOUR MODELS PYQ 2024

Model	Idea
Broadcasting	without internet, information was limited; e-governance gives an ***exponential rise*** in flow of information
Critical Information Flow	critical information needed for a person's growth; earlier cost money, time and energy, now one click, no travel to mandi
E-Mobilisation	enforces democratic rights by mobilising people ***virtually***: physical space for assembling is limited
Interactive Service	improves pace and quality of services: earlier visit offices and queue for utility bills, now at the push of a button

BCEI — Four models in handout order: **B**roadcasting · **C**ritical information flow · **E**-mobilisation · **I**nteractive service. (own mnemonic)

BENEFITS (ten)

Benefits

→ ***1 Administration (overcomes historic disabilities):*** e-files cut delay (seconds/minutes between departments); ***central storage with multiple backups*** (Adarsh Society scam: documents destroyed)

→ ***2 Sound data management for planning and decisions:*** manual processing limited, computer analytics better

→ ***3 Service delivery:*** e-FIR (Delhi); utility bills; Where is My Train, RailYatri; e-filing of returns; single-window ***ME-SEVA*** (Andhra), ***FRIENDS*** (Kerala: Fast, Reliable, Instant, Effective Network for Disbursement of Services)

→ ***4 Lower transaction cost and end-to-end time:*** simultaneous processing, no department-by-department trail

→ ***5 Process re-engineering:*** NIC support; digitisation delayed by complex procedures; rules must be simplified before digitising; status checkable even on off days

→ ***6 Anytime-anywhere (24x7):*** status and new applications

→ ***7 Transparency:*** corruption-prone areas lose the physical interface; transparency, accountability up, corruption down

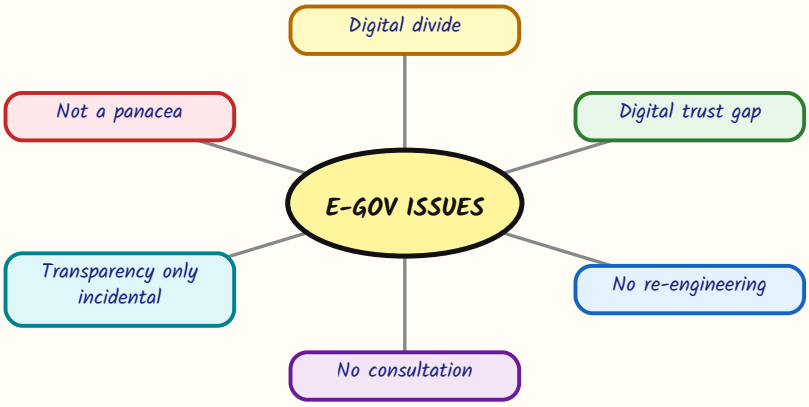
→ ***8 Democracy:*** democratic deficit in physical space organised digitally; citizen-to-citizen mobilisation, G2C interface, EVM

→ ***9 Judicial administration:*** video-conferencing, judicial data grid

→ ***10 Government revenue:*** digital payments reflect white money in banks, so taxes cannot be avoided; black money falls

ISSUES PYQ 2023 PYQ 2021 PYQ 2019

WHAT HOLDS E-GOVERNANCE BACK



Digital divide

→ ***75% of net users are in urban India***

→ digital illiteracy in rural India (an illiterate person cannot use online services even with a smartphone)

→ mirrors the urban-rural divide (COVID: urban middle-class students on Zoom, rural students excluded; imbalance in education)

→ rural people miss income opportunities, telemedicine

→ elderly more vulnerable

→ inadequate ***vernacular*** content

→ ***last-mile connectivity*** still a problem.

DIVIDE – Digital divide: **D**igital illiteracy · **I**ncome and telemedicine missed · **V**ernacular content gap · **I**nternet users 75% urban · **D**ependent elderly · **E**nd (last-mile) connectivity. (own mnemonic)

Digital trust: entering personal information for transactions or fee payment makes people insecure about ***misuse of data***.

6 C's — Teacher's ***6 C's of work plan:*** **C**ontent development (revise regularly, relevant to the zone) · **C**ompetence building (e.g. bank staff blame "server fault" and wait for an expert: give basic ICT training) · **C**onnectivity, esp. rural (else only the integrated part benefits, majority left on margins) · **C**itizen's interface (needs phone and internet; internet costly for rural people; awareness; accessible and affordable) · **C**yber laws (data protection and security; ***technology-agnostic***; balance privacy so that productive use of technology is not compromised) · **C**apital (sites need revenue streams; reasonable charges, self-sustaining).

Inadequate re-engineering: e-governance lets government restructure and simplify procedure; if not done, procedure never gets digitised. Delay is not because of support agencies but sometimes govt lacks interest in simplifying, as the ***corruption point barricades*** digitisation.

Narrow vision, no consultation: services shifted from physical to digital without asking stakeholders whether it fits their needs. ***Check on corruption and transparency only incidental:*** dip is automatic from removing human interface

E-governance helps	***But it cannot***
smart classes, presentations, online assignments, parents' access to progress	build adequate schools with adequate teachers
manage traffic: GPS load analysis, signals, CCTV challans	care about congestion, deficit of flyovers/ underpasses, road quality
judicial data, case status, next hearing, lawyer allotment, bench	give speedy justice delivery
easy tax payment	ensure government accountability for development works and use of taxes

Big data ("Data is the new oil"): with increasing data, problems arise: data security, privacy, unethical usage.

Year	***PYQ (handout, with marks)***
2025 (10)	E-governance projects have a built-in bias towards technology and back-end integration than user-centric designs. Examine.
2024 (15)	E-governance is not just routine digital technology in service delivery but multifarious interactions for transparency and accountability: evaluate the role of the 'Interactive Service Model'.
2023 (10)	E-governance has ushered in effectiveness, transparency, accountability. What inadequacies hamper enhancement of these features?
2021 (15)	Has digital illiteracy, particularly in rural areas, coupled with lack of ICT accessibility hindered socio-economic development? Examine with justification.
2020 (10)	Fourth Industrial Revolution (Digital Revolution) has initiated e-Governance as an integral part of government. Discuss.
2019 (10)	ICT-based projects usually suffer in vital factors. Identify these and suggest measures for effective implementation.
2018 (10)	E-Governance is not only about new technology but the critical importance of the 'use value' of information. Explain.
2013 (10)	Electronic cash transfer for welfare schemes: an ambitious project to minimise corruption, eliminate wastage and facilitate reforms. Comment.

Recall drill: cover and answer

E-government vs e-governance	internal efficiency vs state-market-civil society delivery	Five stages	info, two-way, transactions, integration, participation
Four models	broadcasting, critical info flow, e-mobilisation, interactive service	Digital divide statistic	75% of net users urban
Six C's	content, competence, connectivity, citizen interface, cyber laws, capital		

DATA PROTECTION, PRIVACY & CYBERSECURITY

PYQ none quoted in the handout · Handout GEG pp. 15–20

✎ *Data is the new oil, and also a liability. India moved from IT Rules 2011 → Puttaswamy 2017 → Srikrishna Committee → PDP Bill 2019 (a Bill) → Digital Personal Data Protection Act 2023 (an Act). Keep Bill and Act apart.*

India: about ***800 million*** internet users, ***400 million*** smartphone users, ***150 exabytes*** of data a year (handout). Strategic asset and liability. ***132 of 194*** countries have data-protection frameworks

Need for protective data usage

→ harness data for growth, better public services and ***Atmanirbhar Bharat***

→ cross-sectoral data convergence (Aadhaar, GSTN, UPI, BHUVAN) can improve policy through ***predictive analytics***

→ but privacy and security are imperative to keep public trust while maximising economic benefit.

ISSUES IN THE DATA ECOSYSTEM

Issues

→ ***data security and privacy:*** prevent misuse for commercial gain; ***privacy by design*** while enabling economic use

→ ***cross-border compatibility:*** align with global norms so firms operating internationally face no conflict; extent of government exemptions

→ ***medico-legal:*** leaks cause not just financial loss but emotional and psychological harm: stress, depression, PTSD (Identity Theft Resource Center study); law must integrate medico-legal safeguards

→ ***fake accounts and bots:*** mimic humans, spread propaganda and misinformation (NYT: 48 million Twitter accounts fake: malicious campaigns, scams)

→ ***social media abuse by anti-social elements:*** extremist and terror outfits (ISIS recruitment); tension between privacy and national security: needs government-platform cooperation

DATA LOCALISATION

Data localisation = restrictions on cross-border data flow: local storage with regulated external access. ***Hard:*** absolute restriction on data leaving national borders. ***Soft:*** stored locally with conditional cross-border sharing. Key challenge: defining clear ***purpose-specific conditions*** for permissible transfers.

Benefits (detail)

→ ***national security:*** hostile nations cannot access information on our population to manipulate it

→ ***law enforcement:*** easier access for investigation; abroad it is difficult and impedes investigation

→ ***privacy:*** government can impose its own privacy rules; otherwise data flows where regulation may be lenient

→ ***grievance redressal:*** breach can be pursued in an Indian court; not feasible if breach occurs abroad

→ ***bargaining power:*** local data is an asset in deals with countries and multilateral institutions (market access, bilateral, technical and economic cooperation)

SLIPB — Benefits: **S**ecurity (national) · **L**aw enforcement access · **I**ndia's own privacy rules apply · **P**rivacy grievance in Indian courts · **B**argaining power. (own mnemonic)

LEGAL PATH (in order)

2000 / 2011
IT Rules 2011 under IT Act 2000 defined Reasonable Security Practices and Sensitive Personal Data Rules; inadequate against rising privacy concerns, so a comprehensive PDP Bill was needed

2017
Puttaswamy: Right to Privacy a Fundamental Right, so government must build a robust legal framework; Justice B.N. Srikrishna Committee formed to draft the law

2018
Srikrishna report laid the foundation for India's first PDP Bill

2019
PDP Bill 2019 (a Bill); several progressive recommendations were omitted or diluted in the final draft, leaving gaps

2023
DPDP Act, 2023 (an Act)

Bill vs Act: PDP Bill 2019 was only a Bill (handout: Departmental Standing Committee; a JPC examined it and it was withdrawn in 2022: general knowledge, verify). Law in force: ***DPDP Act 2023***.

GDPR (EU, 2018): "EU avatar" of the Indian PDP Bill

→ ***informed consent:*** lengthy complex online consent causes ***consent fatigue***; terms should be simplified, shortened, understandable

→ ***breach notification:*** the moment data is breached, the individual must be informed immediately

→ ***automated decision-making:*** AI recommendation algorithms build profiles; right to ***opt out*** to prevent profiling

→ ***citizen awareness:*** mass citizen-engagement programme

Principles of data protection (7)

→ ***technology agnosticism:*** adaptive, future-proof; avoids frequent overhauls

→ ***holistic application:*** private entities and government; ***narrow, well-defined exemptions*** (national security, public order, investigation) to prevent misuse of discretion

→ ***informed consent:*** genuine choice, not procedural formality from consent fatigue

→ ***data minimisation:*** collect only what is strictly necessary; purpose-limited use

→ ***controlled accountability:*** fiduciaries proactively use advanced security; accountable for breach under a defined framework

→ ***structured enforcement:*** multi-tier: company, independent regulator, tribunals, judiciary (HC, SC)

→ ***deterrent penalties*** as envisaged in the PDP Bill, to ensure compliance and trust

SHARP-DD — Principles: **S**tructured enforcement · **H**olistic cover (private + govt) · **A**gnostic technology · **R**esponsible fiduciary · **P**urpose-limited minimisation · **D**eterrent penalties · **D**ata consent (informed). (own mnemonic)

PDP BILL 2019 (provisions of the Bill)

Bill provisions

→ ***preamble:*** right to privacy is a fundamental right; protect personal data as a facet of privacy; collective culture for a free and fair digital economy

→ ***applies to:*** government, companies incorporated in India, foreign companies dealing with personal data of individuals in India

→ ***personal data:*** traits or attributes of identity that identify an individual; ***sensitive:*** financial, biometric, caste, religious or political belief, or other category the government specifies with the Authority and sectoral regulator

→ ***data fiduciary:*** entity or individual deciding means and purpose of processing; only for specific, clear, lawful purposes, within collection and storage limits

→ ***rights of data principal:*** confirmation of processing, correction of inaccurate/incomplete/out-of-date data, portability to another fiduciary, restrict continuing disclosure when no longer necessary or consent withdrawn

→ ***consent is the basis;*** no consent needed for: benefits by the State, legal proceedings, medical emergency

→ ***social media intermediaries:*** enable user interaction; above a notified threshold and able to affect electoral democracy or public order: voluntary user verification

→ ***Authority:*** protects individuals' interests, prevents misuse, ensures compliance; chair + 6 members with at least 10 years in data protection and IT

→ ***transfer abroad:*** sensitive data only with explicit consent plus conditions, and must still be stored in India; ***critical personal data*** (notified) processed only in India

→ ***exemptions:*** Centre can exempt its agencies (security of state, public order, sovereignty and integrity, friendly relations, preventing incitement to cognizable offences); also prevention/ investigation/prosecution of offences, personal or domestic, journalistic purposes (still specific, clear, lawful, with safeguards)

→ ***penalty:*** violation Rs 15 crore or 4% of annual turnover, whichever higher; failure of data audit Rs 5 crore or 2%

DPDP ACT 2023

Provision	Detail
Scope	digital personal data in India and extraterritorial for goods/services offered in India
Consent	informed and explicit
Children	government can lower age of consent
Cross-border	"blacklisting" approach, not blanket bar
Social media	Significant Data Fiduciaries must enable user verification
Exemptions	selective, for security and law enforcement
Enforcement	***Data Protection Board of India***

Challenges

→ ***vague exemptions for State use:*** overbroad clauses may dilute privacy and encourage misuse by agencies

→ ***weak enforcement:*** Board's effectiveness hinges on autonomy, resources, capacity

→ ***compliance burden on innovation:*** small businesses and start-ups may struggle, stifling digital innovation

→ ***international data-sharing frictions:*** divergence from global data standards could hinder India's global digital integration.

CYBERSECURITY

Incidents

→ UIDAI Aadhaar data leak **2018** (alarm over citizen data privacy)
→ Kudankulam nuclear plant breach **2019** (Lazarus Group-led; escalated national-security concerns)
→ AIIMS Delhi ransomware **2022** (fragility of healthcare cybersecurity).

Role of cybersecurity: the backbone of India's digital economy; trust in digital governance rests on safeguarding critical infrastructure, preventing intrusions, ensuring data confidentiality: from citizen data in welfare programmes to national security. Threats: ransomware, data breaches, espionage.

Initiatives

→ ***CERT-In:*** nodal agency for cyber-threat response, under MeitY
→ ***National Cyber Security Policy 2013:*** strategies for securing national digital assets
→ ***Cyber Swachhta Kendra:*** botnet cleaning, malware mitigation
→ ***ISEA programme:*** cyber awareness among students and government officials
→ ***Cyber Surakshit Bharat:*** public-private collaboration for cyber resilience in government institutions

Way forward

→ expand operational capacity of CERT-In and I4C; consider a dedicated ***Cybersecurity Authority for critical sectors***
→ enforce DPDPA 2023 (robust data governance to uphold privacy)
→ PPP innovation hubs (e.g. Infosys Cyber Defense Center for capacity building)
→ cyber education in curricula (Cyber Surakshit Bharat)
→ home-grown R&D (DRDO secure communication systems set precedent).

PEACH — Cyber way forward: **P**PP hubs · **E**nforce DPDPA 2023 · **A**uthority and capacity (CERT-In, I4C, cyber authority) · **C**yber education · **H**ome-grown R&D. (own mnemonic)

Recall drill: cover and answer

Right to privacy case	Puttaswamy 2017: Fundamental Right	Srikrishna report; first Bill	2018; PDP Bill 2019
Law now in force	DPDP Act, 2023	Hard vs soft localisation	never leaves vs conditional sharing
CERT-In falls under	MeitY		

EMERGING TECH IN GOVERNANCE: BLOCKCHAIN · AI · DPI

PYQ Mains 2020 (Fourth Industrial Revolution and e-governance) · Handout GEG pp. 20-24*

New tools (blockchain, AI, DPI) widen what government can do, and bring risks (deepfakes, content regulation, privacy). For each: what, example, challenge, way forward.

BLOCKCHAIN

Promise: transparency, immutability, decentralised trust: transforming public service delivery from land records to grievance redressal. ***CBDC (Digital Rupee):*** RBI initiative to modernise digital payments and reduce cash dependency; regulators TRAI and SEBI exploring it for transparency and efficiency.

Case	Impact
NFTs for land mutation (West Bengal)	streamlined land ownership records; eliminated manual processes

Tamil Nadu Blockchain Backbone	consolidates citizen documents into a secure digital wallet for easy access and sharing
Firozabad grievance system (UP)	transparent complaint redressal using blockchain verification protocols

Challenges

→ scalability and energy use (high computational demand slows scaling)

→ legal ambiguity: no robust legal recognition of blockchain records

→ data privacy: public chains risk exposing sensitive citizen data.

Way

→ comprehensive regulatory framework akin to ***Estonia's*** blockchain legal infrastructure

→ prioritise ***permissioned*** blockchains for government use

→ capacity building and sandbox projects like Dubai's Blockchain Strategy.

AI AND GOVERNANCE (4IR) PYQ 2020*

AI is reshaping public administration through ***automation, predictive analytics and efficient service delivery***.

Uses

→ ***AI-led service delivery:*** automation reduces administrative burden; e.g. Indian Railways' "Ideal Train Profile" optimises revenue via AI analysis

→ ***healthcare and education:*** telemedicine, personalised learning; e.g. NITI Aayog cancer image databases

→ ***agriculture and inclusivity:*** AI-based pest control; ***Bhashini*** project enables language inclusivity

National initiatives

→ ***IndiaAI Mission:*** build indigenous AI infrastructure, including ***10,000 GPUs***

→ ***BharatGen Project:*** multilingual AI models for India's linguistic diversity

→ ***global collaborations:*** GPAI; bilateral projects like US-India AI partnership

AI challenge	Solution
fragmented data governance	implement National Data Governance Policy; open, interoperable datasets
lack of AI-specific legislation	draft AI-specific regulations ensuring ethical oversight and transparency
skill deficits in AI workforce	expand AI training, especially in rural and underserved regions
privacy and data security concerns	enforce DPDPA effectively, focusing on data localisation and protection of sensitive information

DEEPFAKES

Deepfakes blur the line between reality and fabrication: a challenge to governance (elections, national security, public trust). ***Current law:*** IT Act 2000 Secs ***66C, 66E, 67, 67A*** + IPC provisions on defamation, obscenity, forgery. ***IT Rules 2021:*** flagged deepfake content to be taken down within ***36 hours***.

Government response and advisory (2023)

→ directives to intermediaries for timely takedown and user education

→ engagement with stakeholders for compliance

→ future IT Rules amendments to enhance platform accountability.

Impact on governance

→ ***election misinformation:*** manipulates voter perception

→ ***national security threats:*** fabricated military or government communications

→ ***cybercrime and fraud:*** scams impersonating officials

→ ***erosion of public trust:*** citizens cannot tell genuine from manipulated content

Way

→ ***platform accountability:*** detection tools like Microsoft's Video Authenticator

→ ***blockchain-based verification*** to trace media authenticity

→ ***comprehensive legislation:*** frame a Digital India Act addressing deepfakes, learning from international frameworks

→ ***public awareness:*** responsible content sharing, media literacy.

OTT AND CONTENT REGULATION

Why and how

→ ***need:*** explosive growth (***424 million*** users in 2022); obscenity, lack of censorship, minors exposed to inappropriate material; cybersecurity risks: data breaches, fraud

→ ***Digital Media Ethics Code:*** mandatory content classification: ratings ***U, UA 7+, 13+, 16+, A*** and parental controls

→ ***three-tier grievance mechanism:*** publisher-level redressal, self-regulatory bodies, government oversight

→ ***norm compliance:*** align digital news with Press Council and Cable TV Programme Codes

→ ***way forward:*** fast-track DPDPA to safeguard OTT user privacy · independent audit body for content compliance and data security

DIGITAL PUBLIC INFRASTRUCTURE (DPI)

DPI: open-source, interoperable tech platforms underpinning mass delivery of public services, designed to be ***scalable, inclusive and secure. India Stack:*** Aadhaar, UPI, DigiLocker. Also ***ONDC, Open Health Stack, NDEAR*** (education; DIKSHA).

Platform	***Purpose***
Aadhaar	digital identity, presenceless authentication
UPI	real-time interoperable payments
DigiLocker	paperless documents
ONDC	open digital commerce
Open Health Stack	secure health-data sharing
NDEAR	national digital education architecture (DIKSHA)

Significance

→ ***digital inclusion and financial access:*** ***~80%*** financial inclusion in 6 years vs expected 46-year trajectory; UPI brought digital payments to rural India, widening formal credit and savings access

→ ***economic gain:*** DPI could add ***2.9-4.2%*** of GDP by 2030, pivotal to the $8 trillion economy ambition

→ ***govt efficiency and innovation:*** CSCs extend Digital India to remote areas through local entrepreneurs

→ ***AP ICJS 2.0 (Interoperable Criminal Justice System):*** police, forensics, courts, prisons digitised with AI-powered coordination: transparency and efficiency

Challenges

→ ***digital divide:*** disparity across regions, castes, socio-economic groups; ***70%*** of rural population lacks reliable connectivity; limited devices and training

→ ***privacy and trust deficit:*** broad digital identity raises surveillance and misuse concerns; unclear redress mechanisms and absent robust legal framework erode trust

→ ***state capacity and institutional gaps:*** need strong frameworks and "***intelligent customers***" (state actors knowledgeable in risk and data governance)

→ ***implementation disparity across states:*** Madhya Pradesh only ***0.9%*** schools with digital libraries vs national ***6.1%***

Way forward

→ ***bridge connectivity and literacy gap:*** National Broadband Mission 2.0 (universal rural broadband); digital literacy via CSCs and PMGDISHA-like schemes

→ ***institutionalise data trust:*** embed privacy, contestability, grievance redress from inception; procedural fairness, not just compliance

→ ***state capacity and hybrid institutions:*** become intelligent DPI customers; State-civil society collaboration

→ ***scale through PPP and innovation:*** open-source interoperable platforms; e.g. Google's investment in Indian data centres

→ ***DPI for new sectors:*** power (India Stack-like for utilities), education (DIKSHA-based NDEAR), health (Open Health Stack)

Recall drill: cover and answer

IT Rules 2021 takedown time	36 hours	IndiaAI Mission GPUs	10,000
Media rating labels	U, UA 7+, 13+, 16+, A	India Stack	Aadhaar, UPI, DigiLocker
DPI GDP estimate	2.9-4.2% by 2030		

CIVIL SOCIETY & NGOs

PYQ Mains 2025 (anti-State?) · 2023 · 2021 · 2016 · 2015 (NGOs and environment) · Handout CS pp. 3-9

✎ *When the state and the market both fail, people organise on their own: civil society, the third sector. NGOs are its main face. Know the features, the four generations, the roles and the problems.*

Governance has two aspects: process/institutions (state, market, NGOs, legal frameworks) and substantive content (how it addresses health, education etc.). In a welfare state like India the ***state is the principal problem-solving forum*** and its legitimacy lay in its capacity to address public issues, defining India's model until the 1991 reforms; post-1990s reforms shifted to market delivery

Why the State falls short (1st sector)

→ ***overcapitalisation:*** too much money and reliance on the state yet inadequate benefit to people

→ ***good politics, bad economics:*** decisions not matched to actual needs

→ ***nanny state:*** over-dependence on the state

→ too much money to one forum: corruption, embezzlement, stiffening of funds, linkages

→ ***rule-driven bureaucracy:*** adherence to rules became the goal; whether ultimate goals are met was a limited concern

Forum	Strength	Weakness
State (1st sector)	welfare, policy, legitimacy till 1991	overcapitalised; nanny state; rule-driven; corruption
Market (2nd)	alternative delivery of goods and services	profit-driven; ***user-pay***; exclusionary; merit goods (health, education) neglected for those who cannot pay
Civil society (3rd)	voluntary, collective, autonomous	no universal definition

Civil society = people organising themselves outside state and market (NGOs may get donations from state or market but are created by people and largely outside them): an ***intermediate space*** · collective interest · autonomous · largely self-supporting · bound by shared values · citizens acting collectively in the public sphere · does ***not seek formal power. Political parties and media are kept out. No universally accepted definition:*** a mafia satisfies all the characteristics yet is not civil society

Why civil society grew

→ developmental failure of state and market

→ societal learning (skill, will to organise)
→ rise of the governance paradigm
→ ***societal learning:*** people acquire skill, will and ability to organise outside state and market
→ rejection of the ***instrumentalist*** state: state not at the centre of everything or of public-goods delivery; move from state-centric to ***people-centric*** development
→ globalisation and information age
→ ***colour revolutions*** (democratic revolutions of the 1990s in many ex-Soviet republics to topple dictators and restore democracy), Arab Spring

COMPONENTS AND SIGNIFICANCE

Components

→ ***people-serving*** (general interest: Human Rights Watch, ADR) vs ***member-serving*** (pressure groups focus on their own members)
→ ***traditional associations:*** caste, religion, ethnicity, language; ***representative:*** trade, student, peasant unions
→ interest groups: SHGs, pressure groups; philanthropic (Ramakrishna Mission), advocacy (PETA)
→ socio-cultural (sports, recreational clubs); professional, typically member-serving (BCI, IMA); social movements (India Against Corruption)
→ ***NGOs:*** private, not-for-profit, voluntary, self-governing entities · ***CBOs:*** voluntary grassroots entities serving local community need

Significance

→ supplements, complements, questions, confronts, substitutes (where government is not active) the state/market
→ advocates social change; pro-active defence of ***civil liberties***: HRW, Amnesty, PUCL
→ strengthens ***transparency and accountability***: ADR, Transparency International; a vigilant civil society ensures government does not deviate from its promise
→ makes de-administered, decentralised development workable
→ evaluates impact of government policies (social audits); ***training ground*** for future political leaders
→ ***technical support*** to government: CPR, IDSA, FICCI

SAFE-SCAN — Own anchor for significance: **S**upplement · **A**dvocacy · **F**reedoms defended · **E**valuate (audit) · **S**upport (technical) · **C**ontrol of state power · **A**ccountability · **N**ew leaders. (own mnemonic)

ANTI-STATE OR NON-STATE? PYQ 2025

Non-State, not anti-State: they operate outside the government machinery, which does not make them anti-State. ***Criticism is not opposition:*** in a functioning democracy dissent and watchdog activity strengthen the State by improving accountability

The concern is not baseless, only overextended: a small number may misuse funds or work against public interest, so ***proportionate, transparent regulation***, the kind the 2nd ARC envisaged for FCRA, is legitimate. The failure is using that concern to justify blanket restriction.

Way forward

→ treat non-state actors as ***governance partners, not adversaries*** (service delivery, advocacy, innovation)
→ reform FCRA toward proportionality, ***decentralising administration as 2nd ARC suggested***, distinguishing genuine financial misconduct from politically inconvenient advocacy
→ deepen ***SHG 2.0***, addressing rising NPAs and credit weaknesses so SHGs evolve from a subsistence tool into economic empowerment infrastructure

→ modernise cooperative governance (PACS computerisation, Model Cooperative Societies Act, Ministry of Cooperation)

→ ***formal consultative mechanisms*** for pressure groups, not street mobilisation and informal lobbying alone

→ ***calibrate regulation to risk:*** target genuine wrongdoing without a chilling effect on legitimate civic work.

SOCIAL CAPITAL AND LEGAL BASE

Social capital = power of the collective. Two pillars: ***trust and reciprocity. vs financial capital:*** both are productive; social capital is ***everywhere*** whereas financial capital is confined to financial institutions; social capital is ***unlimited and infinite***, financial is finite.

Basis	*Provision*
Art 19(1)(c)	right to form associations, unions, cooperatives
Art 43B	promote cooperatives
Part IX-B	cooperatives
Art 43B	State to promote voluntary formation, democratic and effective functioning of cooperatives
State List 32	cooperatives; multistate cooperatives governed by central laws
Concurrent List 10, 28	Entry 10 trusts; Entry 28 charities, charitable and religious endowments

NGO features

→ voluntary; initiated and governed by own members, ideally on democratic principles; autonomous from state and market

→ legal entities: trusts, cooperatives, charities, trade unions, not-for-profit companies

→ own written constitution; definite aims and objectives; proper organisational structure

→ ability to mobilise resources locally or outside; well-organised accounting/auditing; continuous evaluation of performance

→ ***government funding:*** certainty of finance; saves time and energy spent raising funds; expands scope and outreach; regular state-NGO interaction is mutually beneficial

ROLES AND GENERATIONS

Role of NGOs in development

→ ***mediatory:*** link between citizens and government; brings to government circles people's problems that escaped notice

→ ***mobilising:*** organise Gram Sabha meetings; many SHGs sponsored and developed by NGOs

→ ***consultative:*** think-tanks give technical inputs; leaders consulted, put on ad-hoc advisory bodies

→ ***educational:*** vocational training for poor to create self-employment; e.g. SEWA (early 1970s, Ela Bhatt: poor women)

→ ***supplementary/complementary:*** core developmental areas; ***last-mile*** connectivity; address people's trust deficit with the state through a sensitive approach

→ ***leadership:*** principal change agents in certain areas, eyes and ears of government (e.g. issues of sex workers)

→ ***innovation:*** imaginative interpretation of rules to serve public welfare; experiment until best practice, then replicated across departments

→ ***efficiency:*** bureaucracy is rule-driven, NGOs are ***goal-driven***; adequate funding raises efficiency of government spending

→ also: highlight loopholes in legislative and institutional framework · voice of ***informed dissent*** through research and surveys

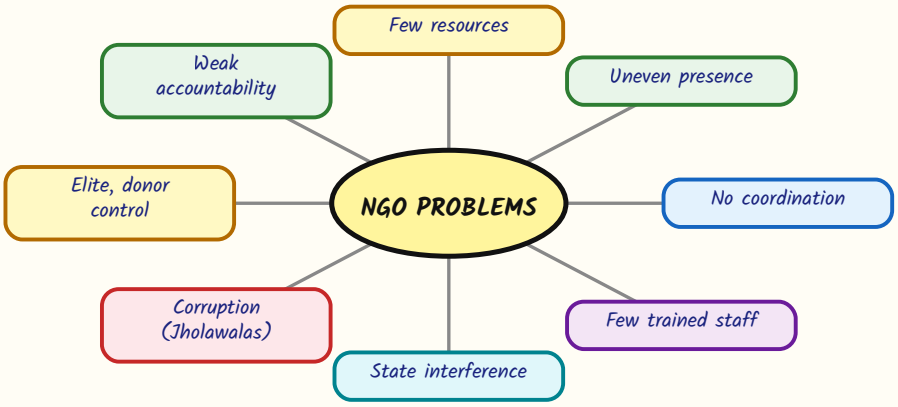
MM CESIE — Roles: **M**ediatory · **M**obilising · **C**onsultative · **E**ducational · **S**upplementary · **I**nnovation · **E**fficiency (plus leadership, loopholes, accountability, informed dissent). (own mnemonic)

Generation	Problem seen	Scope
1st relief and welfare	defined problems as ***shortage*** of something	bring relief and welfare to individuals or families
2nd community development (began 1970s)	***local inertia***: role became mobilising and organising rather than momentary benefits	whole village or larger area, the district
3rd sustainable system development	defined problems as ***institutional and policy constraints***; element of ***activism***: regular interaction with government, agitation, newspaper articles, media debates	region or nation as a whole
4th (present) hybrid: organisations and movements	people not given an adequate ***mobilising vision*** for the future; alternative mobilising vision for the world	national and international

RCDM — Generations in order: **R**elief · **C**ommunity · **D**evelopment-system · **M**ovement. (sequence kept) (own mnemonic)

PROBLEMS OF NGOs PYQ 2021 PYQ 2015

EIGHT FRICTIONS



Problems in detail

→ ***deficiency of resources:*** pre-1991 closed economy and public-sector dominance limited private donations

→ ***uneven presence:*** limited networks, absent in large parts of rural India; certain regions attract excess attention (Niyamgiri-Vedanta agitation), others neglected

→ ***lack of coordination:*** NGOs in similar sectors (health, education, skills) compete for donor recognition; reluctance to pool resources for fear of losing credit: duplication and wastage

→ ***limited outreach/networks*** reinforce uneven presence; ***shortage of trained and dedicated workers*** (technical and managerial expertise) hurts field effectiveness

→ ***state interference:*** government-funded NGOs face bureaucratic oversight; internal operations become bureaucratised and rule-driven, undermining independence

→ ***corruption:*** some misuse funds, money laundering, misappropriation; ex-CVC N. Vittal named "Jholawalas" (corrupt NGOs) alongside Netas, Babus, Lalas and Dadas

→ ***elite domination:*** reliance on corporate donors, rich elites, landlords gives donor-driven agendas, compromising grassroots autonomy

→ ***accountability:*** government-funded NGOs submit progress reports and audits; those raising funds from public donations or informal channels lack structured accountability, so monitoring is difficult

→ ***no common governance norms:*** registered under Trusts, Societies, Charitable Institutions, Not-for-Profit Companies: fragmented oversight; RWAs and SHGs not formally registered

→ ***government crackdown:*** in democracies with weak institutions governments see NGOs as threats for dissent and activism; regulatory scrutiny and funding restrictions on those advocating public causes

Year	PYQ (handout, marks)
2025 (10)	Civil Society Organisations are often perceived as anti-State actors rather than non-State actors. Do you agree? Justify.
2023 (15)	Contribution of civil society groups for women's effective and meaningful participation and representation in state legislatures.
2021 (15)	Can civil society and NGOs present an alternative model of public service delivery to benefit the common citizen? Discuss the challenges of this alternative model.
2016 (12.5)	In the Indian governance system the role of non-state actors has been only marginal. Critically examine.
2015 (12.5)	How can the role of NGOs be strengthened in India for development works relating to protection of the environment? Discuss the major constraints.

Recall drill: cover and answer

Civil society is the	third sector, "fifth estate"	Excluded from civil society	political parties and media
Two pillars of social capital	trust and reciprocity	Four NGO generations	relief, community, system, hybrid movement
Art 19(1)(c)	form associations, unions, cooperatives		

FCRA · REGULATING NGOs · DONOR AGENCIES

PYQ Mains 2015 (FCRA) · 2024 (charitable trusts) · 2022 (donor agencies) · Handout CS pp. 9-12

✎ *The state has tightened control of foreign funding step by step: FCRA 1976 → FCRA 2010 → Amendment Act 2020 → an Amendment Bill 2026 that is still only a Bill. Know which are Acts and which is a Bill.*

1976
FCRA 1976 enacted by Indira Gandhi amid declared suspicion that foreign interests were trying to influence or destabilise India

1982
Kudal Commission appointed to investigate activities and foreign funding of certain voluntary organisations; report not placed in public domain

2010
FCRA, 2010 main framework (MHA)

2013
Lokpal Act 2013: NGOs receiving substantial foreign contributions fall within Lokpal's jurisdiction, strengthening accountability over foreign funds

2014
media reports cited a leaked Intelligence Bureau report alleging some foreign-funded NGOs mobilised opposition to projects on nuclear energy, mining, GM crops and industrial development: Kudankulam, uranium mining, POSCO, Vedanta

2020
FCRA (Amendment) Act, 2020

2022
Noel Harper v UoI upholds 2020 provisions

2026
FCRA Amendment Bill, 2026: still a Bill, with a JPC

Act vs Bill: FCRA 1976, 2010 and the 2020 Amendment are ***Acts***. The 2026 measure is a ***Bill referred to a Joint Parliamentary Committee***, so it is not law yet (handout wording).

FCRA, 2010

FCRA 2010 (MHA)

→ regulates receipt and utilisation of foreign contribution by individuals, associations, NGOs, trusts and other entities; administered by MHA
→ ***two routes: Registration*** (fixed period, subject to renewal) and ***Prior Permission*** (specific purpose and specific foreign source, generally for organisations without regular FCRA registration)
→ allowed fields: cultural, economic, educational, religious, social
→ ***barred recipients:*** political parties, election candidates, public servants, organisations of a political nature
→ MHA can suspend or cancel; annual returns and accounts

Concerns

→ complex registration and renewal
→ vague "political nature"
→ suspension and cancellation
→ compliance load
→ admin spend cut by 2020. ***FCRA Rules:*** office-bearers declare on religious conversion, sedition, violence; foreign hospitality covered.

FCRA (Amendment) Act, 2020	Change
Public servants	cannot receive foreign contribution
Transfer	cannot pass it to another person or entity
Administrative expenditure	**50% → 20%**
Suspension	maximum **180 → 360 days**
Aadhaar	mandatory for key office-bearers
Account	first into designated FCRA account, **SBI New Delhi Main Branch**

PTAS-AD — 2020 changes: **P**ublic servants barred · **T**ransfer barred · **A**dmin cap 20% · **S**uspension 360 days · **A**adhaar · **D**esignated SBI account. (own mnemonic)

Noel Harper v Union of India (2022): SC upheld the major 2020 provisions; receiving foreign contribution is ***not an absolute right***.

FCRA AMENDMENT BILL, 2026 (referred to JPC)

What the Bill proposes

→ certificate ***ceases*** if not renewed, no application made, or renewal rejected

→ ***Designated Authority*** for vesting, supervision, management and disposal of foreign contributions and assets created from them after registration ends

→ ***provisional vesting:*** assets temporarily in custody, restored if registration revived; ***permanent vesting:*** if not restored, assets may vest permanently in the Authority, be used for public purposes, disposal proceeds credited to ***Consolidated Fund of India***

→ prior-permission funds must be received and utilised within the prescribed period; Designated Authority must preserve religious character of places of worship, cannot convert or repurpose them

→ maximum imprisonment for specified offences reduced to ***one year from five***; ***prior approval of the Central Government*** before initiating investigation for offences under the Act

Significance

→ closes a legal gap (framework for assets when certificate expires or is not renewed)

→ prevents regulatory avoidance (cannot escape scrutiny by letting registration lapse)

→ protects foreign-funded assets for public purpose

→ transparency and anti-money-laundering compliance

→ decriminalisation (reduced imprisonment shows a trust-based regulatory approach).

Concerns

→ disproportionate consequence: even procedural lapses may cost assets

→ ***retrospective impact:*** earlier assets may stay subject to vesting even if the organisation now functions on domestic funds

→ differential treatment of registered vs prior-permission organisations

→ due process: no clear hearing or appeal against denial of renewal, more executive discretion

→ centralisation: prior Central approval for investigation raises institutional-independence concerns.

PACT-D — Why the 2026 Bill matters: **P**revents avoidance · **A**ssets protected · **C**loses the legal gap · **T**ransparency and anti-money-laundering · **D**ecriminalisation. (own mnemonic)

Balance and way forward

→ regulate to stop laundering, foreign political influence, diversion and security threats, but keep space for health, education, environment, relief. Give a ***statutory appeal***

→ judicial safeguards before permanent vesting

→ ***clean exit*** from FCRA without forfeiture of legitimate assets

→ real-time digital disclosure on the FCRA portal

→ proportionate treatment of technical lapses. ***Conclusion:*** stronger executive power needs due process, proportionality and transparency.

CAN CIVIL SOCIETY REPLACE THE STATE? PYQ 2016

State functions not to outsource

→ defence; public order; external affairs

→ larger societal problems neither civil society nor market can handle: population-control policy, comprehensive national policies, broad problems like communalism and casteism

→ symbolic functions (regularly celebrating Republic Day, Independence Day)

→ framing monetary, fiscal, EXIM, industrial policies

→ ***Verdict:*** civil society can be ***one alternative problem-solving forum***, but not a complete substitute for the state or the market

DONOR AGENCIES PYQ 2022

Donor agencies are now significant players in financing India's development projects; resources and expertise are valuable, but excessive reliance may undermine ***community ownership and grassroots participation*** in setting priorities.

Against dependence

→ ***reduced community ownership:*** projects look externally driven, alienate locals (Narmada Dam protests)

→ ***top-down imposition:*** global narratives over local realities (World Bank ICDS support faced local adaptability challenges)

→ ***bureaucratic complications:*** donor procedural norms, audits, reporting burden local agencies (MNREGA reporting delays from donor-linked processes)

→ ***weakened accountability:*** external steering bypasses national oversight, less transparency to locals and democratic institutions

For involvement

→ ***capacity building:*** training and technical inputs (UNDP water management, rural India)

→ ***participatory planning:*** community engagement in design and monitoring (ADB Urban Climate Fund)

→ ***local knowledge:*** partnerships amplify indigenous experience (Sweden-SEWA boosted women's livelihoods)

→ ***global best practice:*** benchmarks in transparency, gender inclusivity, environmental safeguards

Year	PYQ (handout, marks)
2015 (12.5)	Examine critically the recent changes in the rules governing foreign funding of NGOs under the FCRA, 1976.
2024 (10)	Public charitable trusts have the potential to make India's development more inclusive as they relate to certain vital public issues. Comment.

2022 (15)	Do you agree that increasing dependence on donor agencies for development reduces the importance of community participation in the development process? Justify.

Recall drill: cover and answer

FCRA 1976 enacted by	Indira Gandhi government	Admin expenditure cap (2020)	50% → 20%
Max suspension (2020)	180 → 360 days	FCRA 2026 status	Bill with a JPC, not yet an Act
Noel Harper (2022)	foreign contribution not an absolute right		

SELF-HELP GROUPS (SHGs)

PYQ Mains 2021 · 2020 · 2017 · 2015 · 2014 · 2013 · Handout CS pp. 12-17

✎ *An SHG is a small informal savings group, mostly rural women, that lends from its own corpus and later links to a bank. Social capital replaces collateral. NABARD started the bank-linkage programme in 1992.*

SHG

→ principally a ***rural women's movement*** (not only women-specific; some include men)
→ small, informal associations, ***not legally registered, not legal entities***
→ largely poor women, preferably of similar socio-economic background
→ ideal size ***10-20***. Each must save regularly (weekly)
→ a weekly ***loan corpus*** is created and lent to members for income-generating ventures, vulnerabilities, productive needs. A ***savings-led microfinance model*** to improve earnings and savings and build an economic base to escape poverty, on ***self-help and collective responsibility***: loans carry ***no security*** (poor rural women lack the collateral financial institutions demand)
→ repaid because of collective responsibility and ***peer pressure***.

Bank link: when an SHG matures it is linked to a bank: it deposits its collective corpus, earns interest, and can avail a larger loan. Banks normally follow a ***1:4 deposit-to-credit*** ratio (SHG depositing Rs 10,000 a month as corpus is eligible for four times that as loan).

Type	*How it works*
ROSCA (Rotating Savings and Credit Association)	like the urban kitty/committee: each month or week savings pooled; corpus given to one member (name picked by ***draw of lots***)
ASCA (Accumulated Savings and Credit Association)	no rotation; accumulated corpus from regular periodic savings; loans to those who need, on ***collective decision and joint approval***

SHG-BANK LINKAGE (SHG-BLP)

SHG-BLP

→ ***NABARD, 1992*** started the SHG Bank Linkage Programme; principal self-help promoting agency in the country; mature SHGs get linked to banks
→ ***Microfinance SHGs:*** set up by financial institutions
→ ***Microfinance Plus SHGs:*** set up by government agencies and NGOs, with wider development aims
→ ***SHPIs:*** NABARD, RRBs, SCBs, NGOs, government agencies
→ ***100+ million households*** covered; ***84%+*** SHGs are women's: movement largely driven by rural poor women

Panchsutras (Panchsheel)

→ if SHGs follow these they are of very good quality and banks are willing to lend: ***regular*** savings
→ regular internal lending
→ regular repayment of loans
→ regular meetings

→ regular books of accounts.

S-I-R-M-B — Teacher's ***Panchsutra*** (five regulars): **S**avings · **I**nternal lending · **R**epayment · **M**eetings · **B**ooks of account. (initials are my aid; the five points are the handout's) (own mnemonic)

NABARD tools

→ ***Joint Liability Group:*** the whole group collectively takes responsibility for repaying the loan even if only a small part was lent to one member; introduced by NABARD ***2005-06***; bank loan goes to the whole enterprise)

→ ***NABFINS*** (NABARD Financial Services Ltd): to evolve into an ideal MFI, setting governance standards among MFIs, a model for how to approach SHGs especially loaning

→ ***microfinance development programmes:*** skill development if members lack skills; improve skills or optimise production if they have them

→ ***Livelihood and Enterprise Development: livelihood promotion in clusters*** of ***15-30*** SHGs in contiguous villages (one SHG's product can be input for another)

→ ***DAY-NRLM:*** mission aims to bring at least ***one woman from each identified poor rural household*** into SHGs; special emphasis on the most vulnerable: manual scavengers, disabled, PVTGs, bonded labour, victims of sexual offences

BENEFITS AND IMPACT PYQ 2021 PYQ 2020

Benefits

→ ***financial inclusion:*** perhaps the best model for extending microfinance: savings, credit, insurance

→ ***physical capital replaced by social capital:*** poor lack physical collateral; SHGs need none

→ ***capability approach*** (not dole, due or rights): strengthens capacity and ***autonomy to make the choices*** people want in life

→ ***social and economic transformation of women:*** income meets life-cycle and production needs of family; social status rises; gives economic reforms a ***human face***

→ ***political empowerment:*** community platform; rural women attend Gram Sabha regularly, take part in panchayat elections

Dole vs Due: dole = something government gives out of generosity or political will; addresses a shortage of goods at a point in time, never on a sustaining basis. SHG is neither: it strengthens people's capacity and so their autonomy of choice, the ***capability approach***.

Impact	***Fact***
Number	over ***10 million*** SHGs
Credit	collateral-free loans of ***Rs 87,098 crore*** to ***5 million*** SHGs (by March 2019)
Poverty	inculcates habit of thrift; less dependence on moneylenders; other studies: impact more ***protectional than promotional***
Women	stronger and more empowered in mature SHGs; some SHGs organise community action on child marriage, child labour, liquor ban

ISSUES PYQ 2014 PYQ 2013

Issues

→ ***outreach:*** more successful in South India (undivided Andhra led SHG formation; maybe linked to higher education); ***poorest of the poor left out***

→ ***restrictive policies of FIs and banks:*** banks compel SHGs to work as suits the banks; SHGs wound up, members return to moneylenders (NABARD now gives ***100% refinancing*** against SHG loans)

→ ***quality of management and governance:*** weekly meetings not held, poor attendance; only leaders benefit more from loans; leadership should change periodically but does not

→ inability to take up new productive ventures; unhealthy competition among states; inadequate micro and macro studies; capacity and skill development

→ ***rising NPAs (new concern):*** outstanding SHG loans Rs 423 crore (2007-08), Rs 452 crore (2018-19); expected to rise due to COVID

→ ***inequality:*** reduces inequality based on social gaps but may create inequality by education: better-educated women benefit more

Measures

→ government as ***facilitator, not controller*** (Grameen Bank)

→ ***targeted expansion in credit-deficient regions*** (MP, Rajasthan, North-East, to bridge regional disparity; Kenya's rural SHGs, Chamas, cut financial exclusion among women)

→ ***financial infrastructure and digital connectivity:*** integrate with banking networks, ICT, capacity building (AP SERP model: dedicated monitoring cells and ICT tracking performance, credit linkages, transaction histories)

→ ***urban and peri-urban SHGs*** for slum dwellers and urban micro-entrepreneurship (Brazil's Bolsa Familia included urban SHGs). Government role example: Bangladesh's Grameen Bank showed proactive government support fosters a microfinance ecosystem.

SUCCESS STORIES

SHG story	Detail
Kudumbashree (Kerala, 1997)	very successful Kerala Government SHG programme, started 1997; ~3 lakh neighbourhood groups, ~19,500 ADS, ~1,064 CDS, ~46 lakh women
Grihalakshmi SHG	West Singhbhum, Jharkhand; national award for best-performing SHG 2018; notable efforts to eradicate child labour locally
Didi ki Rasoi	Bihar; community-based canteen with quality, hygienic food; a group of women can affiliate and start their own
Pangi Hills brand	remote tribal area of Himachal; exotic forest products: honey, black cumin, walnuts; members earn up to Rs 2-2.5 lakh a year
COVID	masks, sanitisers, protective gear; Kudumbashree network dispelled Covid fake news on WhatsApp groups

Year	PYQ (handout, marks)
2021 (10)	Can the vicious cycle of gender inequality, poverty and malnutrition be broken through microfinancing of women SHGs? Explain with examples.
2020 (15)	Micro-finance as an anti-poverty vaccine aimed at asset creation and income security of the rural poor: evaluate the role of SHGs in achieving the twin objectives along with empowering women in rural India.
2017 (15)	Emergence of SHGs points to slow but steady withdrawal of the state from developmental activities: examine the role of SHGs and measures taken by GoI to promote them.
2015 (12.5)	The SHG Bank Linkage Programme (SBLP), India's own innovation, has proved one of the most effective poverty alleviation and women empowerment programmes. Elucidate.

Recall drill: cover and answer

SHG ideal size	10–20 women	SHG-BLP started	NABARD, 1992
Deposit-to-credit ratio	1:4	JLG introduced	NABARD, 2005–06
Kudumbashree started	Kerala, 1997		

PRESSURE GROUPS & LOBBYING

PYQ Mains 2026 · 2025 · 2021 · 2019 · 2017 · 2013 · Handout CS pp. 17–26

✎ *A pressure group influences government policy without trying to become the government. India has many types: social, professional, institutional, ad hoc and anomie. Learn techniques, problems and a few recent examples.*

Pressure group

→ hard to define (parties are sometimes included, sometimes excluded)

→ the common definition ***excludes political parties*** and covers groups wishing to influence government policies and activities while remaining apart from government. An association of people with common interests who try to achieve them by influencing government

→ helps ***social integration, political articulation*** and acts as a ***catalyst for change***. Definition: "an organised aggregate which seeks to influence the context of governmental decisions without attempting to place its members in formal governmental capacities". ***Alan R. Ball:*** firmly part of the political process

→ reinforce or change the direction of policy but do not wish to become the government. ***Henry Turner:*** non-partisan

→ do not draft party programmes or nominate candidates. ***Finer:*** "anonymous empire". ***R.D. Lambert:*** "unofficial government". ***Truman (group theory):*** a group, on the basis of shared attitudes (the interest), makes claims on other groups for the establishment, maintenance or enhancement of behaviour implied in those attitudes.

Genesis

→ in existence ever since governmental machinery could deliver benefits to individuals or groups; took concrete form after the ***industrial revolution*** and rise of market economies

→ trusts and monopolies, struggle over ***tariffs***

→ technology and agricultural skills: new problems, desires, needs, new groups

→ state took on ***welfare functions*** besides regulation: more power and discretion in state apparatus, so need to pressure it grew

→ dominant sections need State help for economic activity; weak and deprived need it for basic requirements

→ ***freedom of association*** in democracies: the basic factor

→ welfare state, socialism, positivism: pressure groups as a ***shield against misuse of government power***

→ consequence of inadequacies of political parties in articulating demands of deprived and dominant interests

FEATURES AND INTEREST GROUPS

Features

→ organised on social, political, economic, religious, vocational interests; try to dominate political structure and suppress clashing groups

→ represent interests of different parts of society; vary in size and structure

→ ***vitality*** = ability to influence policy makers, law makers, implementers; influence varies (trade unions, business, professionals strong

→ modern means without renouncing old: financing parties, sponsoring close-associate candidates, getting friendly persons into executive jobs

→ change allegiance quickly; appear and disappear with conditions

→ individuals have lobbying rights but a collective approach exerts stronger pressure and consolidates similar ideas

Pressure vs interest group

→ ***interest group:*** formed by people with shared interests, no interest in pressurising government for favourable decisions

→ ***pressure group:*** organised interest group with regular interface with government, questions or connects with it to win favourable policy

→ a group may start as an interest group and ***morph*** into a pressure group as it grows with wider objectives; terms often used interchangeably

→ inevitable in a democracy; their study is intrinsic to understanding dynamics of politics and of policy making

Pressure groups vs political parties: pressure groups do not participate in elections, parties do; pressure groups have a ***smaller social base***, parties a larger one.

TYPES PYQ 2013

Type	Example
Social or identity-based	two kinds: community service (Singh Sabha movement); mobilisation for political ends (RSS, VHP, All India Sikh Students Federation)
Associational / professional	peasants, trade unions, business associations; professionals: Bar Association, Indian Medical Association
Institutional (operate within government)	use the government machinery to pressurise government: IAS lobby, IPS lobby
Ad hoc	created for a specific purpose or issue; dissolve when resolved: India Against Corruption (Lokpal movement)
Anomie	from despair and frustration when regular grievance methods fail: spontaneous outbursts that can turn violent, destroy public property, use extra-legal means: RRB exam protests (Gaya, Patna), MAGA movement, anti-vaxxers (USA)

SAIAA – Five types: **S**ocial · **A**ssociational · **I**nstitutional · **A**d hoc · **A**nomie. (own mnemonic)

RECENT EXAMPLES (as given in the handout; verify dates)

Group	Role and example
Farmers	role: MSP guarantees, fair prices, subsidies, debt relief, land rights via mass mobilisation and negotiation. ***Samyukt Kisan Morcha 2020-21*** against three farm laws, ***repealed in 2021***
Youth / Gen Z	role: unemployment, paper leaks, corruption, institutional accountability via social media and mass protests. Handout: Cockroach Janta Party (CJP) Jantar Mantar protests 2026 against exam irregularities
Trade unions	role: wages, job security, conditions, pensions, collective bargaining; Noida factory workers April 2026: UP raised minimum wage ~21% for unskilled workers in Noida and Ghaziabad
Environment	role: biodiversity, pollution control, forest rights, sustainable development. Save Aarey 2019-22 (tree-felling for Mumbai Metro car shed)
Professional	role: professional autonomy, fair pay, ethical standards, workplace safety. IMA nationwide protests 2024 after RG Kar Medical College incident: Central Protection Act, stronger hospital security
Gig workers	role: fair wages, algorithmic transparency, social security, protection from arbitrary deactivation. December 2025 strikes (IFAT and others) against unsafe 10-minute delivery targets, low earnings, poor social security

In the news · handout (verify) The handout says sustained CJP protests contributed to the resignation of Union Education Minister Dharmendra Pradhan in July 2026. Unverified by me.

WESTERN vs INDIAN

Differences

→ Western groups regarded as the "***fourth organ***" of government; Indian groups not yet able to play a significant role in politics

→ India and Britain: main lobbying targets are the ***cabinet and civil service***, not Parliament; USA: ***Congress and its committees***, rather than the President

→ Indian groups based on caste, religion, region are more powerful than business organisations

→ American groups take interest in foreign policy; Indian groups do not

SIGNIFICANCE

Significance

→ channel of communication between citizens and government

→ broaden political participation: people join because of deep distrust between people and political parties

→ ***political socialisation:*** process by which people become politically active and acquire political vision, approach, values

→ data, inputs, information for policy (FICCI, ASSOCHAM, CII)

→ prevent a dominant force: countervailing groups demand opposite things

→ ***informal face of politics:*** mobilise and shape public opinion, question and confront government, agitation and propaganda: ***keep democracy alive between elections***

→ support parties and candidates, give donations

→ ***"legislatures behind legislatures":*** legislators get cues on what to discuss from groups that raise issues

→ reservoirs of political leadership (Kejriwal from the Lokpal movement)

→ check arbitrary use of state power (farmers vs three farm laws); improve governance (human-rights groups)

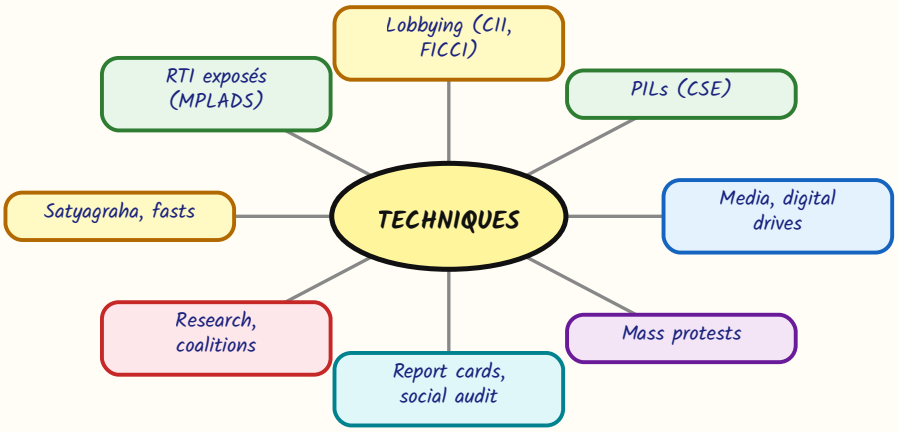
→ educate people by campaigns, propaganda, reports, media debates (environmentalists against growth harmful to environment)

→ ***safety valve*** for grievances, preventing spontaneous outbursts

→ ***consensus building*** to present a united face to government (FICCI; Samyukt Kisan Morcha)

TECHNIQUES, LOBBYING, BEST PRACTICES

EIGHT WAYS TO PRESSURE



Techniques in detail (with handout examples)

→ ***lobbying and direct negotiation*** with policymakers, bureaucrats, legislators (CII, FICCI on tax reforms and industrial policy)
→ ***PILs*** for judicial intervention (CSE for air-pollution control)
→ ***media campaigns and opinion building*** (RTI activists exposing administrative opacity)
→ ***mass mobilisation:*** rallies, dharnas, petitions, signature drives (farmers' protests 2020-21)
→ ***social audits and citizen report cards*** (PAC report card reduced bribery in service delivery in Bangalore)
→ ***expert inputs and research-based advocacy:*** white papers, data to committees and ministries (PRS Legislative Research)
→ ***coalition building*** (NCPRI united civil society for the RTI Act)
→ ***strategic legal interventions:*** court cases, stay orders, amicus curiae
→ ***symbolic protests:*** satyagraha, padayatras, hunger strikes (Anna Hazare's Lokpal movement)
→ ***digital campaigns:*** hashtags, viral videos, petitions (#SaveAarey mobilised urban youth)
→ ***RTI-based exposes*** (MPLADS fund misuse)
→ ***international advocacy and moral pressure:*** global bodies and indices for reputational pressure

Best practices

→ ***PAC report card*** (Bangalore: citizen audits cut corruption in municipal services)
→ ***NCPRI*** RTI campaign (coalition success, led to the RTI Act)
→ ***#SaveAarey*** (Mumbai, 2019: digital activism led to policy reversal on urban deforestation)
→ ***CEHAT*** (research-based lobbying shaped national policy on patient rights)
→ ***Anna Hazare's Jan Lokpal movement*** (2011: Gandhian methods put anti-corruption on the national agenda).

Lobbying

→ so called as big business leaders roamed the lobbies of the US Congress to influence policy. Today: formally connecting with government, regular meetings with officials and ministers, presenting the interests of the section one represents to get a favourable policy outcome
→ used principally by organised corporate groups, business houses, business associations. ***Not bad per se***

→ ***in India neither legal nor illegal.*** Problems: (a) ***paid lobbyists:*** Nira Radia and Vaishnavi Corporate Communications (getting specific leaders placed in specific ministries)
→ Deepak Talwar Associates (accused of bribing civil servants)
→ (b) ***legislators as lobbyists:*** H.G. Mudgal disqualified from the provisional Parliament after Independence for lobbying for a private organisation (Bombay Bullion Organisation)
→ (c) ***bureaucrats, serving or retired:*** advising the Minister to tweak rules for certain organisations, pushing files to accommodate a private player. ***Santhanam Committee 1962:*** proper system of ***accreditation*** of lobbyists
→ no civil servant should interact with a representative of a business organisation or group unless fully accredited.

Business associations (FICCI, ASSOCHAM, CII) methods

→ lobbying
→ political donations via electoral bonds
→ critical assessment of government economic policies/legislation
→ commissioning studies
→ workshops and conferences
→ technical inputs
→ appointment to advisory/ad hoc panels
→ consensus building
→ interaction with analogous institutions abroad, like WTO.

PROBLEMS AND EFFECTIVENESS

Problems

→ ***disproportionate influence*** of some: caste and community groups, trade and peasant unions, business associations like FICCI, CII after 1991
→ ***subversion of democratic institutions:*** legislators and parties heavily influenced lose independent thinking
→ ***unorganised interests neglected*** (e.g. educational development)
→ ***extra-legal methods:*** bandhs, hartals, rail roko, chakka jam, destruction of public property
→ ***divisive:*** prevent emergence of a true national identity
→ ***block progressive initiatives:*** some Khap Panchayats sanction honour killings in inter-caste marriages
→ many lack transparency in internal functioning (e.g. RSS)

Khap Panchayats: SC ***2011***: a Khap advocating or sanctioning honour killing should be banned altogether under the Unlawful Activities (Prevention) Act. As victims are generally SC/ST, the accused can also be prosecuted under the ***SC/ST (Prevention of Atrocities) Act, 1989***. ***But*** some Khaps have done consensus building and socially oriented community service.

Effectiveness depends on

→ ***sectional*** (RSS, Khap Panchayats, caste associations: more effective in India) vs ***promotional*** (human rights organisations, PETA)

→ ***funding*** (lobbying needs a lot of money)

→ ***political branding*** (linked to certain parties, so effectiveness depends on that party's role in government)

→ ***membership*** (quantity and quality)

→ ***government reliance on them*** (Make in India needs business associations).

Way forward

→ ***legal recognition and regulatory framework:*** absence of formal status limits legitimacy and accountability; registration and regulation akin to US and UK lobbying laws

→ ***code of conduct and financial transparency:*** mandatory ethics, disclose funding sources and lobbying (vital in telecom, pharma where opaque lobbying undermines trust)

→ ***consultative role*** in legislative committees and policy dialogues (e.g. farmers' associations in agricultural reforms and MSP)

→ ***digital platforms like MyGov*** to gather feedback systematically.

Year	PYQ (handout, marks)
2026 (15)	To what extent do pressure groups, social movements and corporate lobbies deepen pluralistic democracy in India by representing excluded interests? Analyse whether the growing convergence of corporate wealth and political power threatens the autonomy of formal democratic institutions.
2025 (15)	What are environmental pressure groups? Discuss their role in raising awareness, influencing policies and advocating environmental protection in India.
2021 (10)	Pressure groups play a vital role in influencing public policy making in India. Explain how the business associations contribute to public policies.
2019 (10)	Methods used by farmers' organisations to influence policymakers in India and how effective are they?
2017 (10)	How do pressure groups influence the Indian political process? Do you agree that informal pressure groups have emerged as more powerful than formal ones in recent years?
2013 (10)	Pressure group politics is sometimes seen as the informal face of politics. Assess the structure and functioning of pressure groups in India.

Recall drill: cover and answer

Five types	social, associational, institutional, ad hoc, anomie	Groups vs parties	groups do not contest elections
Lobbying in India	neither legal nor illegal	Santhanam 1962 on lobbyists	accredit them
Khap ruling	SC 2011: ban honour-killing sanction		

⚖ COMPTROLLER & AUDITOR GENERAL (CAG) ⚖

PYQ Mains 2018 (appointment, terms, powers) · 2016 (Art 149; policy audit) · Handout CAG pp. 2–7

✎ *The CAG audits the spending of Union, States and bodies funded by the government, and reports to Parliament. India's CAG audits after the money is spent; the UK CAG also controls release of funds.*

Ambedkar in the Constituent Assembly: "the most important office under the Constitution"; one of the **4 pillars** with SC, UPSC and Election Commission. **Art 148** creates the office. **Status:** service conditions broadly equivalent to a **Supreme Court judge**, including salary and removal safeguards.

Point	Fact
Tenure	**6 years or until age 65**, whichever is earlier, under the **CAG (Duties, Powers and Conditions of Service) Act, 1971**; changes require amending the Act, not the Constitution
Post-retirement restriction	**Art 148(4):** CAG ineligible for further government office under the Union or any State
Duties	prescribed under **Art 149**; laid down in the **CAG (Duties, Powers and Conditions of Service) Act, 1971**, enacted by Parliament
Accounts form	advises President (**Art 150**)
Net proceeds	certifies shared Union–State proceeds (**Art 279**)

FUNCTIONS

Audit and report on

→ **all expenditure** from Consolidated Fund, Public Account, Contingency Fund of India / States / UTs with legislative assembly

→ **trading, manufacturing accounts and profit and loss statements** kept by any department of Centre, States, UTs with legislature (e.g. Railways, Posts)

→ **receipts** of Union and States: rules designed to secure an effective check on assessment and collection of revenue

→ **stocks and stores** and government inventory: ensure no pilferage

→ receipts and expenditure of bodies **substantially financed** by government; and of bodies not substantially financed when **requested by the President or Governor**

→ **Public Sector Undertakings**

→ **advises the President** on the form of accounts of Union and States (**Art 150**); certifies net proceeds shared by Union with States (**Art 279**)

→ **assists the Finance Commission** in a fair understanding of states' actual financial position

→ audits accounts of **Autonomous District Councils** under Schedule VI

CARSE — Audit-on: **C**onsolidated and other funds · **A**ccounts (trading, P&L) · **R**eceipts · **S**tores · **E**ntities financed (bodies, PSUs). (own mnemonic)

PSU AUDIT AND ACCOUNTS

PSU type	CAG audit
Statutory corporations (special law, governed by own statute, generally government-owned; LIC, FCI, RBI)	CAG may conduct **full, partial or no audit**, depending on the law
Government companies (registered under Companies Act / joint stock; at least 51% government ownership)	audited by **private auditors appointed in consultation with CAG**; CAG can also do a **supplementary audit** over and above it

PSUs = government-owned enterprises for commercial and economic activity outside the regular departmental structure; some set up as State monopolies in strategic sectors. ***Performance audit:*** both categories may face comprehensive performance audit through the ***Audit Board (introduced 1968)***, where applicable.

Separation of accounting and auditing: accounts are prepared by the department or undertaking. ***Departmentalisation of Accounts (1976):*** before 1976 CAG did both compilation of accounts and audit. ***Now:*** CAG primarily audits Union accounts, continuing both accounting and auditing for most States, subject to arrangements. ***Significance:*** clearer separation, stronger financial accountability and independent oversight.

ISSUES IN WORKING PYQ 2018

Mode of appointment

→ ***no role of a broad-based committee*** as in NHRC, CVC, Information Commissioners; entirely at the ***discretion of the central government***

→ UK: CAG heading the National Audit Office appointed by ***House of Commons resolution*** after agreement between PM and chair of PAC (generally an opposition member)

→ USA: Comptroller General heading GAO appointed by the President, ***ratified by the Senate***

→ Australia: ratification and confirmation by the ***whole Public Accounts Committee***

→ India is a member of ASOSAI and INTOSAI and should abide by their mission statement and charter so that complete independence is guaranteed; experts recommend a ***broad-based committee of PM, LoP in Lok Sabha and CJI*** for appointments like CAG, UPSC, Election Commission

Who should be appointed

→ experts: ***career auditors and accountants of the Indian Audit and Accounts Service (IAAS)***

→ till date among ***14*** CAGs only the first three came from IAAS; of the remaining 11, ***10 were retired IAS*** officers

→ ***adverse effect on morale and motivation of IAAS officers***

→ ***conflict of interest:*** an IAS officer who served a department is asked to audit the same department as CAG

→ post-retirement incentive for IAS officers may lead to ***politicisation of civil services***

→ so: ***encadre*** the post, earmarked only for IAAS members

→ ***Narhari Rao*** first CAG; ***K. Sanjay Murthy*** present (as per handout, verify)

Single vs multi-member body: experts debate making CAG multi-member like UPSC and Election Commission. In the USA and UK too the CAG is a single-member body, with a heavier caseload than India's; no study shows a multi-member institution performs better.

TYPES OF AUDIT

Audit	Question it asks
Compliance (legality / statutory / transactions audit)	was money spent according to the financial law of the country? legal availability of money spent; was the mandated activity authorised by Parliament?
Financial	are proper books of accounts maintained; are recorded transactions a faithful representation of what actually took place?
Performance (includes efficiency audit)	e.g. number of schools set up under an amount, and their standards and facilities: efficiency of money spent
Propriety (from "proper")	questions the **wisdom and faithfulness** of government spending. **Need:** it is taxpayers' money, not officials' own, so officials cannot be expected to show the caution they would with their own

CFPP – Four audits: **C**ompliance · **F**inancial · **P**erformance · **P**ropriety. The 1971 Act does not clearly state the types of audit; **Sec 23** authorises CAG to define the scope of audit. (own mnemonic)

Against propriety audit

→ **benefit of hindsight:** a decision may look unwise without the context in which it was made

→ **auditors know little of administration:** seasoned auditors lack experience of decisions under administrative circumstances

→ **red tapism:** fear of CAG, CVC, CBI makes officials keep files undecided

→ **slows development.** **Paul Appleby** (1950s, American public-administration expert): CAG oversight created fear among civil servants and delayed decisions

For

→ CAG's role is more than tallying accounts, "which any B.Com. graduate can do"

→ supreme audit institutions worldwide do propriety audit

→ CAG should not be nit-picking, but if a **prima facie case of fraud, impropriety, irregularity** comes up, exposing it is not just his right but his **duty**

→ purpose is not fault-finding but **better financial governance**

→ instead of questioning it, **streamline internal audits** and respond proactively to audit queries

→ best potential to expose irregularities, embezzlement, bribery, fraud.

2G case

→ 2008 licences allocated on First-Come-First-Served instead of auctions

→ CAG estimated a presumptive loss of up to **Rs 1.76 lakh crore**

→ government defended low spectrum prices as promoting affordable telecom

→ **SC 2012** quashed **122** licences and directed fresh allocation by auction

→ the auction raised about **Rs 9,400 crore**, below expectations, partly due to changing market conditions and limited bidders. **CAG's jurisdiction:** normally examines policy implementation, but may question policy decisions where they involve financial irregularities, wasteful expenditure or loss to the exchequer PYQ 2016

COMPTROLLER vs AUDITOR; PPPs; LOCAL BODIES

Comptroller function: before public money is released, verify that the expenditure has been **authorised by Parliament** and approve release of funds. **Key difference:** UK CAG exercises **pre-expenditure** control; Indian CAG audits **after** the money has been spent.

	UK	India
Comptroller (pre-expenditure control over release of funds)	performed	**not** performed

Auditor (post-expenditure)	yes	yes (primary role)

Should CAG audit PPPs?

→ **PPP:** government–private collaboration for infrastructure (highways, airports, ports); government gives approvals, land, support as agreed

→ **BOT:** private builds and operates for a concession period, recovers investment through tolls or user fees, then transfers to government

→ **VGF:** one-time or deferred government grant for economically justified but financially unviable PPP projects; **2020 VGF Scheme** extended to social infrastructure (health, education, water supply, waste management)

→ question: PPPs may be largely privately financed, so what is CAG's jurisdiction? **Public interest:** public assets, natural resources, concessions, revenue sharing

→ **Telecom revenue sharing:** operators pay licence fees as a percentage of **Adjusted Gross Revenue (AGR)**; underreporting or inadmissible deductions cut the government's share; **AUSPI v Union of India (2014):** SC upheld CAG's authority to examine private telecom operators' accounts to verify revenue-sharing payments

Local bodies (ULBs, PRIs): in some states CAG provides **broad supervision and guidelines** for local-body accounts and audit; it does **not conduct audits as such**; the broad overview is accepted by state governments principally to get the **conditional grants recommended by the Finance Commission**.

WHY CAG IS WEAK: THE FAMOUS QUOTE

"CAG is a ..."	Meaning
prosecutor with a law that hobbles his functioning	law does not clearly indicate the audits he is to perform; does not give adequate powers to obtain documents from government; so the law itself makes him shaky
judge without the power to sentence	can clearly indicate a case of financial fraud but cannot punish; action stays at the **government's discretion**
litigant without the right to appeal	after his report goes to Parliament and then the PAC, he has no power to question or appeal on action taken; if Parliament and government pay no heed to his report he has no power to challenge it

Effectiveness of an audit depends on (1) system for evaluating CAG reports: by Parliament and PAC: adequate discussion time, members present. In the USA and UK the CAG is **part of the legislative branch**; in India independent of both legislature and executive

(2) Quality of audit reports: under **INTOSAI** guidelines senior auditors from other countries review India's audit process and make recommendations (and Indian auditors go abroad): the **peer review mechanism**. First peer review of India's CAG in **2012** found around **50%** of CAG's irregularity allegations were **not backed by concrete evidence**.

Year	PYQ (handout, marks)
2018 (10)	The CAG has a very vital role to play. Explain how this is reflected in the method and terms of his appointment as well as the range of powers he can exercise.
2016 (12.5)	Exercise of CAG's powers in relation to accounts of the Union and States is derived from Art 149. Discuss whether audit of the Government's policy implementation could amount to overstepping CAG's jurisdiction.

Recall drill: cover and answer

CAG article; tenure	Art 148; 6 years or 65	Governing Act	CAG (DPC) Act, 1971
Comptroller function	UK yes; India no	CAGs from IAAS	first 3 of 14
Peer review 2012 finding	~50% allegations lacked evidence		

⚖ REGULATORY BODIES · WHY THEY ROSE · ROLE · COURTS ⚖

PYQ Mains 2015 (added outside the handout) · Handout RB pp. 2-4

✎ *After 1991 the State stopped running most sectors and started refereeing them. Independent regulators were created to keep that refereeing away from politics. Know why they rose, how far they really are free of politics, what they added, and how courts shaped them.*

Three main functions of the State

→ ***provision of services:*** many services, most ***monopolistic*** (police, defence)

→ ***regulation:*** became important ***post-1991 (LPG reforms)***: before 1991 most sectors were ***nationalised***, so little need for regulation (less open competition, few players); after ***liberalisation and privatisation*** competition and private players grew, so the need to ***regulate*** was felt

→ ***redistribution and welfare:*** socio-economic justice through welfare programmes, subsidies and redistribution, particularly for vulnerable sections

Two forms of regulation

→ ***self-regulation:*** regulators are ***from that sector only*** and directly involved in service provision. ***E.g.*** Bar Association of India, ICAI, News Broadcasting Standards Authority

→ ***external regulation:*** regulators are ***outside the sector*** and not directly involved in service provision

Two types of regulatory bodies

→ ***sector-specific:*** power, telecom etc. ***E.g.*** IRDA, PFRDA, TRAI, SEBI

→ ***general:*** regulate some aspects of ***all sectors***. ***E.g.*** Competition Commission of India

WHY INDEPENDENT REGULATORS ROSE

Factors behind the rise of Independent Regulatory Bodies

→ ***insulate key sectors from the ups and downs of politics:*** before 1991 the government held a monopoly in most sectors; regulators set up after the reforms insulate key sectors from ***political interference***

→ ***insulate from pressures of re-distributive justice:*** services once given as redistributive justice are now also provided by ***private sectors***; government control let politicians promise services at ***subsidised rates for gaining votes***

→ attract ***private investment including FDI***

→ increasing ***technicality*** of regulatory space

→ protect the ***interest of consumers***; promote ***fair competition*** through fair rules

→ ***government was itself a player*** in several sectors, so not fair for it to regulate them: hence ***separate independent regulators***

→ ***experience gap:*** with nationalisation there were very few private players, so government had no experience of regulating; after withdrawal, regulation needed ***experts*** of those sectors

→ create conditions conducive to the ***growth of the sector***

GIFT PRICE – Nine factors: **G**overnment was a player · **I**nvestment (FDI) · **F**air competition · **T**echnicality · **P**olitics insulated · **R**edistributive pressure insulated · **I**nterest of consumers · **C**onditions for growth · **E**xperience gap. (own mnemonic)

ARE IRCs REALLY DEPOLITICISED?

IRCs were set up to insulate key economic sectors from political interference and ensure ***independent, transparent and expert-based decision-making***. But their success in depoliticisation has been ***limited***.

Reasons for limited depoliticisation

→ ***political pressure:*** governments still influence decisions, esp. where ***tariff increases and market reforms*** clash with electoral promises and public expectations

→ ***redistributive justice:*** regulators must balance ***commercial viability with social welfare***, so economic regulation cannot be cleanly separated from politics

→ ***limited independence:*** government control over ***appointments, funding and regulatory powers***

→ ***regulatory capture:*** powerful businesses influence decisions through ***financial resources and technical expertise***

CAPE – Why depoliticisation is limited: **C**apture by business · **A**utonomy limited · **P**olitical pressure · **E**quity (redistributive justice) duties. (own mnemonic)

Sector	What happened (handout)
Power	***Odisha Electricity Regulatory Commission (1995)*** set up for independent tariff regulation amid rising losses and distorted tariffs; ***political pressure to keep subsidised tariffs*** limited depoliticisation
Telecom (TRAI)	set up to attract private investment and ensure independent telecom regulation, but faced ***continuous conflicts with the Department of Telecommunications (DoT)***, which kept important licensing and policy powers; the ***2G spectrum allocation controversy*** showed how politically influenced decisions can undermine independent regulation
Petroleum (PNGRB)	***PNGRB Act, 2006***: limited powers, ***upstream activities outside its jurisdiction*** and important pricing decisions beyond its direct control: government retention of crucial powers limits a regulator even when a separate body exists

Overall assessment: IRCs have ***not completely depoliticised*** economic regulation, as governments keep control of important policy and regulatory decisions. But they made regulatory processes more ***transparent, consultative and open to public scrutiny***.

Critical assessment

→ ***increasing regulators with limited powers:*** more regulators have not always come with real ***independence or authority***

→ ***rationalising myth:*** the belief that merely creating regulators will ***send the right signals and attract investment*** fails without ***effective powers and institutional capacity***

→ ***sinecure state:*** regulators may be used to ***rehabilitate retired government officers***: power, money and prestige but little responsibility or work

CONTRIBUTION OF REGULATORY BODIES

What regulators contributed

→ ***checking elite capture:*** regulators depend on ***big corporates for information*** to make rules

→ ***public participation: open hearings and comment-seeking***; ***democratisation of regulatory space***: greater democratisation of regulatory decision-making

→ ***changing political engagement:*** earlier mobilisation was on ***macro issues*** (free power for farmers); now also ***micro issues*** such as different tariffs for different sectors and the location of power plants

→ ***greater transparency:*** an ***inversion*** of the original idea, as the ***regulatory space itself became an arena of political contest***, but transparency has increased over time

PEDCT — Contributions: **P**ublic participation · **E**lite capture checked · **D**emocratised space · **C**hanged political engagement · **T**ransparency. (own mnemonic)

JUDICIAL INTERVENTION

Courts in the telecom sector

→ ***Delhi Science Forum Case (1996):*** Supreme Court stressed the need for an ***independent regulatory framework*** in telecom

→ ***2G Spectrum Case:*** SC examined the ***legality and transparency of spectrum allocation***

→ ***TRAI and TDSAT:*** judicial intervention strengthened their ***regulatory role*** while subjecting decisions to ***scrutiny***

→ ***outcome:*** better ***overall quality of sectoral governance***

Historical data (2009–12 study): effectiveness of sector regulators can be read from ***appeals against their decisions before appellate bodies***. The figures reported: ***telecom 62%*** · ***power 8%*** (with interstate variations).

PYQs on this section Added from outside the handout (UPSC PYQ lists); question gist paraphrased, check exact wording in your PYQ book.
Mains 2015: independence and autonomy of regulators in light of recent experience. Use the factors behind the rise of regulators and the role of courts above, then pair with the next chapter for people, parent ministry and accountability.

Recall drill: cover and answer

Three functions of the State	provision of services, regulation, redistribution and welfare	Why regulation grew	post-1991 liberalisation: competition and private players
Self vs external regulation	from the sector vs from outside it	Sector-specific vs general regulator	IRDA, PFRDA, TRAI, SEBI vs CCI
Four limits on depoliticisation	political pressure, redistributive duty, limited independence, capture	Power example	Odisha ERC 1995; ERC Act 1998; Electricity Act 2003
Telecom conflict	TRAI vs DoT; 2G	PNGRB Act	2006; upstream outside its remit
Appeals share 2009–12	telecom 62%, power 8%		

REGULATORS: PEOPLE · PARENT MINISTRY · ACCOUNTABILITY · CONFLICTS

PYQ Mains 2015, 2014, 2013 (added outside the handout) · Handout RB pp. 4–6

✎ *A regulator is only as independent as its members, staff, funding and links to its ministry. This chapter covers who sits on regulators, how ministry and regulator share work, how regulators are held accountable (India vs USA and UK), and where regulators fight each other.*

HUMAN RESOURCE

Two kinds of people in regulators: regulators and general staff

→ ***regulators need two things:*** professional ***expertise*** and ***independence***

→ ***historical findings:*** ***90%*** of members had a ***government background*** (partly because officials had expertise); ***appointment and removal*** still depend on government discretion

3 QUALITIES — Seek in a regulator: ***Expertise*** · ***Independence*** (not detachment) · ***Ability to engage multiple players*** (a miniature State).

General staff: four problems

→ ***understaffing:*** ***15–30%*** in regulators, including ***vacancies in senior positions***

→ ***dependence on deputation:*** fewer permanent staff, more deputation from ***PSUs***; experience may not be used fully because of a ***short period of employment***

→ ***lack of motivation:*** no ***clear career path*** and adequate incentives; regulators cannot offer incentives like PSUs

→ ***weak employment ecosystem:*** regulatory space has no employment ecosystem with clear career pathways

UDLW — Staff woes: **U**nderstaffing 15–30% · **D**eputation dependence · **L**ow motivation · **W**eak ecosystem. (own mnemonic)

Variations among regulators: composition, tenure, and appointment and removal processes ***differ***. Need: a ***comprehensive regulatory framework*** and ***less government discretion***.

RELATIONSHIP WITH THE PARENT MINISTRY

Policy and regulation are hard to separate: it is not always clear ***where policymaking ends and regulation begins***.

Ministry's role

→ set the ***broad policy***

→ ***appointment and removal*** of regulators

→ provide ***funding and staff***

→ provide the ***parliamentary interface***

→ ensure ***vigilance*** against corruption and bribery

→ ***coordination*** with other regulators and ministries

→ ***capacity building***

PAF PVCC — Ministry duties: **P**olicy · **A**ppointments · **F**unds and staff · **P**arliament interface · **V**igilance · **C**oordination · **C**apacity building. (own mnemonic)

Proposal: a separate Ministry of Regulation over all regulators. ***Why it may not work:*** the ministry of a sector understands its ***functioning and complexities*** better, and a single ministry may lack ***expertise to supervise regulators across diverse sectors***.

UK practice: regulators and parent ministries issue ***management statements*** setting ***annual and long-term objectives*** and ***norms for their interactions***.

ACCOUNTABILITY OF REGULATORS

Country	Accountability picture (handout)
USA	independent commissions called the ***fourth, headless branch of government***: substantial autonomy from the executive, while ***congressional oversight*** may be limited by lack of ***technical expertise***, raising accountability concerns
India	regulators work under ***nodal ministries***: a different relation between ***autonomy and executive accountability***. Created by ***statute***; accounts under ***CAG audit***; subject to public service laws; ***no separate parliamentary committee*** needed, as the committee of the nodal ministry is better placed
UK	***Corporate Plans*** · ***open meetings and consultations*** · ***affordable appeals*** · information on ***comprehensive websites***

Steps to ensure accountability

→ ***statutory creation:*** law increases accountability through ***parliamentary scrutiny*** and a legally defined framework

→ a ***clear mandate***

→ clear definition of the ***relationship with Executive, Legislature and Judiciary***

→ ***transparency*** in appointments, removal and decision-making
→ ***periodic reports***
→ an ***independent appellate mechanism***

RAPID SC — Accountability steps: **R**elationship defined · **A**ppointment transparency · **P**eriodic reports · **I**ndependent appeal · **D**ecision transparency · **S**tatute · **C**lear mandate. (own mnemonic)

OTHER ISSUES AND INTER-REGULATOR CONFLICTS

Other issues

→ ***regulation vs development:*** more focus on regulation than on ***development of the sector***
→ ***strained stakeholder relations:*** e.g. ***Cellular Operators Association of India (COAI) vs TRAI***
→ ***inadequate research:*** too few ***macro and micro studies***; such studies help ministries find problems and an agenda for reform

Conflict of jurisdiction	***Issue (handout)***
IRDA vs SEBI (2010)	***Unit Linked Insurance Plans (ULIPs)*** combine insurance and investment features; the ***Central Government intervened*** to clarify jurisdiction
CCI vs RBI	jurisdiction over ***bank mergers***
CERC vs CCI	boundary between ***sector-specific electricity regulation*** and general competition law
CCI vs PNGRB	competition proceedings involving ***public-sector oil companies***: sectoral vs general regulators

FSLRC, 2011 (***Justice B.N. Srikrishna***) recommended ***consolidating financial-sector regulation***, including the merger of ***SEBI, FMC, IRDA and PFRDA***. Result: the ***Forward Markets Commission (FMC)*** was later merged with ***SEBI***; the other regulators remain separate.

Reform requirements

→ ***clear jurisdiction:*** clear division between ***sectoral and general regulators***
→ ***inter-regulatory consultation:*** fewer ***conflicting orders, uncertainty and prolonged litigation***
→ ***independent appointments:*** combine ***professional expertise, independence and accountability***

PYQs on this section Added from outside the handout (UPSC PYQ lists); question gist paraphrased, check exact wording in your PYQ book.
Mains 2015 (10 marks, 150 words): regulatory institutions must stay independent and autonomous to reach their objectives; discuss with recent experience. Link: the conflicts and clear-jurisdiction points in this chapter.

Recall drill: cover and answer

Members with government background	90%	Members from nodal or related ministry	49%
Staff shortfall in regulators	15–30%	Three qualities sought in a regulator	expertise, independence, ability to engage many players
US independent commissions called	fourth, headless branch of government	UK accountability tools	Corporate Plans, open meetings, affordable appeals, RIA, websites
IRDA vs SEBI 2010	ULIPs	FSLRC 2011 head	Justice B.N. Srikrishna
Regulator merged into SEBI	Forward Markets Commission		

⚖ FOOD SAFETY AND STANDARDS AUTHORITY OF INDIA (FSSAI) ⚖

PYQ None quoted in the handout · Handout RB pp. 6-8 · 2026 developments marked verify

✎ *FSSAI is the food regulator: it sets food standards, licenses food businesses and checks labels, working with the States. Know the Act, the ministry, the functions, the schemes, and the problems of weak enforcement and small vendors.*

About FSSAI	Handout
Status	statutory body under the **Food Safety and Standards Act, 2006**
Nodal ministry	**Ministry of Health and Family Welfare**
Objective	availability of **safe and wholesome food for human consumption**
Scope	food **manufacturing, processing, storage, distribution, sale and import**
Implementation	works with **State Food Safety Authorities**

FUNCTIONS AND POWERS

What FSSAI does

→ **food safety standards:** science-based standards for food products, additives, contaminants and packaging
→ **licensing and registration** of **Food Business Operators (FBOs)**
→ **inspection and surveillance:** sampling, testing, surveillance and enforcement
→ **food labelling:** nutritional information, ingredients and mandatory consumer disclosures
→ **consumer protection:** misleading claims, unsafe food and violations of safety rules

CLIPS – FSSAI functions: **C**onsumer protection · **L**abelling · **I**nspection · **L**icensing (registration) · **S**tandards. (rearranged: no fixed order) (own mnemonic)

INITIATIVES

Initiative	Purpose (handout)
Eat Right India Movement	safe, healthy and sustainable food habits: regulatory, capacity-building and awareness measures
FoSCoS (Food Safety Compliance System)	digital platform for **licensing, registration, renewal and compliance**
FoSTaC (Food Safety Training and Certification)	**capacity building** among food handlers and businesses
Hygiene Rating Scheme	encourages food establishments to meet **hygiene and sanitation** standards
RUCO (Repurpose Used Cooking Oil)	**responsible collection and disposal or repurposing** of used cooking oil

Recent developments, 2026 (verify dates): school food regulations: draft amendment, **Aug 2026**, on definitions of food high in added fat, sugar or salt, for safe food and balanced diets for children in schools · **front-of-pack nutrition labelling**: simplified FOP information still a key regulatory issue · **pan masala packaging**: amendments notified **Aug 2026** · **food testing**: amendments notified **Sep 2026** on timelines for lab sample analysis, methods and reporting formats · **FoSCoS**: revised licensing requirements and compliance processes in 2026.

SIGNIFICANCE, ISSUES, WAY FORWARD

Significance in governance

→ ***public health:*** safety and quality of food

→ ***consumer rights:*** transparency through labelling and regulation of misleading claims

→ ***preventive healthcare:*** healthy diets, fewer risks from unsafe food

→ ***market regulation:*** common standards, fairer markets

→ ***cooperative governance:*** works with States, food businesses and consumers

Issues and challenges

→ ***weak enforcement capacity:*** shortage of ***inspectors and testing laboratories***

→ ***uneven State capacity:*** infrastructure and staffing differ

→ ***unorganised food sector:*** street vendors and small businesses face financial and technical barriers

→ ***misleading labelling:*** nutrition claims and packaging confuse consumers

→ ***balance:*** protect public health without ***excessive burden on smaller businesses***

Way forward

→ ***strengthen State enforcement:*** laboratories, inspector capacity, ***risk-based surveillance***

→ ***improve nutritional labelling:*** clear, evidence-based, easy to understand

→ ***support small food businesses:*** affordable training and compliance help

→ ***digital monitoring:*** FoSCoS, ***food traceability***, data-based inspections

→ ***consumer participation:*** grievance redressal, awareness, public consultation

Recall drill: cover and answer

FSSAI Act	Food Safety and Standards Act, 2006	Nodal ministry	Health and Family Welfare
Works with	State Food Safety Authorities	FoSCoS	digital licensing and compliance platform
FoSTaC	food safety training and certification	RUCO	Repurpose Used Cooking Oil
Core challenge	few inspectors and labs; unorganised sector		

⚖ COMPETITION COMMISSION OF INDIA (CCI) ⚖

PYQ Mains 2023, Prelims 2026 NBFC (added outside the handout) · Handout RB pp. 8-9 · 2023-24 developments and Meta case

✎ *CCI is the general regulator of markets: it stops cartels and abuse of dominance, vets big mergers, and now watches digital platforms. Know the Act, the 2023 changes, the Meta-WhatsApp penalty and the digital-market problems.*

2002
Competition Act, 2002 creates the CCI

2009
CCI ***fully functional***

2023
Competition (Amendment) Act, 2023: deal value threshold, faster clearance, settlement and commitments, global-turnover penalties

2024
CCI regulations on merger review, settlements, commitments and penalties · ***Meta penalty ₹213.14 crore***

About CCI	Handout
Status	statutory body under the ***Competition Act, 2002***; fully functional in ***2009***
Nodal ministry	***Ministry of Corporate Affairs***
Objective	prevent practices with ***adverse effect on competition***, promote and sustain competition, protect ***consumers***, ensure ***freedom of trade***
Composition	***Chairperson and not more than six other members***, appointed by the Central Government
Appeals	to ***NCLAT***, then the ***Supreme Court***

FUNCTIONS AND POWERS

What CCI does

→ ***anti-competitive agreements:*** prohibits ***cartels, bid rigging, price fixing*** and agreements causing appreciable adverse effect

→ ***abuse of dominant position:*** unfair pricing, predatory pricing, denial of market access; ***dominance itself is not prohibited, abuse is***

→ ***regulation of combinations:*** ***mergers, acquisitions and amalgamations***

→ ***investigation and enforcement:*** directs investigation through the ***Director General***, imposes ***penalties***, issues corrective directions

→ ***competition advocacy:*** opinions on policies, awareness among businesses and consumers

Remember: being dominant is legal; ***abusing*** dominance is not.

COMPETITION (AMENDMENT) ACT, 2023

Change	Detail
Deal value threshold	combinations above ***₹2,000 crore*** may need CCI approval where the target has ***substantial business operations in India***
Faster merger clearance	maximum period cut from ***210 days to 150 days***
Settlement and commitment	faster resolution of specified cases on ***anti-competitive vertical agreements and abuse of dominant position***
Penalty framework	penalties can consider ***global turnover***
Regulations (2024)	CCI regulations and guidelines on ***merger review, settlements, commitments and monetary penalties***

DFSGR – Amendment 2023: **D**eal value ₹2,000 cr · **F**aster 150 days · **S**ettlement and commitments · **G**lobal turnover penalty · **R**egulations 2024. (own mnemonic)

DIGITAL MARKETS AND THE META CASE

Regulating digital markets

→ platforms gain from ***network effects, large user bases and concentration of data***: risk of ***market dominance***

→ ***self-preferencing, tying of services, restrictions on market access*** raise concerns

→ the ***2023 amendment*** strengthens control of ***combinations***, esp. high-value digital deals with limited physical assets

Meta-WhatsApp (2024, verify): CCI imposed a penalty of ***₹213.14 crore on Meta*** for anti-competitive practices linked to ***WhatsApp's 2021 Privacy Policy update***. The case links ***data collection, consumer choice and market dominance***.

ISSUES AND WAY FORWARD

Issues and challenges

→ ***digital market dominance:*** network effects, data concentration and platform ecosystems make anti-competitive conduct hard to spot

→ ***regulatory overlap:*** CCI and sectoral regulators: jurisdictional uncertainty

→ ***institutional capacity:*** technical, legal and economic expertise for digital cases

→ ***enforcement delays:*** appeals and prolonged litigation

→ ***innovation vs regulation:*** too much intervention discourages ***investment***; too little leads to ***market concentration***

Way forward

→ ***strengthen digital competition regulation:*** rules for ***digital gatekeepers*** while protecting innovation

→ ***inter-regulatory coordination:*** consultation with sectoral regulators

→ ***technical capacity:*** digital forensics, platform economics, data analytics

→ ***timely enforcement:*** better investigation and appellate efficiency

→ ***promote fair competition:*** protect market access for ***MSMEs, start-ups and new entrants***

PYQs on this section Added from outside the handout (UPSC PYQ lists); question gist paraphrased, check exact wording in your PYQ book.
Mains 2023 (10 marks, 150 words): role of the Competition Commission of India in containing abuse of dominant position; refer to recent decisions. Use: the CCI functions and recent cases in this chapter.
Prelims 2026 (from the August 2026 current-affairs PYQ Connect): statements on NBFCs: cannot accept demand deposits; all NBFCs must be RBI-registered; can issue cheques on themselves; no DICGC cover for deposit-taking NBFCs. Likely key (own working, verify): (a) 1 and 4.

Recall drill: cover and answer

CCI Act; functional	2002; 2009	CCI nodal ministry	Ministry of Corporate Affairs
CCI composition	Chairperson + not more than 6 members	Appeal route	NCLAT, then Supreme Court
Dominance vs abuse	dominance legal; abuse prohibited	Deal value threshold 2023	₹2,000 crore
Merger clearance limit	210 → 150 days	Penalty basis added	global turnover
Meta-WhatsApp 2024	₹213.14 crore penalty		